

Kentucky Transitional Assistance Program (KTAP)
Table of Contents

Kentucky Transitional Assistance Program	2000-3999
Time Limits	2000-2039
KTAP 60-Month Lifetime Limit	2001
Extension of 60-Month Limit	2003
KTAP Tracking	2005
KWP Full Family Sanction	2010
Full Family Sanction at Reapplication	2015
Safety Net	2025
Confidentiality	2040-2099
Disclosure of Information for Temporary Assistance for Needy Families (TANF) Programs	2040
Case Processing	2100-2199
Making an Application	2100
Cash Assistance Screening Process	2105
KTAP Application/Recertification Interviews	2120
Assessment Procedures	2130
Signing Application Forms	2155
Electronic Case File	2158
Case Notes	2159
Case Action on Applications	2160
Standard of Promptness	2163
Reinstatement of KTAP Benefits	2165

[Processing Recertifications	2170
Processing Case Changes	2175]
Supplemental and Special Circumstance Payments	2180
KTAP and Kinship Care Underpayments	2185
Notification Requirements	2190
Return of Temporary Assistance for Needy Families (TANF) Benefits	2195
Direct Deposit	2198
Technical Eligibility: Requirements	2210-2399
Technical Eligibility Requirements	2210
Technically Excluded Individuals	2215
Strikers	2217
Eligibility Related Disqualifications	2220
Penalized Individuals	2225
Standard Filing Unit (SFU)	2230
KTAP Family with Two Parents	2240
Family with Teen Parents	2250
Married Teen under Age 18	2260
Subsidized Adoption	2275
Foster Care Child	2280
Citizenship Requirements	2285
Verification of Identity	2290
Criteria for Qualified Immigrants	2300
Categorical Limitations	2306

<u>Age Requirements</u>	<u>2310</u>
<u>School Attendance Requirement</u>	<u>2316</u>
<u>School Attendance Verification</u>	<u>2318</u>
<u>Work Registration</u>	<u>2321</u>
<u>Kentucky Works Program (KWP) Work Eligible Individuals</u>	<u>2322</u>
<u>Kentucky Works Program (KWP) Exemption Criteria</u>	<u>2324</u>
<u>Teen Parents</u>	<u>2326</u>
<u>Relationship</u>	<u>2328</u>
<u>Verification of Relationship</u>	<u>2329</u>
<u>Administrative Establishment of Paternity</u>	<u>2330</u>
<u>Common-Law Marriages</u>	<u>2331</u>
<u>Enumeration</u>	<u>2332</u>
<u>Residency</u>	<u>2334</u>
<u>Temporary Absence</u>	<u>2338</u>
<u>Joint Custody</u>	<u>2340</u>
<u>Referral for Child Support Enforcement</u>	<u>2375</u>
Financial Eligibility: Resources	2400-2499
<u>Resources</u>	<u>2400</u>
<u>Excluded Resources</u>	<u>2410</u>
<u>Countable Resources</u>	<u>2420</u>
<u>Individual Development Accounts</u>	<u>2425</u>
<u>Jointly Owned Liquid Resources</u>	<u>2450</u>
<u>Sponsor Resources</u>	<u>2460</u>
<u>Transferred Liquid Resources</u>	<u>2490</u>

Financial Eligibility: Income	2500-2509
<u>Income – General Information</u>	<u>2500</u>
<u>Sponsor Income</u>	<u>2505</u>
Financial Eligibility: Excluded Income	2510-2599
<u>Excluded Income</u>	<u>2510</u>
<u>Excluded Student Income</u>	<u>2512</u>
<u>Complementary Program Income</u>	<u>2513</u>
<u>Six-Month Earned Income Exclusion</u>	<u>2520</u>
Financial Eligibility: Unearned Income	2600-2699
<u>Applying for Entitled Benefits</u>	<u>2606</u>
<u>Child Support and/or Spousal Support</u>	<u>2610</u>
<u>Contributions</u>	<u>2615</u>
<u>Cash Gifts</u>	<u>2618</u>
<u>Test Budget Income</u>	<u>2625</u>
<u>Nonrecurring Lump Sum Income</u>	<u>2630</u>
<u>Income Supplementation</u>	<u>2635</u>
<u>Promissory Note/Mortgage/Land Contract Sale</u>	<u>2640</u>
<u>Other Unearned Income</u>	<u>2650</u>
Financial Eligibility: Earned Income	2700-2799
<u>Introduction to Earned Income</u>	<u>2700</u>
<u>Wages</u>	<u>2710</u>
<u>Tips</u>	<u>2715</u>
<u>Contract Employment</u>	<u>2730</u>
<u>Self-Employment Income</u>	<u>2770</u>

<u>Self-Employment Income Deductions</u>	<u>2773</u>
<u>Rental/Roomer/Boarder Income</u>	<u>2776</u>
Financial Eligibility: Payment Determination	2800-2839
<u>Computation of Countable Income</u>	<u>2800</u>
<u>Determination of Income Eligibility</u>	<u>2810</u>
<u>Determination of Benefit Amount</u>	<u>2820</u>
Financial Eligibility: Deductions	2840-2859
<u>Earned Income Deductions</u>	<u>2840</u>
<u>Earned Income Deduction Restrictions and Good Cause</u>	<u>2843</u>
<u>Time-Limited Deductions</u>	<u>2857</u>
Financial Eligibility: Ineligibility Period	2880-2999
<u>Determining a KTAP Ineligibility Period</u>	<u>2880</u>
<u>Applications during Ineligibility Period</u>	<u>2892</u>
<u>Ineligibility Period Shortened</u>	<u>2895</u>
Child Support Program	3000-3499
<u>Requirements for Child Support Action</u>	<u>3000</u>
<u>[Department of Child Support Services Activities</u>	<u>3010]</u>
<u>Child Support Referral Process</u>	<u>3030</u>
<u>Noncooperation with Child Support Activities</u>	<u>3040</u>
<u>Good Cause Criteria for Noncooperation</u>	<u>3050</u>
<u>Verification of Good Cause</u>	<u>3060</u>
<u>Penalty for Noncooperation</u>	<u>3080</u>
Bonus Payments	3700-3749
<u>Educational Bonus</u>	<u>3700</u>
Relocation Assistance Program (RAP)	3750-3799

Relocation Assistance Program (RAP)	3750
Relocation Assistance Program (RAP) Application and Payment Process	3770
Work Incentive (WIN) Reimbursements	3850-3899
Work Incentive (WIN) Eligibility	3850
Work Incentive (WIN) Reimbursement Process	3860
FAMILY ASSISTANCE SHORT TERM (FAST) PROGRAM	4000-4999
Family Assistance Short-Term (FAST) Program	4000
Eligibility for Family Assistance Short-term (FAST)	4010
Family Assistance Short-term (FAST) Short-term Needs	4020
Family Assistance Short-term (FAST) Payment Procedures	4030
KINSHIP CARE PROGRAM	5000-5199
Kinship Care	5000-5199
Kinship Care Overview	5000
Available Services for Kinship Care Cases	5020
Kinship Care Caretaker Relative Responsibilities	5030
Children Not Eligible for Kinship Care	5040
Kinship Care Technical Requirements	5050
Permanency Requirements	5055
Child Support Requirements for Kinship Care	5060
Kinship Care Income and Resource Determination	5070
Kinship Care Benefit Payments	5080
Kinship Care Recertifications and Changes	5090
Reapplication for Kinship Care Benefits	5100

MS 2001 KTAP 60-MONTH LIFETIME LIMIT (1)

There is a 60-month (5-year) limit on the receipt of cash and some supportive service benefits funded by the federal TANF grant. Consideration of the 60-month limit started in Kentucky on 11/1/96.

A. The 60-month limit applies to:

1. An adult who is included in the benefit group, even when sanctioned;
2. An excluded adult who is a fugitive felon or probation/parole violator;
3. A teen parent who is head of household;
4. Teen parents under age 18, who live together, have a common child and are receiving KTAP benefits;
5. An adult member of the assistance group who received TANF cash benefits from another state. The months of receipt in the other state count toward the 60-month limit, except for months received when the state has a waiver. Contact the state to determine if the benefits were TANF-funded and if the state had a waiver at that time. If the state had a waiver, contact the Family Self-Sufficiency Branch through your regional office to determine how the months are considered.
6. Prorated payments made for the month of application but received the following month.
7. Any month with an established claim even after the claim is repaid.

B. The 60-month limit does NOT apply to:

1. Child only cases. This includes cases with technically ineligible parent due to immigration status or receipt of SSI. Sanctioned and felon cases are not considered child only;
2. A teen parent (under age 18) who is **not** head of household, but included in his/her parent's benefit group;
3. Any months prior to Electronic Benefit Transfer (EBT) and the KTAP eligible amount is under \$10, and:
 - a. The KTAP benefit group does not contain a sanctioned or penalized adult;
 - b. The KTAP benefits are not benefit reduced to repay a claim; and
 - c. The KTAP benefit group is not receiving supportive services; or
 - d. The KTAP benefit group has earnings and receives supportive services.

Inquire Benefit Inquiry in the Benefit Management Section of Worker Portal to determine if benefits were issued through EBT for a particular month.

4. A month in which a KTAP check is returned and:
 - a. The KTAP benefit group does not contain a sanctioned or penalized adult;
 - b. The KTAP benefits are not benefit reduced to repay a claim; and
 - c. The KTAP benefit group is not receiving supportive services; or
 - d. The KTAP benefit group has earnings and receives supportive services.
5. A retroactive payment month. Retroactive months include months:
 - a. A hearing decision that requires retroactive payments be made; or
 - b. Retroactive benefits issued to correct an agency error;
6. **【Family Assistance Short Term (FAST).】**
7. Work Incentive (WIN) reimbursements.
- C. All KTAP cases must be reviewed in the 57th month of receipt to determine if the individual is eligible for an extension beyond 60 months.
- D. Households discontinued for the 60-month lifetime limit:
 1. **【Are NOT eligible for FAST】;**
 2. May be eligible for Work Incentive (WIN) reimbursements if eligibility criteria for WIN are met when the case is discontinued.

MS 2003 EXTENSION OF 60 MONTH LIFETIME LIMIT (1)

[After cash benefits have been received for 60 months, an otherwise eligible KTAP benefit group meeting criteria for an extension may be allowed to continue to receive benefits.

Cases approaching the 60 month limit are reviewed in the 57th month for a potential extension. If the extension reason cannot be verified before cut-off of the 60th month, the KTAP case automatically discontinues. If verification of the need for an extension is received after the discontinuance, reinstate the case.

An individual whose KTAP case was discontinued due to the 60 month limit may receive an extension any time after the discontinuance if the individual meets the criteria for an extension.

When an extension is entered or changed, the case pends for supervisory approval which creates a task in the supervisor queue. When the extension ends, the case is automatically discontinued for receipt of the 60 month limit effective the next administratively feasible month.

The reasons KTAP benefits can be extended beyond the 60 month lifetime limit are:

- A. An adult included in the benefit group is currently in a domestic violence situation. During the extension period, the individual must:
 - 1. Complete and follow the recommendations of a domestic violence service plan with Protection and Permanency (P&P). A copy of the plan must be obtained and scanned into the Electronic Case File (ECF).
 - 2. Comply with KWP activities, unless participation will endanger the individual or the family.
 - 3. Cooperate with child support requirements, unless good cause is granted.

Good cause for domestic violence is reviewed every 6 months or less. The domestic violence service plan should be reviewed when the extension is reviewed.

- B. The individual was in a domestic violence situation in the past for which KWP good cause was granted because it prevented participation. KTAP can be extended for only the number of months the individual was granted good cause due to domestic violence.

EXAMPLE: In the past, an individual was granted good cause due to domestic violence for four months. When the individual is approaching 60 months of KTAP receipt, if requested, the KTAP benefits can be extended for four months.

During the extension period, the individual must:

- 1. Comply with KWP activities, unless participation will endanger the individual or the family; and

2. Cooperate with child support requirements, unless good cause is granted.
- C. An adult, included in the benefit group, who has a physical or mental condition prohibiting work, as determined by the Cabinet.

The determination can be made by the Targeted Assessment Program (TAP), Comprehensive Care, Office of Vocational Rehabilitation (OVR), or the Medical Review Team (MRT). If the determination is not made by TAP, Comp Care or OVR, a referral for a determination must be sent to MRT.

In order to receive an extension, the individual must:

1. Comply with the treatment or other activities recommended by a referral source approved by the Cabinet such as MRT, TAP, Comp Care, or OVR.
2. Cooperate with child support requirements unless good cause is granted. If the individual fails to cooperate with child support without good cause, the case should be discontinued.

The extension is reviewed as specified by the referral source, or if the referral source does not specify a review date, every 3 months.

- D. The parent, included in the benefit group, is required to provide care for a household member who is a parent, spouse, or child with a disability and no alternative care arrangement is available.
1. The need for care is documented by a health care professional on form PA-4, Statement of Required Caretaker Services. Form PA-4 documents the individual who needs care, how many days per week the care is required, and how long care will be needed. Form PA-4 must be scanned into ECF.
 2. The extension is reviewed and a new form PA-4 completed at least every 6 months.

The individual must continue to comply with child support requirements. If child support requirements are not met and there is no verified good cause, the case is discontinued.

- E. A grandparent or other caretaker relative, included in the benefit group, is caring for an eligible child who would otherwise be placed in Foster Care.

The caretaker relative must comply with KWP and child support requirements in order to receive the extension. This extension is reviewed at recertification.

- F. An adult, included in the benefit group, has insufficient employment opportunities, as determined by the Cabinet.

Insufficient employment opportunities are determined on a case by case basis depending on the conditions of the local area. The extension is limited to 6 months and reviewed after 3 months. To remain eligible for the extension, the individual must:

1. Take advantage of offered employment opportunities;
2. Cooperate with KWP activities;
3. Cooperate with child support requirements, unless good cause is granted;

If the individual fails to comply with the requirements of either KWP or child support without good cause, the case is discontinued.

- G. If otherwise eligible, a benefit group containing an adult who has lost a job due to no fault of his/her own, within 30 days of reaching the 60 month limit can receive a 3 month extension. The last day worked and reason for the job ending must be verified. This extension is allowed once and is a maximum of 3 consecutive months.]

MS 2005

KTAP TRACKING

(1)

Adult individuals can only receive benefits from the Kentucky Transitional Assistance Program (KTAP) for 60 months, unless criteria for an extension beyond the 60 month limit are met. Extension criteria can be found in [MS 2003](#). Worker Portal tracks each month of KTAP receipt on the KTAP Time Clock, which is located on the Individual Summary Screen.

A. Months that do not count in the 60 month limit are:

1. Returned check - This reason is used for any month an individual voluntarily returns his/her benefits by either return of the KTAP check or by an adjustment of the EBT account. It is also used to identify any month for which a check was issued, but was returned and cancelled. This could include reasons such as "Unable to Locate" or "child no longer in home".
2. Retroactive payment month - This reason is used for any month when a special circumstance payment is issued for benefits owed for a previous month due to a reversed hearing decision. It is also used to identify special circumstances owed to a recipient for retroactive months due to an agency error.
3. [Felon] - This reason is used to exempt months of receipt prior to 8/1/05 for cases that included a fleeing felon or probation/parole violator.]

B. Months that count in the 60 month limit, but are tracked for other reasons are:

1. Domestic violence with KWP Good Cause – These months are tracked to identify months in which an individual is or was identified as being in a domestic violence situation and unable to participate in KWP activities. An individual can receive an extension beyond the 60 month time limit for the number of months the domestic violence situation existed. This information is tracked by the system when the questions regarding domestic violence are completed.
2. Domestic violence and Participating with KWP – These months are tracked primarily for federal reporting purposes of the number of cases in a domestic violence situation, but could also be used to indicate an individual was or is in a domestic violence situation, when reviewing for discontinuance due to 60 month policy.

Domestic Violence is indicated by answering "Yes" to the question, "Is anyone in the household currently in a domestic violence situation?" on the Non-Financial Questions screen. This will access the "Domestic Violence" screen where the details of the domestic violence situation are entered.

3. [Felon or Probation/Parole Violator – This reason is used to track months of receipt for a case that contains a fleeing felon and probation/parole violator. This reason was effective 8/1/05.

Fleeing felon and probation/parole violator information is indicated by answering "Yes" to the question, "Is anyone in the household a fleeing felon or a probation/parole violator?" on the Non-Financial Questions screen.]

- C. When an individual applies, reapplies, recertifies, or adds a new household member to a KTAP case and states he/she has received cash assistance in another state, answer "Yes" to the question, "Has anyone received TANF, SNAP, or Medicaid benefits in another state?" on the Non-Financial Questions screen. This will access the "Out of State Benefits" screen to indicate the type of benefit, the state, the dates, the TANF amount, and the type of verification received for any benefits received in another state for the application month or following month. If the individual received TANF or SNAP benefits for months prior to the application month, this is also indicated on this screen and will generate form PAFS-28, Out-of-State Inquiry. The worker sends form PAFS-28 to the appropriate state to verify months of receipt. Once the completed form is returned, scan the form into the Electronic Case File (ECF) and update the "KTAP Time Clock" to reflect the correct number of months of TANF receipt.

MS 2010

KWP FULL FAMILY SANCTION

(1)

When a work eligible individual fails or refuses to participate in Kentucky Works Program (KWP) activities, it can result in a full family sanction and discontinuance of KTAP benefits.

- A. A full family sanction and discontinuance of a KTAP case is applied when a work eligible individual has:
 - 1. Received 6 or more cumulative months of KTAP or TANF cash benefits in Kentucky or any other state; and
 - 2. Been penalized by a pro-rata reduction of benefits in a KTAP case for 3 cumulative months since 8/1/05 in Kentucky.
- B. [Full family sanction policy does not apply for two-parent KTAP cases as the failure to participate the required hours in KWP activities results in discontinuance of the KTAP case. A KWP sanction cannot be entered in OTIS for a two-parent case.]
- C. When criteria for a full family sanction are met, the KTAP case is automatically discontinued. Discontinuance of KTAP benefits due to a full family sanction takes precedence over all other discontinuance reasons, except for discontinuance due to reaching the 60-month lifetime limit.

When a KTAP case discontinues for full family sanction, the system takes the following actions:

- 1. A report of all cases discontinued due to full family sanction for each month is created. This report is accessible to and reviewed by Protection and Permanency (P&P) staff to evaluate the family for Safety Net services. Refer to [MS 2025](#) for more information on Safety Net.
 - 2. The SNAP disqualification for failure to cooperate with other programs is automatically ended when the KTAP case discontinues, which will adjust the SNAP benefit amount appropriately. For more information on SNAP disqualifications, refer to Volume II, MS 2370 and Volume IIA, MS 4350.
 - 3. The KWP approved child care assistance is terminated and the family is evaluated for income-based child care assistance.
- D. If the individual reapplies for KTAP following a KWP full family sanction, refer to [MS 2015](#).
 - E. See Volume IIIA, [MS 4750](#) for details concerning cases where the child receives SSI and the only member of the KTAP case is an adult who is sanctioned.

MS 2015 FULL FAMILY SANCTION AT REAPPLICATION (1)

Once an individual receives a full family sanction, the individual must cure the full family sanction before KTAP can be approved, regardless of the reason for the last discontinuance.

A. A full family sanction can be cured if the individual:

1. Has a verified good cause reason for not participating with KWP;
2. Is eligible for KWP exemption; or
3. Has been participating in an approved activity for 15 calendar days **and** agrees to continue participating.

B. The following actions are taken each time an individual with a full family sanction reapplies for KTAP:

1. Full family sanction applications may be taken during an in-person interview or through DCBS Call Services.
2. During the application interview, explain the participation requirements needed to cure the sanction. Form KW-207, Sanction Cure Information, is provided/sent.
3. Determine if the individual is eligible for a KWP exemption or meets good cause criteria as outlined in Volume IIIA, MS 4720. Verification of the individual's eligibility for an exemption or good cause cures the full family sanction.
4. If the individual has been participating in an activity for the required number of hours per week lasting at least 15 days prior to the application date, continues to participate as required, and participation is verified, the full family sanction is cured. Once verification is received, the worker must enter a cure end date on OTIS which will end the disqualification on Worker Portal, allowing the KTAP to approve.
5. If the applicant has not participated in an activity prior to the KTAP application, but wishes to begin curing the sanction, the 15 calendar days begin the day the individual starts participating in a KWP activity. Provide form KW-33, Verification of Kentucky Works Participation, to verify participation.
 - a. For an uncured sanction in OTIS, on the KWP Sanction screen in Worker Portal, add the "Agree to Comply YES" record. Use the application date as the date for agreeing to comply, and enter the Begin Cure date in OTIS. After the required hours of participation have been completed, enter the End Cure date in OTIS (cannot be any earlier than the 16th day).

- b. **[If there is no open sanction record in OTIS, add the “Agree to Comply YES” record on the KWP Sanction screen in Worker Portal. Use the application date as the date for agreeing to comply. This should open the Date Compliance Met field on the KWP Sanction screen. Once that date is entered, choose “next” to navigate to the next screen. Then, on the left side of the screen, choose the KWP Sanction option to navigate back to that screen. Click on the blue edit pencil for the current “agree to comply” record. Enter the Cure End Date and Verification Date to cure the sanction. This should clear the RFI for noncompliance.]**
6. To determine the hours needed to cure the full family sanction, calculate the monthly participation requirements and divide by 2.
 - a. An individual with a 20-hour requirement must participate 87 hours (20×4.33) during the month to meet participation. To cure the sanction, the individual must verify participation in an approved KWP activity for 44 hours ($87/2$) for at least 15 calendar days and intends to continue participation.
 - b. An individual with a 30-hour requirement must participate 130 hours in the month to meet participation. To cure the sanction, the individual must verify he/she participated 65 hours ($130/2$) for at least 15 calendar days and intends to continue participation.
7. The sanction must be cured on OTIS before the KTAP case can be approved on Worker Portal.
8. If a WEP/COM activity was used to cure the sanction, use the FLSA calculator on OTIS to determine the WEP/COM hours allowed for continuing participation after approval of the KTAP case.
9. If the required hours of participation are not completed and verified within 30 days of the application date, the case will deny for “Full Family Sanction”.
- C. If at any point following approval, the individual stops participating without good cause;
 1. Issue form KW-204 and follow the conciliation process to discuss participation and the reason for not meeting the requirements.
 2. If the individual agrees to participate, refer to an appropriate activity.
 3. If there is no response from the individual 10 days after form KW-204 is issued or the individual does not agree to participate, a sanction can be applied.

MS 2025

SAFETY NET

[KTAP cases discontinued due to a full family sanction or receipt of the 60 month lifetime limit are referred to Protection and Permanency (P&P) for an evaluation of Safety Net services. The purpose the referral is to ensure the children in the home are not threatened due to discontinuance of the KTAP case. P&P contacts the family to assess the current living situation. On a case by case basis, P&P may:

- A. Provide assistance to the family to identify resources to address any issues the parent may have in providing care for his/her child(ren).
- B. Refer the family to other appropriate resources.
- C. Intervene in a crisis situation such as a fuel shortage, utility shut-off, insufficient food, clothing, housing, or employment.
- D. Authorize up to \$635 to be paid to an appropriate vendor over a period of 4 months in a 12 month period of time to address safety issues.

To be eligible for Safety Net services, the family must have a child in the household and have income at or less than 200% of the federal poverty level.

Family Support is not involved in the determination or issuance of Safety Net services.]

MS 2040 DISCLOSURE OF INFORMATION FOR TANF PROGRAMS (1)

[Information concerning TANF programs; Kentucky Transitional Assistance Program (KTAP), Family Assistance Short Term (FAST), and Kinship Care (KC), may be released to the entities or individuals listed below, provided they comply with the Health Insurance Portability and Accountability Act (HIPAA). Any material released via fax must be monitored per HIPAA requirements. The receipt of faxes must be arranged so that the person receiving the fax is available to immediately retrieve the faxed information. For details of HIPAA requirements, refer to Volume I, MS 0160.]

- A. Public employees including any identified representative of the Department of Health and Human Services in the performance of his/her duties in connection with the administration of the public assistance or child support enforcement programs pursuant to part D of Title IV of the Social Security Act including:
 - 1. Officials administering any federal or federally assisted program which provides assistance in cash or in kind, or services directly to individuals on the basis of need;
 - 2. Any audit or similar activity; e.g., review of expenditure reports or financial review, conducted in connection with the administration of any federal or federally assisted program. This is limited to governmental entities authorized by law to conduct such an audit or activity;
 - 3. [Any individual or agency agreeing to Departmental standards of confidentiality for the purpose of the provision of social services, employment or training to recipients of KTAP, FAST or Kinship Care];
 - 4. Any service providers attempting to provide assistance to Kentucky Works Program (KWP) participants. The release of information under this provision is limited to purposes directly connected with providing services or issuing supportive services payments; and
 - 5. Officials administering any title IV-E foster care and adoption assistance programs.
- B. Law enforcement agencies and their representatives including county and commonwealth attorneys, district and circuit court judges, and grand juries in discovering and prosecuting cases involving fraud.
 - 1. [A potential fraud situation in the KTAP, KC, FAST, or other benefit programs may be identified by the Kentucky State Police during the course of other investigations. Form KSP-58, Request for Confidential Information, is utilized by the Kentucky State Police when requesting information concerning fraud or potential fraud investigations, whether identified by DCBS or another source.]
 - a. Ensure form KSP-58 is completed in its entirety;

- b. If form KSP-58 is not completed in its entirety, DO NOT release any information or sign the form;
 - c. If the requesting officer indicates he/she wishes to take case record material out of the office, offer to print the necessary documents from ECF.
- 2. Federal, state and local law enforcement officials who, in the proper exercise of their duties, provide the name of a KTAP recipient, and satisfactorily demonstrate that the recipient is:
 - a. A fugitive felon. A fugitive felon is a person who is charged or convicted of committing a felony and has escaped from custody within the jurisdiction wherein the felony occurred. A fugitive felon for the purpose of this definition may either reside in or outside of Kentucky in an attempt to avoid prosecution;
 - b. An individual violating a condition of probation or parole;
 - c. An individual who has information that is necessary for the officer to conduct his/her official duties; or
 - d. An individual involved in a criminal investigation.

The location or apprehension of the recipient must be within the official duties of the law enforcement officer.

Release of information in such cases is limited to information that is specific to the investigation.

- 3. Local law enforcement agency, the Kentucky State Police, Commonwealth or county attorney to report known or suspected instances of child abuse or neglect of a child receiving assistance. The local office cooperates in providing information necessary to verify a suspected or known, senior or child abuse situation which has been reported to the proper authorities.
- C. Members of Congress and the General Assembly, limited to cases of individual constituents who have requested information regarding their application or payment status.
- D. Any representative requesting a hearing before an agency hearing officer, to the extent necessary for the proper presentation of the case. The release of information under this provision is limited to only that information applicable to the hearing request. In addition, any information or names obtained shall not be used for commercial or political purposes.
- E. Attorneys, absent parents, etc., who appear in the local office with a COURT ORDER containing the signature of a judge or another individual with the authority of a judge, such as a Domestic Relations Commissioner. If the court ordered information is due within 10 calendar days, the information can be released. If the local office has any questions on whether the court order

meets the specified criteria or the local office has in excess of 10 calendar days to provide the information, contact the Family Self-Sufficiency Branch through the Regional office. Unless otherwise notified by regional office staff or the court, court orders must be followed. For procedures regarding subpoena requests, refer to Volume I, MS 0170.

- F. Any bank, savings and loan association, credit union, or other financial institution to the extent necessary to ascertain or verify information submitted by the applicant/recipient and used to make a determination of eligibility for benefits.
- G. Any employer to certify receipt of KTAP for purposes of claiming a tax credit under Public Law 94-12 of the Tax Reduction Act of 1975.
- H. Only Board of Elections officials may view forms and/or information utilized directly in the voter registration process. Otherwise, voter registration information remains confidential.

MS 2100

MAKING AN APPLICATION

(1)

No individual is refused the opportunity to apply for benefits. Conditions of eligibility or agency procedures cannot prohibit the opportunity for an individual to apply and obtain a determination of eligibility or ineligibility for the benefits requested. The applicant may be assisted by any individual in the application process and may be accompanied by this individual in all contacts with the agency. If the applicant needs assistance with applying, the worker should provide assistance.

[Individuals may begin an application for KTAP in person at any DCBS office, via telephone by calling DCBS Call Services, or online at kynect.ky.gov; however, an interview with a DCBS worker is required before the application can be completed and approved. If the KTAP case requires a KWP assessment, it can be completed at the application interview or in a separate interview before the KTAP can be approved.

- A. If the applicant has a physical or mental impairment that prohibits visiting an office in person to make an application and the application cannot be completed by telephone or online, a worker must:]
 - 1. Make a home visit or meet at an alternate site that accommodates the individual to complete the application process;
 - 2. Allow the household the option of designating an authorized representative to complete the application process. The representative must be designated in writing by the applicant, unless the individual is physically or mentally impaired; or
 - 3. If the physically or mentally impaired individual does not have someone who can help with the application process and interview, refer that individual to county and community resources for assistance.
- B. If the individual has a physical or mental impairment that affects his/her ability to access services, make accommodations for any special needs the individual may have. Special needs may include, but are not limited to:
 - 1. Interpreter services for the hearing impaired. Refer to Volume I, MS 0220;
 - 2. Limited English Proficiency (LEP) services. Refer to Volume I, MS 0230;
 - 3. Accommodations for use of necessary medical equipment such as a wheelchair;
 - 4. Appointments at a time which corresponds to the use of special transportation services; or
 - 5. Appointments that accommodate the individual's work schedule or health care appointments.

- C. [If the individual wishes to submit an application but is unable to meet with a worker to complete the application interview, the individual can complete form PA-77, Intent to Apply for KTAP, Medicaid, State Supplementation, and/or Child Care Assistance. When form PA-77 is received, the worker must enter the Application Registration portion of the application in Worker Portal and schedule an appointment to complete an application interview with a worker either by telephone or in person. Accommodations must be made for individuals with physical or mental impairments with regard to time and location of the interview.]
- D. The application date is:
1. The date the individual requests benefits and completes an application interview by telephone;
 2. The date the individual comes to the office and applies for benefits by completing an application interview with a worker;
 3. The date a completed and signed form PA-77 is received in a DCBS office;
 4. [The date an individual starts an application online at kynect.ky.gov; or the next business day, if started on the weekend or a holiday.]
 5. The date an individual with a physical impairment contacts a DCBS office requesting special assistance.

Volume 3 - Kentucky Transitional Assistance Program (KTAP)

MS 2105 - R. 5/1/26 - OMTL-692

Cash Assistance Screening Process

Cash Assistance includes two separate programs, KTAP and Family Assistance Short-Term (FAST). An individual can only apply for one of the two cash assistance programs for the same benefit group. The following process is used to screen the individual for potential FAST eligibility.

Note: An application for FAST cannot be initiated through the Self-Service Portal (SSP).

- A. When the individual requests to make an application for cash assistance, complete a search in Worker Portal to determine if the individual already has an existing case:
 - 1. If the individual does not have an existing case, choose the Cash Assistance option on the Application Registration screen. Choosing this option will queue the “Cash Assistance Screening” questions;
 - 2. If the individual has an existing case, choose the “Add/Reapply” option on the Case Summary screen to initiate the application.
- B. On the Cash Assistance Screening screen, answer the following questions:
 - 1. [“Are you actively working and receiving pay, and expect to continue employment for the next three months?” If the individual is currently employed, **receiving pay in the application month**, and there has been or will be a change to that employment within three months of the FAST application date, the answer would be “Yes”. A change in employment may be transitioning from part-time to full-time, temporary to permanent, etc.

Example 1: Nina applied for Cash Assistance on March 5th. She states that she will be transitioning from part-time hours to full-time hours in April. She is behind in her car payments and states once she gets an increase in pay she will be able to meet her expenses. The answer would be “Yes”.

Example 2: Mark applied for Cash Assistance on April 16th and was asking for help with paying his ongoing rent. He is currently working, but he has no changes in circumstances and does not expect any changes. The answer to all the questions would be “No”.

[Example 3: Tom was notified he got a job in June but will not start receiving pay until July. The answer to question 1 would be “No”.]

This question is asking if there is a change in **existing** employment. If the individual is reporting a **new** job and there is pay in the application month, the answer to this question would be “No”.

2. “Are you currently on temporary leave from employment, such as medical leave or layoff, and expect to return in the next three months?” If the individual is currently employed but not working because of a temporary situation, such as medical leave or a company shutdown, and will return within three months of application date, the answer would be “Yes”.

Example: Betty was in car accident in April and applied for FAST April 21st. The doctor stated she would be unable to return to work until July 10th. The answer to this question would be “Yes” as Betty would be returning to work within three months of the FAST application date.

3. “Are you currently not working or not receiving pay this month, but will start working and receiving pay in the next three months?” Answer “Yes” to this question if:
 - a. The individual is not currently employed but will start working within three months of the FAST application date;
 - b. [The individual is working or will start a job in the application month but will **not** receive pay in the application month.]
 - c. The individual is working and has not received pay yet but will be paid within the three months of the application date.

Example 1: Joan applied for FAST on May 2nd. She is not currently working but will start working at Levi's Lumber on July 5th. The answer to the question would be “Yes”.

Example 2: On May 14th, George started to work at UPS but will not be paid until June 12th. He applied for FAST on May 25th as he needs help with his rent and utilities before he gets his first paycheck. The answer would be “Yes”.

Example 3: Don applied for Cash Assistance on April 12th. He began working on April 5th and received his first check on April 25th. He has new employment and receives pay in the application month. The answer to the question would be “No.”

4. “Does the household need temporary assistance with short term needs such as Rent, Utilities, Insurance, etc. due to a change in employment circumstances?” This question will Answer “Yes” to this question if:

- a. The individual has a change in employment circumstances as reflected with a “Yes” for one of the previous questions; and
- b. The individual needs **temporary assistance** with meeting these expenses.
- c. [The individual must have reasonably sufficient income to meet these expenses after FAST assistance has been received. If all the employment questions are answered “No”, then this question will not open.

Example 1: Mallory was laid off in April. She started a new job on May 6th. She will be paid \$600 a week which is less than the previous job. Her ongoing rent is \$1800 a month. She also pays monthly utilities and a car payment. She says the new income will not cover the expenses. Her expenses are not considered short-term as her ongoing income will not be sufficient to meet her needs. Therefore, Mallory is not eligible for FAST.

Example 2: Aaron is employed and receiving a steady income. He does not expect any change in circumstances. He is applying for FAST to pay his past due utility bills to prevent a shut-off of services. “No” must be entered for employment question 1 through 3. Aaron is not eligible for FAST.

Example 3: Chris lost his job in February. He applies for FAST in March and reports that he will start a new job in May. He requests assistance with his rent until he begins working again. His new job will be sufficient to pay his rent ongoing. The answer to the short-term needs question would be “Yes.” Chris is eligible for FAST.

Example 4: Maggie is on maternity leave until June 10th. She applied for FAST on April 19th and presented a doctor's statement and past due rent bill. The response to Question #2 and #4 would be “Yes”. Maggie is eligible for FAST.]

5. “What is the total gross income for the month for everyone in your household?” This question is to allow the Case Manager to advise the individual about potential income eligibility in the application month. The response does not affect the system processing of the FAST application.

Only one of the employment questions should be answered “Yes”. The Case Manager must decide which question best suits the household's situation. In a two-parent household, answer the questions based on the parent who has a change in employment circumstances. If one of the employment questions and

the short-term needs question is answered “Yes”, the FAST Decision Screen will queue.]

- C. The potential for FAST eligibility is based on the answers to the screening questions.
 - 1. If the individual is potentially eligible for KTAP and FAST, the worker is navigated to the KTAP/FAST Eligibility screen. On this screen, the Case Manager explains the options for each program, and the individual chooses which program to continue. Once a program is selected and the decision signature has been captured, the program cannot be changed;
 - 2. If the individual wants to apply for the other program, the current application must be withdrawn;
 - 3. If the individual is not potentially FAST eligible, the system defaults to the KTAP application flow.

For additional information concerning FAST, refer to MS 4000 – 4020.

MS 2120 KTAP APPLICATION/RECERTIFICATION INTERVIEWS (1)

[KTAP/KWP application interviews can be completed in-person or by telephone. If the individual is unable to complete the interview in the office or by telephone, the interview may be conducted at an alternate site that accommodates the individual. The interview can also be completed during a home visit or at the local office with a designated representative chosen by the individual.]

Full Family Sanction applications may be taken during an in-person interview or through DCBS call services. Refer to [MS 2015](#) for information regarding full family sanction at reapplication.

For KTAP/KWP recertifications, the interview can be completed by telephone. However, if the KWP assessment has not been completed, the individual must complete the assessment and TAA segment of the application with a case manager. The assessment may be completed in-person or through DCBS call services.]

The recertification is completed every 12 months for KTAP cases. The interviews can be completed prior to the beginning of the recertification due month.

During the application/recertification interview, ask the individual each question from the application and discuss any answers which need clarification or seem inconsistent. Do not ask for information concerning a noncitizen who is not applying for benefits if the information is not needed to determine eligibility for the KTAP benefit group.

Ensure that the following information is discussed with the individual:

- A. Explain the 60-month time limit for receipt of KTAP benefits.
- B. Obtain social security numbers for all members applying for benefits. Assist any member who does not have or who cannot provide a social security number to initiate an enumeration application. Refer to [MS 2332](#).
- C. Explain the Kentucky Works Program, and provide form PA-219, Kentucky Works Assessment Process. For work eligible individuals, complete the KWP assessment and the TAA at each application. A new TAA is **not** required at recertification **unless** there is a change to the employment goals or accommodations section(s). Refer to [MS 2322](#) for the definition of a work eligible individual.

Explain supportive services including the Child Care Assistance Program (CCAP), transportation payments, Relocation Assistance, Work Incentive (WIN) reimbursements, and other supportive services provided under KWP.

[Explain if an individual receives a supportive service payment but does not pay the vendor or has a dispute with the vendor, it is NOT the responsibility of the worker to resolve the debt/dispute with the vendor. The settlement of the debt is between the individual and vendor.]

- D. Explain the requirements of the child support program in cases of voluntary absence. Complete a referral for child activities if applicable.

- E. Explain all changes must be reported within 10 calendar days of the date of change, as well as any changes which occur prior to processing the application. Explain if the child is expected to be out of the home for more than 30 days, the individual must report this change within 5 days. Provide form PA-17, Responsibilities for Reporting Changes.
- F. Explain the effects of lump sum income.
- G. Explain the individual's right to fair hearing to appeal any adverse decision.
- H. Explain the individual's rights under the Civil Rights Act and the Americans with Disabilities Act (ADA). Review form PAFS-600, Do You Know?, the ADA fact sheet, with the individual and give the form to the individual. Annotate the case record with any accommodation that is needed for the individual to access benefits and comply with program requirements.
- I. Explain claim policy.
 - 1. Determine if there is an outstanding claim.
 - 2. Discuss with the applicant/recipient repayment of any claim.
- J. Explain proration of benefits for the month of application.
- K. If a member of the assistance unit appears to have a disabling health condition, e.g., quadriplegia, head injury, etc., refer the individual to the Social Security Administration utilizing form PAFS-5.1, Report or Referral to the District Social Security Office, to apply for SSI/RSDI benefits. The individual's KTAP application is NOT delayed pending a determination of the individual's RSDI or SSI entitlement.
- L. Explain the voter registration process and complete form PAFS-706, Voter Registration Rights and Declination, for the applicant/head of household. See Volume I, MS 0640 and MS 0650.
- M. Explain the use of Electronic Benefit Transfer (EBT) to access benefits. See Volume I, MS 0270. The KTAP and Kinship Care monthly benefit is accessible from the EBT account on the first day of the month whether issued at first or second issuance.
- N. Obtain a nearby telephone number, if available, for an applicant/recipient who does not have a telephone.
- O. Verification that is 60 days or less old can be used for the KTAP application or recertification.

Example: A KTAP application was taken on 5/15/18 and a SNAP recertification was completed on 4/5/18. Form PAFS-76 was used as verification for household composition and residency for the SNAP recertification. This form can also be used as verification for the KTAP application.

- P. Provide the individual with a request for information (RFI) or verification needed to process the application/recertification that indicates the date the information/verification must be returned. Explain that the individual may request additional time to obtain the verification if needed.

MS 2130

ASSESSMENT PROCEDURES

(1)

Work eligible individuals are required to complete a Kentucky Works assessment to be eligible for KTAP benefits. The assessment is completed to determine a work eligible individual's current level of employability and develop a plan to reach self-sufficiency. The KWP assessment is designed to facilitate an open discussion between the individual and case manager to identify individual's strengths and challenges to ensure participation in KWP activities. If an individual fails to complete the assessment, the KTAP application is denied or the existing KTAP case is discontinued.

Some individuals are not required to complete the KWP assessment at application:

- A. Individuals identified as exempt from KWP participation are not required to complete the assessment prior to approval of KTAP. For more information, see [MS 2324](#). Completing the assessment is a requirement when the exemption is no longer appropriate.
 - 1. SSI recipients;
 - 2. Ineligible immigrants; and
 - 3. Teen parents age 18 or younger who are not head of household.
- B. Worker Portal will send out form KW-219, Kentucky Works Program Fact Sheet, with a Request for Information (RFI), informing the individual that an assessment is required. Before beginning the assessment, review form KW-219 with the applicant to ensure better understanding of the process.
- C. Employment related questions are used to capture work experience, skills, job preferences, and potential challenges to employment.
 - 1. Review the individual's employment history.
 - a. If currently working, ensure the employer information, earnings and hours are entered on the Earned Income Details screen;
 - b. Review prior employment and any volunteer experience to determine the individual's interests and aptitude;
 - c. Identify the individual's marketable skills and explore if these skills are transferable to jobs available in the area;
 - d. Discuss if additional training or experience is needed in order to get a job;
 - e. Determine if past behaviors negatively affect the individual's ability to find and keep a job. Develop a strategy to lessen the impact of the behavior on current activities; and

- f. Identify issues that the individual feels may prevent employment. A plan of action is needed to address the identified issues.
2. Indicate observable behavior from the interview in the worker's observation questions, if needed. Entries may consist of pertinent information relating to:
 - a. The individual's interviewing and interpersonal skills observed during the assessment and application process;
 - b. The individual's written communication skills as evidenced by completion of forms;
 - c. Discussions regarding past work experience; and
 - d. Training needs.
- D. Education related questions are used to determine the existing level of formal education, need for English as a Second Language (ESL) instruction, and if the individual wishes to participate in an education component.

The education assessment gathers information on the individual's basic and advanced educational level and includes screening questions to assess the individual's need or desire to pursue a high school credential or attend classes to improve English language skills.

The worker observations/additional comments screen is used to record information provided by the individual that is not addressed in other responses.

- E. Information is collected from the individual during the assessment process to identify challenges to participation, such as:
 1. The need for child care arrangements and back up plans for children who require supervision;
 2. The need for a reliable transportation source to travel to and from a job or other activities. Determine if the individual has access to a vehicle and if he/she is able to drive legally. Other options can include public transit, carpools, or being transported by family members or friends;
 3. An unstable housing situation. Frequent moves may be an indicator of domestic violence, lack of a personal support system, the need for life skills instruction, or linkage to sources of housing assistance available in the community;
 4. Lack of personal care items, clothing, glasses, or the need for dental care;
 5. How employers, service providers, or the case manager can contact the individual. If there is no phone in the home, identify alternate sources of communication;

6. The presence of possible domestic violence. If the worker suspects an abusive or neglectful situation that endangers the children or adults, contact with Protection and Permanency (P&P) is legally required. Reports can be made by calling the Adult and Child Abuse Reporting Hotline at 1-800-752-6200 or by following procedures set up by the Region. Follow-up the telephone contact in writing, with an e-mail or on form PAFS-628, Exchange of Information. Indicate a domestic violence situation; or
 7. Issues with a child's behavior.
- F. The following categories are optional and explored only if the individual agrees to answer questions related to general health, mental health, or learning needs. The KTAP application is not denied if an individual chooses not to complete these sections.
1. Physical Disability Assessment. General health questions to determine if the individual has physical health issues that need an accommodation to the types of activities or hours of participation and/or a referral to community resources for further assessment. Refer to Vol. IIIA, MS 4500.
 2. Mental Health Assessment. Questions to help determine if the individual has issues relating to depression, substance abuse, attention or anxiety that need accommodation to types of activities or hours of participation and/or a referral to community resources for further assessment. Refer to Vol. IIIA, MS 4505.
 3. Learning Needs Assessment. Questions to determine if a referral is needed for a professional screening for the presence of a learning disability. Refer to Vol. IIIA, MS 4510.
- G. When a KWP exemption ends and an assessment has not been completed on Worker Portal, an RFI and form KW-219 are system-generated to the individual to inform the individual that an assessment must be completed. If the assessment is not completed by the RFI due date, the KTAP case will discontinue.
- Once entered on Worker Portal, the assessment information uploads for each subsequent reapplication. At each reapplication, a review of the assessment screens is required and any changes or new information is updated in Worker Portal.
- H. A SNAP disqualification is not appropriate for KTAP denials or discontinuances due to failure to complete an assessment. Completion of the assessment is a technical eligibility factor for KTAP and not a work requirement.
- I. **[An application will pend for 30 days for completion of the assessment. Do not pend a case over 30 days for completion of the assessment.]**

- J. At case change, the case will pend for 10 days for completion of the assessment. If the assessment is not completed within the time frame indicated on the RFI, an adverse action notice is system-generated, and the KTAP case is discontinued.
- K. If Worker Portal is not available, complete a hardcopy assessment utilizing form KW-200, Kentucky Works Assessment Form.

Volume III - Kentucky Transitional Assistance Program
MS 2155 - OMTL- 688 – R. 3/31/2026
Sign Application Forms

The KTAP, Family Assistance Short Term (FAST), and Kinship Care application summary must be signed and dated by the parent, caretaker relative, or authorized representative (AR) who is completing the interview with the worker. If both parents are present for the interview, the application can be signed by either parent.

- A. When a phone interview is completed, the application can be signed by Voice Signature or by mailing the application summary to the individual to sign and return. To have a hard copy application summary system generated to the individual, select “No Signature Provided” as the “Signature Type” on the “Sign and Submit” screen.
- B. When an in-person interview is completed, the application can be signed electronically by the individual signing with an electronic signature pad or by choosing “Hard Copy” and printing the application summary locally.
- C. For Medical Review Team (MRT) requests for Kentucky Works Program (KWP) good cause determination based on “unable to participate/work”, the authorized representative (AR) can complete the MRT request; however, the AR **cannot** sign form MRT-15, Authorization to Disclose Information to Cabinet for Health and Family Services. The individual must sign the release form.
- D. When the Kentucky Works Program (KWP) assessment is completed, form KW-202, KTAP Transitional Assistance Agreement, must be signed by the individual and cannot be signed by the AR.
- E. For cases that require an absent parent referral and signed KTAP-125/KC-125, NCP Fact/Information Sheet and Assignment of Rights:
 - 1. [If the parent of the child is in the household, form KTAP-125 must be signed and dated by the parent of the child who is required to cooperate with the Department of Child Support Services (DCSS).]
 - 2. Form KC-125 must be signed by the caretaker relative responsible for cooperating with for the child.
 - 3. An authorized representative should **NEVER** sign forms KTAP-125 or KC-125.
 - 4. [If the KTAP application and DCSS referral are being completed through a phone interview, a voice signature is completed for KTAP-125/KC-125. The Assignment of Rights notices have been updated to automatically populate a voice signature on the notice when a voice signature has been provided. A blank copy of the notice will be sent out when no signature is provided.]

MS 2158 ELECTRONIC CASE FILE CONTENT (1)

The electronic case file (ECF) contains pertinent information about each applicant and recipient and supporting documentation for every decision made regarding eligibility. Although it is no longer necessary to update a hardcopy case record. The hardcopy case record is retained following the purging procedures in Vol. I, MS 0040.

A. **【At a minimum, ECF should contain the following documents for KTAP, Family Assistance Short Term (FAST), and Kinship Care (KC):】**

1. A signed application for each eligibility period when an electronic or voice signature is not used;
2. Verification used to determine initial and continuing technical eligibility; such as driver's license, birth certificates, divorce decree, form PAFS-76, etc.;
3. Verification used to determine initial and continuing financial eligibility such as wage stubs, award letters, form PAFS-700, employment contracts, bank statements, etc.
4. Any notices created outside the system and given or sent to the individual; and
5. Form KTAP-125/KC-125, NCP Fact/Information Sheet and Assignment of Rights, signed by the appropriate individual.

B. **【Documents specific to FAST that should be in ECF are:】**

1. Verification of the individual's short term needs;
2. Verification of current or future employment; and
3. **【Verification to support issuance of each FAST payment.】**

C. Documents specific to KC that should be in ECF are:

1. Form KIM-78KC;
2. Form KC-01;
3. Central Office approval, if required;
4. Verification that the caretaker relative is pursuing permanent custody; and
5. Custody or other court orders.

D. Documents specific to the Kentucky Works Program (KWP) that should be in ECF are:

1. Verification of eligibility for an exemption from participation with KWP, such as form PA-4, Statement of Required Caretaker Services, or a Social Security award letter verifying 100% disability.
2. Verification of KWP good cause, such as form KW-6, Kentucky Works Determination, or a doctor's statement to verify high risk pregnancy.

Documents that verify KWP participation, such as form KW-241, WEP Training Site Agreement, form KW-33, Verification of Kentucky Works Program Participation, or other participation verification;

4. The signed Transitional Assistance Agreement (TAA) for the most recent application;
5. Verification for issuance or payment of supportive services such as form KW-32, Authorization of Supportive Services Payment, KW-34, Car Repair Estimate Verification, written estimates, invoices, receipts, etc.
6. Forms WIN-1, Work Incentive (WIN) Report and/or WIN-2, Second Notice for Work Incentive (WIN) Report and verification of employment; and
7. Any notices created and given or sent to the individual outside of the system.

Volume I – Kentucky Transitional Assistance Program
MS 2159 – R. 3/1/26 – OMTL-688
Case Notes

The purpose of case notes is to capture pertinent case information and ensure that the case notes contain sufficient documentation to substantiate the validity of all authorized assistance. Volume I, MS 0130, provides information for entering general comments that pertain to all DCBS programs. This section provides information specific to KTAP (including KWP, RAP, and WIN), FAST, and Kinship Care.

Workers should comment in the case notes for the following situations:

A. Application:

1. Type of case (KTAP single parent household, two-parent case, KTAP payee, Kinship Care, or FAST);
2. State who is included in the KTAP benefit group, and document the reason an individual who lives in the household is not included in the case; and
3. Document any unusual application situations (Example: home visit).

B. Authorized Representative: Document if there is an Authorized Representative on the case, and the relationship of the Authorized Representative to the applicant.

C. Relationship: State the relationship of the child/children to the applicant (parent or caretaker relative) and how relationship was verified. Also state the relationship of a second parent or other adults in the household.

D. Education:

1. If the 18-year old person resides in the home and is included in the KTAP benefit group, document if person is in regular school attendance.
2. Document education enrollment for KWP participants and verification used.
3. Document if an individual requested an educational bonus, verification, and whether approved or denied and reason for the decision.

E. Residency: Document the individual is a Kentucky resident.

F. Citizenship/Immigrant Status: Document the individual is a U. S. citizen, or if the individual is an immigrant, document the verification of the immigration status.

G. Work Registration: Document whether the individual is exempt, agrees, or does not agree to work register.

H. Resources: Document any resources, and state how resources were verified.

I. Income:

1. Earned Income:

- a. Document the circumstances when an individual quit or failed to accept a job;
- b. Document if income was reported timely, and if verification was returned timely;
- c. Document whether the individual chose or declined the 6-month earned income exclusion;
- d. Document when the 50% deduction is applied;
- e. Document that the individual was advised of WIN requirements; and
- f. Document when the income verification and calculations conflict with system entries or deviate from normal procedures.

2. Unearned Income and verification used;

3. Excluded Income and verification used;

4. Self-Employment and verification used;

5. No Income – when required, document how no income is verified.

J. **[Department of Child Support Services (DCSS): Review CSE requirements with the applicant, and document whether the individual is willing to comply. If unwilling, document whether good cause exists.]**

K. Medical Review Team (MRT):

Document when an MRT is requested for a KWP good cause determination and the results.

L. Kinship Care (KC):

1. An explanation of any discrepancies on form KIM-78KC, such as placement date missing or revised by P&P. If form KIM-78KC is missing from the electronic case file (ECF), document that Central Office has verified the family is eligible for KC.
2. An explanation for reinstatement or reapplication of Kinship Care, including any directives from Central Office.

M. Kentucky Works Program (KWP):

1. Exemptions: If an exemption is used, specify which type of exemption is being used, such as the KWP exemption based on Caring for a Child Under 12 Months Old.
 2. Transitional Assistance Agreement (TAA): Document that a TAA is completed and signed, and when the TAA is updated.
 3. Participation: Specify in OTIS what activity the individual chooses for participation, and where and how many hours the individual will be participating.
 4. Good Cause: Document the reason, verification, and review dates of the good cause. Document if a field determination was made or an MRT determination is requested and the results. This should also be documented in OTIS. Also, document if a good cause request is denied and the reason for the denial.
 5. Sanctions:
 - a. Document the reason for a sanction and the steps taken before the sanction is applied. This should also be documented in OTIS.
 - b. Document the steps taken if a sanction cure is needed either a regular sanction or due to full family sanction and how it is cured. This should also be documented in OTIS.
 6. Document if child care is needed for KWP participation.
 7. Document in OTIS if transportation is requested and issued.
 8. Document in OTIS if a supportive service is requested:
 - a. What is requested;
 - b. How much is the estimate;
 - c. Form KW-32 issued; and
 - d. Payment issued or denied and reason for denial.
- N. Family Assistance Short Term (FAST):
1. If the applicant is FAST eligible, and they are choosing FAST;
 2. Document the situation that indicates FAST eligibility including employment, circumstances that led to short term needs, and ongoing self-sufficiency;
 3. If the FAST application is denied, document the reason for the denial;
 4. Document when any payments are issued, include what is being paid and to whom the payment is made;

5. If a payment request is denied, document the reason for the denial;
6. Document the 3-month time frame in which the applicant is FAST eligible.
Example: The 3-month FAST eligibility period is 3/5/21-6/4/21.
7. Document that the applicant understands that receipt of FAST excludes the benefit group from receiving KTAP for 12 months. See Vol. III, [MS 4000](#) for exclusions to this requirement.

O. Relocation Assistance Program (RAP):

1. Document that the individual requested assistance for moving and the reason for the move;
2. Document what verification was used to support the move; and
3. Document if the request was approved or denied and the reason for the decision.

P. Work Incentive (WIN):

1. In Worker Portal, document whether the individual is eligible for WIN and why.
2. In OTIS, document the payment actions including issuing form WIN-2, the need for additional info, or the denial of a payment.

Q. Other:

Only comment if applicable:

1. Reason for a special circumstance or supplement, calculation of the amount, and the time-period it covers;
2. A request for a fair hearing and continuation of benefits during the hearing process;
3. If the individual received TANF from another state and the verification method used to verify months added to the KTAP Time Clock;
4. Pregnancy: Document high risk and verification source;

R. Batch Match: Document what action was taken to resolve the batch match.

MS 2160

CASE ACTION ON APPLICATIONS

(1)

Approve the application if all technical and financial eligibility factors are met and verified as of the day of processing.

- A. If a KTAP application is made for a child who is receiving Foster Care in the same month, the application cannot be approved until the Foster Care benefits stop. Verify through Protection and Permanency staff the date the benefits stopped. The KTAP case may be approved effective the day following the date Foster Care benefits stop.

EXAMPLE: A child is in a Foster Care home until November 18. A KTAP application is made for the child on November 17 based on the child being returned to the parent's home. Protection and Permanency staff verified that Foster Care benefits were paid from November 1 through November 18 when they were discontinued. The approval date for the KTAP case would be November 19.

- B. If an individual, who is required to be included in the KTAP case, joins a KTAP case which is serving an ineligibility period, the ineligibility period is recalculated, including the new individual in the family size. See [MS 2895](#). A separate KTAP case is NOT established for an individual who is added to the KTAP household AFTER the month of receipt of the nonrecurring lump sum income, but during the ineligibility period.
- C. For reapplications during the period of ineligibility, determine if the criterion for determining the ineligible months is still in policy. When policy has changed to exclude the criteria used previously, the ineligibility period is recomputed using new policy. If the ineligibility period is inappropriate, determine eligibility based on current case circumstances.
- D. For reapplications involving Kentucky Works Program (KWP) sanctions, refer to Volume IIIA, MS 4780.
- E. For a reapplication due to an erroneous denial:
1. Process the reapplication for ongoing months;
 2. Determine eligibility for the erroneously denied months; and
 3. Issue benefits for the erroneously denied months through special circumstance.
- F. For a reinstatement due to an erroneous discontinuance, refer to [MS 2165](#).
- G. KTAP benefits are prorated from the date of application except in cases of reinstatement, erroneous discontinuances or when the 31st day of unemployment is beyond the date of application.
- H. Processing the case within the appropriate time standards, the time standards are not affected even if the case must be pended. Cases should

only pend **when it is necessary** for a worker to enter more detailed comments, double check system entries, or complete supervisory reviews. The reason for the delay should be entered in comments on Worker Portal.

I. Deny the application if:

1. All technical and financial eligibility factors are not met;
2. Eligibility cannot be established due to the applicant's failure to present requested information within the timeframe of the Request for Information (RFI) or to clarify inconsistencies; or
3. The applicant refuses to complete the application process and the application has already been started on Worker Portal.

J. **【**For applications involving potential out-of-state benefits for an applicant who previously lived in another state, process the application as follows:

1. If the applicant states that TANF benefits were not received from the other state, do not delay processing the application pending the return of form PAFS-28, Out-of-State Inquiry. Send form PAFS-28 from Worker Portal, Manual Correspondence as a follow up verification of the applicant's statement.
 - a. If the returned PAFS-28 verifies no TANF benefits were received for the application month, scan into ECF and annotate "Notes" on Worker Portal.
 - b. If the returned PAFS-28 verifies TANF benefits were received in the application month, a claim referral is submitted for benefits received in Kentucky.
2. If form PAFS-28 indicates the individual received a payment for the same month as the application month in Kentucky:
 - a. The KTAP application is denied if the TANF case is still active in the other state.
 - b. If action has been taken by the other state to discontinue the TANF payment, deduct the out-of-state payment on a dollar-for-dollar basis from the ongoing payment.

Do not apply ratable reduction policy to the out of state TANF payment. Remove the TANF payment effective the month of the other state's effective month of discontinuance.】

Volume 3 - Kentucky Transitional Assistance Program (KTAP)

MS 2163 - R. 5/1/26 - OMTL-692

Standard of Promptness

The standard of promptness is the time frame allowed for a worker to process a case action. The timeframes vary depending on the type of case action being completed.

- A. An application must be processed by the close of business on the 30th day following the date of application. The first day of the 30-day period begins the day after the application date and ends at close of business on the 30th day. If the 30th day falls on a weekend or holiday, the timely date is the first workday following the weekend or holiday.
- B. A recertification initiated:
 - 1. By the 15th of the month is considered timely and must be completed by the end of the renewal month; and
 - 2. After the 15th of the month is considered untimely and has until 30 days to be completed or has until the last day of the following month, whichever comes first.
- C. A reported change in circumstance must be entered in the system within 10 calendar days from the day it is reported.
 - [1. If the reported change does not require additional information or verification, process the change upon entry of the reported change.
 - 2. If verification is needed, send an RFI to request the needed information or verification allowing at least 10 days for the return. If the 10th day falls on a weekend or holiday, the next workday is considered timely.
 - a. Once the information or verification is provided, process the change within 3 days receipt of the information or verification.
 - b. If the individual does not respond to the RFI, the KTAP will be discontinued by the system for failure to provide the requested information or verification.]

MS 2165 REINSTATEMENT OF KTAP BENEFITS

[Use the following guidelines to reinstate a case that was discontinued in error.

An incorrect KTAP discontinuance is reinstated by completing the following actions:

- A. Determine the cause of discontinuance and decide what action is needed to correct the error;
- B. Select the Reinstatement option from the Case Summary screen on Worker Portal;
- C. Select the Program, Reinstatement Reason, and enter comments on the "Reinstatement Program" screen;
- D. Ensure all information in the system is answered correctly and correct any errors that caused the erroneous discontinuance; and
- E. Explain in the case notes the reason for the reinstatement and what actions were taken to correct the case.]

Volume 3 Kentucky Transitional Assistance Program (KTAP)

*MS 2170 - R. 5/1/26 - OMTL-692

Processing Recertifications

- A. For a recertification, if the individual is eligible on the day of processing, assistance continues.
- B. If the individual is KTAP ineligible on the day of processing, Worker Portal discontinues the KTAP case. Establish a claim, if appropriate.
- C. The following is the recertification process. To be considered timely, recertifications are initiated by the 15th of the recertification month. Untimely recertifications are entered after the 15th of the recertification month.
 - 1. If the recertification is initiated on or before the 15th of the month, act on the recertification by the end of the month. As such, the individual has until the end of the month to return mandatory verification.
 - 2. If a recertification has not been initiated by the 15th of the recertification month, the household is notified it must contact DCBS by the last workday of the month to initiate the recertification process.
 - 3. If the recertification is initiated after the 15th of the month, have verification returned and act on the recertification no later than 30 days from the date the recertification was initiated in Worker Portal. As such, the individual has 30 days from the date the recertification is initiated or until the end of the following month, whichever comes first.
- D. When a KTAP individual reports a change at the KTAP recertification, the change is considered reported for SNAP or MA purposes. The individual is not required to report the change for the SNAP or MA case separately or provide separate verification.

Volume 3 - Kentucky Transitional Assistance Program (KTAP)
MS 2175 - R. 5/1/26 - OMTL-692
Processing Case Changes

[Changes, both increases and decreases, are to be reported within 10 days of the change to be considered timely. It is important to correctly enter the date the change is reported as this can affect the eligibility for the 6-month exclusion, the 50% deduction, and potential WIN eligibility.

When a KTAP individual reports a change, the change is considered reported for SNAP or MA purposes. The individual is not required to report the change for the SNAP or MA case separately or provide separate verification.

- A. When an increase change in circumstances is reported, take the following actions.
1. Enter the information on Worker Portal immediately to determine eligibility.
 2. Request verification as needed to process the change.
 3. Action must be taken on reported changes to affect benefits in the first administratively feasible month. Once monthly issuance takes place, the next month's benefits have been processed and cannot be changed.
 - a. If a change will increase benefits and action is not taken by cut-off, review the case for a possible supplement.
 - b. When a request to add an individual, including a child, to a KTAP EDG is received, KTAP technical and financial eligibility is redetermined based on the date of the request.
 - c. Supplemental KTAP benefits are not issued prior to the date the member add was requested. Worker Portal issues the supplement, but the worker should review the case to ensure the supplement is issued.
- B. If a change will decrease or discontinue benefits, the change must be entered by adverse action date or KTAP cut-off, whichever comes **first**, to affect the next month's benefits. Adverse action and cut-off dates are posted monthly on the Worker Portal Dashboard.

Example 1: An individual reports a member of the benefit group left the home on 9/6/24. Cut-off falls on 9/20/24, and adverse action is 9/19/24. As this change will decrease benefits, the change must be entered by 9/19/24 to be effective 10/1/24.

Example 2: An individual reports a member of the benefit group has left the home on 11/6/24. Due to the holidays, cut-off falls on 11/18/24. Adverse action is 11/20/24. The change must be entered by 11/18/24 to be effective 12/1/24 since the KTAP cutoff is before the adverse action date.

Example 3: An individual reports a member of the benefit group left the home on 9/16/24. Cut-off falls on 9/20/24. The change is entered on 9/23/24. This change will be effective 11/1/24 as the case will pend for the 10-day adverse action period.

C. For any action that decreases or discontinues the benefits, Worker Portal sends an adverse action notice to the individual. The notice gives the individual 10 days to contact the agency to dispute the action or provide the previously requested verification. If the 10th calendar day falls on a weekend or holiday, the verification is due the next workday.

1. If the individual does not contact the agency, provides the requested information within the 10 days or does not disagree with action, the action is processed.
2. If after the contact the individual still disagrees with the action, a fair hearing may be requested. Refer to Vol. 1, MS 0485 for information on the continuation of benefits.

D. If the individual reports a change, but does not provide necessary information at the time of report:

1. Send a request for information (RFI) and/or schedule an appointment to obtain the required verification.
2. Allow the individual 10 calendar days from the date of the RFI to respond. If the 10th calendar day falls on a weekend or holiday, the information is due the next workday and is considered timely if provided on the next workday.

Example: Ron reports a new job on 10/8/25. An RFI requesting verification of wages and hours is sent with a due date of 10/18 which is a weekend. Ron returns the verification on 10/20, the next workday after the weekend. The return of the verification is considered timely.

E. If the individual responds with the requested information within 10 calendar days (or next workday if holiday or weekend), process the change. Authorize supplemental payments beginning with the month in which the individual reports the change. Use the date of the report when adding an individual to the case.

F. If the individual DOES NOT respond to the RFI within 10 calendar days;

1. For KTAP, Worker Portal takes the appropriate action and sends a notification of the action taken.
2. For Kinship Care (KC), Worker Portal takes the appropriate action and sends a notification of the action taken. In addition, KC cases have a 10-day grace period from the effective date of discontinuance to return verification. If the KC individual returns all requested verification within the grace period, KC can be reapproved.

Example: Mary, the caretaker relative, receives KC benefits for Troy. An RFI was sent to Mary to provide the permanent custody order for Troy. Mary failed to do so, and an adverse action notice was sent with a due date of 8/13/25. No response from Mary, and on 8/13/25, Worker Portal discontinued the benefits effective 9/1/25. On 9/4/25, Mary came into the office with the court order. Since she was within the 10-day grace period, the KC benefits can be reapproved.

G. Changes reported by a third party are handled in the following manner:

1. Notify the individual of the need to discuss the reported change. The individual can either call or come into the office for this discussion within 10 days of the report. Accommodations must be made for individuals with physical or mental impairments regarding time and location.
2. If the individual responds and confirms the reported change, request verification of the change. Send an RFI to request verification of the change. Also, include form PAFS-700, Verification of Income, if the change involves income, or form PAFS-76, Information Request, if the change involves an address change.
3. If the individual fails to show for the appointment or provide verification timely, discontinue benefits.
4. If the individual provides verification of the new information, the change is entered on Worker Portal.】

MS 2180 SUPPLEMENTAL AND SPECIAL CIRCUMSTANCE PAYMENTS (1)

[Supplemental payments are authorized when the KTAP or Kinship Care (KC) benefits received are less than the entitled amount due to a reported change in circumstances or an agency error. Supplemental payments are issued to the EBT account or direct deposit, as appropriate.

Special circumstance payments are authorized when benefits must be issued for a month in which there was no active KTAP or KC case. These benefits are issued in the form of a paper check.

- A. If an individual reports a change in circumstances which affects the benefit amount:

1. Enter the reported change per the verification provided.
2. Worker Portal will automatically issue any supplemental payments that are owed to the family due to the change.
3. **After** eligibility is determined and the case is successfully disposed, review the case to ensure Worker Portal issued the appropriate supplemental payments. If the appropriate supplemental payments were not issued by Worker Portal, calculate and manually issue any needed supplemental payments.

Do **not** issue supplemental payments for a case pending disposition.]

- B. Prior to issuing a supplemental payment, Worker Portal will determine if the individual has any established outstanding claims.

1. If a claim exists, Worker Portal will prevent issuance of a KTAP or KC supplemental benefit to the household and will apply the amount of the supplement to the existing claim.

Example: On January 25, the individual reports an ongoing decrease in work hours effective January 2. The KTAP payment is increased effective March. It is determined that the individual received an underpayment for January and February based on the actual income entered for those months. The individual has an existing claim, so the supplement for January and February is applied to the claim instead of issued to the individual's EBT card or checking account.

2. If no claim exists, a supplemental payment is issued for the month the change is reported and any subsequent month before the effective month. DO NOT authorize a supplemental payment for a month prior to the month of the report.

Example 1: On January 12, the individual reports an ongoing reduction of work hours effective January 5. The payment is increased

effective February. There is no existing claim. A supplemental payment is issued to the household for January based on the actual income received in January.

Example 2: On February 4, the individual reports an ongoing reduction of SSA benefits effective January 1. The KTAP payment is increased effective March. There is no existing claim. A supplemental payment is issued to the household for February only. The household is not eligible for a supplement for January as the change was not reported until February 4th.

3. Review the EDG and Financial Summary screens before disposing the case to determine if a supplement is owed and will be issued for the appropriate months.
 4. Correspondence is issued to the head of household to inform the household about the amount, reason, and month of the supplemental payment.
- C. A special circumstance payment to correct an administrative error on a denied or discontinued case for a month in which no KTAP or KC benefits were received is issued via the "Request Special Circumstance" option on the Case Summary screen in Worker Portal.

MS 2185

KTAP AND KINSHIP CARE UNDERPAYMENTS

[An underpayment exists when an individual is issued an amount less than the entitlement, through no fault of the individual.

- A. The following are potential causes of a KTAP or Kinship Care underpayment.
 - 1. The need for a supplemental payment due to an administrative deadline (e.g., adding a child, etc.);
 - 2. Misapplication of policy;
 - 3. Computation errors in determining supplemental benefits;
 - 4. Failure to act on timely reported changes in the household's living situation;
 - 5. Failure to confirm or clarify information pertaining to eligibility; or
 - 6. Income considered in a payment month is more than actually received, due to a change in circumstances.
- B. If an underpayment is identified, determine if there is an established overpayment for which the hearing and appeal rights have been exhausted and collection is being pursued.
 - 1. If there is an established claim, the amount of the underpayment is applied to the existing claim.
 - 2. If the claim is pending, do not delay issuing the supplement in order to offset the claim.]

MS 2190 NOTIFICATION REQUIREMENTS (1)

Applicants and recipients must be notified of all approvals, denials, discontinuances, recertifications, and changes.

A. A notice of the action taken is required, but a timely notice of a reduction or discontinuance of benefits is not required in the following circumstances:

1. The Department receives a clear written statement, signed by the individual, that he/she no longer wishes to receive assistance;
2. The individual is considered unable to locate as the correspondence sent by the agency is returned as undeliverable;
3. The individual is receiving assistance in another state;
4. The head of household enters a correctional institution.

[B. The individual has two options to receive correspondence:

1. Paper correspondence that is mailed to the individual; or
2. Electronically through email or email and text (SMS). This requires a current email address or a valid phone number.
 - a. If the electronic option is selected, the individual is responsible for checking the email/text and logging into his/her account in the Self Service Portal (SSP) to download and print notices and forms;
 - b. If the electronic notice fails, the system will revert to paper notices.

The worker indicates the individual's correspondence preference in Worker Portal.

C. Worker Portal generates correspondence to the individual for actions entered on the system.

1. Changes entered with a timely notice period expiring on or before the last calendar day of the month, are effective with the following month's issuance of benefits.
2. If the timely notice period does not expire within the same month, the system takes action on the case and sends the appropriate correspondence the day following the expiration of the timely notice period.

D. Workers can view or print all notices that have been generated from the Correspondence section of Worker Portal.]

Volume III – Kentucky Transitional Assistance Program
MS 0001 – R. 3/1/266 – OMTL-688
Return of TANF Benefits

An individual may voluntarily return KTAP, Kinship Care (KC), or Family Assistance Short Term (FAST) benefits for any reason. To return benefits for a specific month, the full amount of benefits originally issued must be available on the electronic benefit transfer (EBT) card or the check must be uncashed. Benefits cannot be returned for a month when the benefit is reduced to pay a previous claim.

Returning benefits is always the individual's choice. Workers should NEVER request that benefits be returned. If a worker discovers an individual received benefits incorrectly, a claim must be referred by form PAFS-431, Claim Referral.

Note: FAST payments are only issued by paper checks.

A. If an individual voluntarily returns KTAP or KC benefits to avoid a claim and the benefits were issued directly to the individual via EBT or check:

1. Complete form PAFS-61, Disposition of Returned Check, to request the check be cancelled; or form EBT-61, EBT Benefits Account Adjustment Request, to remove the KTAP or KC benefits from the EBT account;
2. Scan the completed & signed form EBT-61 or form PAFS-61 along with the check being returned into the electronic case file;
3. Send form EBT-61 or form PAFS-61 and check to Central Office at the following address:

Division of Family Support
Family Self-Sufficiency Branch
KTAP Section
275 E. Main St., 3E-I
Frankfort, KY 40621

4. Once form PAFS-61 or EBT-61 is received by Central Office:

- a. The Benefit Issuance screen is adjusted to indicate the benefit was cancelled;
- b. The KTAP Time Clock is adjusted to remove the month as a month of KTAP receipt; and
- c. If there is a pending claim for the month benefits were returned, this can be indicated as "No Claim".

B. **[When a KTAP/KC check is returned, the information is sent to the Department of Child Support Services (DCSS) through an interface for DCSS to determine if any child support collected from the absent parent should be sent to the custodial parent.]**

- C. Benefits issued via direct deposit cannot be returned to avoid a claim. If a potential claim exists, worker should refer to a claims worker by form PAFS-431.

Volume 3 - Kentucky Transitional Assistance Program (KTAP)

MS 2198 R. 5/1/26 - OMTL-692

Direct Deposit

- [A. Individuals who have been approved for KTAP or Kinship Care may choose to have their benefits direct deposited into a **checking** account instead of through Electronic Benefit Transfer (EBT). Direct deposit is **not** an option for KWP supportive services, Relocation Assistance, WIN, or any other non-monthly KTAP payments. These payments are issued via EBT or mailed in the form of a check to the individual's mailing address.
1. Benefits **cannot** be deposited into a savings account, a cash app, or a prepaid card account such as Chime.]
 2. Direct Deposit of benefits is optional and is the choice of the individual. Direct deposit is only available if the individual has an **active** checking account.
 3. The total amount of the monthly benefits must be deposited into only one checking account. The benefits cannot be divided among multiple checking accounts.
 4. If the individual chooses not to have the benefits direct deposited into a checking account, the benefits are issued to the individual's EBT card.
 5. KTAP and Kinship Care supplements are issued by direct deposit if the individual's monthly benefits are issued through direct deposit.
 6. Benefits authorized by a special circumstance are issued by a paper check that is mailed to the individual's current mailing address.
- B. At application and recertification, ask all individuals if they would like their benefits to be issued to an EBT card or direct deposited into a checking account and indicate their preference on the "Preferred Payment Details" screen. Inform the individual that it takes a minimum of two months before their benefits will start being direct deposited into their checking account.
1. Select the individual's preferred method of payment as EBT or Direct Deposit.
 2. If the individual chooses direct deposit, provide form PA-63, Direct Deposit Authorization, for completion. Advise the individual that the form must be completed and signed to request that benefits be direct deposited.
 3. If the individual provides a blank check, write "VOID" across the front of the check and scan the check with the completed and signed form PA-63.
 4. If the individual does not have a blank check available, advise him/her to take form PA-63 to the bank for completion.
 5. The case will pend for the bank routing number and account number to be entered on the Preferred Payment screen for 10 calendar days. At the end of the 10-day period, if the individual has not returned form PA-63, the case will be processed and benefits will be issued to the EBT card.
 6. If form PA-63 is received after the 10-day period, change the "Issuance

Method” on the Preferred Payment Screen to “Direct Deposit”, and enter the bank routing number, checking account number, and verification.

- C. It takes a minimum of two months to affect a change for direct deposit.

Example: An individual requests the benefits be direct deposited and the change is made in the system before cut-off in September. The benefits for October will be issued to the EBT card. The issuance of benefits through direct deposit will not be effective until November. If the change is made after cut-off in September, October and November benefits will be issued to the EBT card. The direct deposit of benefits will begin in December.

- D. If an individual who is receiving his/her benefits by direct deposit reports that he/she has changed banks or to the checking account information, have him/her complete form PA-63 to change or stop the direct deposit for the prior checking account number and/or previous bank and to add the new checking account number and/or new bank routing number.

- E. To stop direct deposit and revert to issuance by EBT card, have the individual complete form PA-63 to cancel direct deposit of benefits.

- F. Advise the individual to report a change in direct deposit information as soon as the change occurs. Explain to the individual that the change will be effective the second monthly issuance following the change if the change is completed prior to cut-off.

- G. If the individual wants to return the monthly direct deposit payment for any reason, he/she must provide the local office with a certified check or money order for the entire benefit amount. The certified check or money order is made **payable to the Kentucky State Treasurer**. Forward the certified check or money order along with a completed Form PAFS-61, Notice of Returned Check and Authorization for Disposition, to:

Division of Family Support
Cabinet for Health and Family Services
275 E. Main Street, 3E-1
Frankfort, KY 40621

Annotate on form PAFS-61 that the certified check or money order is for the return of a direct deposit.

- H. KTAP/Kinship Care benefits are issued to the EBT card for the first and possibly second month after the bank information is entered on Worker Portal.
1. For the first month, a test deposit is made using the routing number. If the number is rejected, the Family Self-Sufficiency Branch (FSSB) notifies the local office of the rejection.
 2. The worker must correct the information entered on Worker Portal before cut-off for the direct deposit to be successful for the next month. The worker may need to contact the individual to ensure the account has not been closed or changed. If the bank information is not entered by cut-off, benefits for the next month will be issued via EBT.

Example: If the checking account information is entered on Worker Portal prior to cut-off in August, the September benefits will be issued via EBT. If the test deposit made in September is successful, the October benefits will be direct deposited. If the checking account information is entered on Worker Portal after cut-off in August, the September and October benefits will be issued to the EBT card. The test deposit is run in October and if successful, the November benefits will be direct deposited.

3. Central Office issues a paper check for any month when a direct deposit of benefits is rejected by the bank. The paper check is sent to the local office for the individual to pick up. A notice is sent to the individual to inform him/her when the check is available for pick-up.

All individuals applying for KTAP must meet certain technical eligibility requirements to be eligible for benefits.

A. For a CHILD to be technically eligible for KTAP, the child must be:

1. Age 17 or younger;
2. [A newborn is not eligible for KTAP until the newborn is physically residing in the household.

Example: A newborn, born May 20th, must stay in the hospital for medical reasons. The newborn is released from the hospital and brought home on June 5th. The newborn is KTAP eligible starting June 5th;]

3. Age 18 complying with school attendance requirements;
4. A teen parent, under age 18, complying with school attendance requirements;
5. Under age 18 and a high school graduate;
6. A Kentucky resident;
7. A U.S. citizen or eligible immigrant;
8. Living with a parent or caretaker relative, unless there is a verified temporary absence. Refer to [MS 2338](#) for more information on temporary absence; and
9. Complying with enumeration requirements.

B. For an ADULT to be technically eligible for KTAP, the adult must:

1. Have an eligible child in the home or a child in receipt of SSI, State Supplementation, or Federal, State or local Foster Care benefits who would otherwise be eligible for KTAP. A child is not eligible if the child received KTAP benefits in another KTAP case for the month of application. If the adult, who is receiving KTAP, is required to be in an LTC facility for up to one year and there is a reasonable expectation that the parent will return home, the adult meets the "living with" requirement;
2. Have a valid relationship to the child as parent or caretaker relative. Refer to [MS 2328](#) for more information on relationship.
 - a. If both parents are in the home, both parents MUST be included in the case if they are married at the time of the child's birth or relationship has been confirmed by establishing paternity for the child. Refer to [MS 2215](#).

- b. A caretaker relative may be included in the case if all eligibility requirements are met and neither of the child's parents is living in the home.
 - c. If the parent, other than a teen under age 18, is in the home and technically eligible, the caretaker relative cannot be included in the benefit group but must be included as a member of the household.
- 3. Be a U.S. citizen or qualified immigrant; and
- 4. Comply with enumeration requirements.
- C. To be determined eligible for KTAP, the benefit group must be determined to be ongoing eligible. If the family is ineligible for the month following the application month, eligibility for the application month does not exist.

MS 2215 TECHNICALLY EXCLUDED INDIVIDUALS (1)

The following individuals are considered technically ineligible for KTAP benefits and should not be a member of the KTAP benefit group:

- A. An individual receiving SSI;
- B. An individual receiving State Supplementation;
- C. A child who is 18 years of age, unless in full-time attendance in high school or equivalent;
- D. The spouse of a technically eligible parent when there is no common child in the household;
- E. A caretaker relative who is not requesting aid;
- F. The spouse of a caretaker relative requesting aid/included in the benefit group;
- G. [A married teen child and spouse who are not parents and who are living together in the household with the married teen's parent or caretaker relative;]
- H. Immigrants ineligible due to:
 - 1. Not meeting qualified immigrant requirements; or
 - 2. The 5-year ban from receipt of KTAP.
- J. Any individuals who do not meet the relationship requirements;
- K. A child receiving Kinship Care payments;
- L. A child receiving Foster Care payments. Foster Care payments can continue up to age 22 if the Foster Care child is participating in an educational program;
- M. [The child of a teen parent receiving Foster Care or Kinship Care payments when the child and the teen parent live in the same household;]
- N. A child receiving Subsidized Adoption payments if it is to the benefit of the household. See [MS 2275](#);
- O. A fugitive felon for as long as the felon is fleeing or considered a fugitive;
- P. A probation or parole violator for as long as the individual is considered a violator;
- Q. An individual convicted in a Federal or State court for having made a fraudulent statement or representation regarding residency in order to receive assistance from two or more states during the same time period is excluded from a KTAP case for 10 years. This applies to convicted individuals who made the fraudulent statement or representation regarding residency after 8/22/1996 in order to receive assistance funded under Title IV-A (AFDC and TANF), Title XIX

(Medicaid), the Food Stamp Act of 1997, or the Supplemental Security Income (SSI) program under Title XVI.

MS 2217

STRIKERS

(1)

[A strike is any work stoppage by employees, including a stoppage due to the expiration of a collective bargaining agreement and any deliberate slow down or interruption of operations by employees.

- A. Individuals participating in a strike are not eligible to receive KTAP benefits. This includes individuals not working as a result of honoring or refusing to cross picket lines set up by those on strike.
- B. Individuals who are not considered to be participating in a strike are:
 - 1. An employee who is not part of the bargaining unit on strike who is afraid to cross a picket line due to fear of personal injury or death;
 - 2. An employee whose work place is closed by an employer in order to resist demands of employees, e.g., a lockout; or
 - 3. An employee who is not working due to lack of work resulting from a strike situation; such as truck drivers who are not working because striking factory employees which prevents the product from being produced effecting the jobs of delivery drivers.
- C. At application, if one or both parents are participating in a strike, the application is denied on the last day of the month.
- D. If a parent in an active KTAP case reports he/she is participating in a strike, the strike information must be entered in Worker Portal. This will ensure the case is correctly discontinued due to the strike.
- E. If a caretaker relative who is included in the KTAP benefit group is participating in a strike, he/she is not eligible to be included in the benefit group. When it is reported by a caretaker relative that he/she is participating in a strike, enter the strike information in Worker Portal which will exclude him/her from the benefit group.
- F. Eligibility for KTAP is not affected when a caretaker relative who is not included in the benefit group is participating in a strike.]

MS 2220 ELIGIBILITY RELATED DISQUALIFICATIONS (1)

An individual who refuses to meet enumeration or school attendance eligibility criteria is not eligible to receive KTAP benefits. The disqualified individual is considered an excluded member and is not included in the benefit group. Any income and/or resources the individual has are countable in the KTAP case. Earned income deductions are allowed.

Individuals are disqualified from receiving KTAP for the following reasons:

A. Refusal to be enumerated.

1. If an individual refuses to obtain a social security number, he/she is not included in the KTAP benefit group.
2. If a parent or caretaker relative refuses to enumerate a child:
 - a. Only the child is excluded from the case; or
 - b. If the excluded child is the only eligible child, the entire household is ineligible.

B. [A child 18 years of age or a teen parent (under age 18) who is NOT meeting school attendance requirements.

1. If the child or teen parent begins meeting school requirements, the disqualification is cured.
2. For teen parents, the disqualification is cured when the teen parent reaches age 18.]

Volume III – Kentucky Transitional Assistance Program

MS 2225 – R. 3/1/266 – OMTL-688

Penalized Individuals

Penalized individuals receive a reduction in KTAP benefits due to noncompliance with one or more requirements. Worker Portal applies disqualifications automatically based on how the questions are answered for the members in the household or on information received from another agency through an interface.

- A. A pro rata reduction of benefits means the benefit amount is reduced to remove the penalized individual from the benefit group. For information on applying the pro rata reduction, refer to Volume IIIA, MS 4750.

Pro rata reductions are applied when:

1. An individual refuses or fails to meet the participation requirement in a Kentucky Works Program (KWP) activity without good cause;
 2. An 18 or 19-year-old teen parent refusing to attend school or participate in a KWP activity.
- B. [A 25% reduction is applied to the benefit amount for the household when an individual refuses to cooperate with the Department of Child Support Services (DCSS), without good cause. For information on applying the 25% reduction, refer to [MS 3080](#).]

MS 2230 STANDARD FILING UNIT (SFU) (1)

- A. Include a parent and all children of that parent in the same KTAP case, if technically eligible and living together. Additionally, if a parent is not in the home, include ALL siblings of a KTAP child in the same KTAP case. Do NOT exclude a sibling or the parent of a KTAP child from the KTAP case if technical requirements are met, regardless of financial eligibility, and the individual is living in the same household as the KTAP child.
- B. Children living together may have separate applications when there is no common parent.
- C. If separate applications are signed by the same caretaker relative, he/she may be payee for each assistance group, but included as the caretaker relative in only one case.
- [D. Verify relationship and household composition to determine if all the individuals required to be on the KTAP case are included. For sources of verification of relationship, refer to [MS 2329](#). Some sources of verification for household composition may be form PAFS-76, Information Request, a landlord letter, collateral contacts who are familiar with the family situation, etc. Verification of household composition is required for all KTAP applications, recertifications and changes in household members or address.]
- E. If the parent refuses to add an eligible child to the KTAP case, the entire case is ineligible to receive benefits; deny or discontinue the case, as appropriate. A case remains eligible during the month a child is born if the new child's income does not cause ineligibility. If, due to the refusal of the parent, a supplemental request is not made for the new child by the last day of the month following the birth month, the case is technically ineligible beginning with the 1st day of the month following the child's birth. Regardless of the supplemental request date, income of the child is considered beginning with the month of birth.

MS 2240

KTAP FAMILY WITH TWO PARENTS

(1)

- A. If both parents are in the home, both parents **MUST** be included in the EDG if paternity has been established. Verification of paternity or marriage at the time of the child's birth must be obtained prior to including both parents in the benefit group. To be KTAP eligible, parents in the two-parent household must be willing to accept full-time employment.

1. One or both parents may not be included in the benefit group if technical eligibility requirements are not met. Technical ineligibility may include SSI recipient, ineligible immigrant, or a fleeing felon.

Note: If one of the two parents is technically ineligible, it is considered a one-parent household with a 30-hour per week participation requirement regardless of the age of the children.

2. If the parent refuses or fails to provide required information other than enumeration to determine eligibility, the entire case is ineligible.
3. If the case consists of a mother, her child, a father, and a child in common, all the members must be included on the EDG until technical eligibility no longer exists for the common child.

Example: Mom and dad are applying for KTAP for his child, her child, and the common child. All are included on one KTAP EDG.

- B. If the mother and father have a child in common and one parent is an SSI recipient, establish one case which includes the non-SSI parent, the child in common, and all siblings. Do **not** put the KTAP case on Worker Portal in the SSI parent's name as this will affect how KWP participant's information passes to OTIS.
- C. If the only technically eligible child living with the family begins to receive SSI, the parent and second parent are eligible if all other technical and financial factors are met. The KTAP EDG may have the parent and second parent as the only members.
- D. If the only eligible child is disqualified for not meeting school attendance requirements, the entire KTAP case is ineligible. The same is true when the only eligible child is not enumerated.
- E. If the only common child, who is included in the KTAP EDG with all the siblings and parents, begins to receive SSI, two KTAP EDGs must be created.

Example: A KTAP EDG consists of mother, her child, father, his child, and their child. Their child is the common child who requires all the members be included in one EDG. Their child begins to receive SSI; therefore, the child is no longer technically eligible. There are two separate KTAP EDGS, one EDG for the mother and her child and one EDG for the father and his child.

- F. When families that consist of two parents with no children in common apply for KTAP, each parent must apply separately as head of household in their own case. If the case involves a stepparent, at application, the first case processed counts the stepparent surplus, since the other parent is not yet receiving KTAP. The second approved case does not count stepparent surplus.
- G. When processing an application for a two-parent household:
 - 1. To approve the KTAP EDG, enter "Yes" for question "Are the parents willing to accept full-time employment?" on the "Two Parent Determination" screen.
 - 2. If the parents are not willing to accept full-time employment, enter "No" for question "Are the parents willing to accept full-time employment?" on the "Two Parent Determination" screen to deny the application.
- H. When processing two-parent applications that were last discontinued for KWP noncooperation, the case is subject to the one calendar month ineligibility period. The one calendar month period begins on the effective date of discontinuance.

For two-parent cases that are discontinued for any other reason, the 15-calendar day KWP participation is not required prior to approval.

- I. [A KTAP discontinuance for full family sanction does not affect the two-parent case application. If a parent has a previous uncured sanction on OTIS, the case manager must cure that sanction when the parent is applying for KTAP as a two-parent household. In this situation, the parent does not have to participate before the case manager enters the cure on OTIS. Once the sanction is cured on OTIS, the Two-Parent screen will be triggered.
- J. The following procedures are used when processing two parent cases.]
 - 1. If a parent applies for a two-parent household before the one calendar month ineligibility period ends, the system will deny the application for the month of the ineligibility period.
 - 2. When the two-parent household applies after the ineligibility period:
 - a. Applications pend 30 days to allow the parents adequate time to complete and verify participation.
 - b. The RFI will show: "Participate in the assigned KWP activity for 15 calendar days."
 - c. Manually issue form KW-33, Verification of Kentucky Works Participation, to verify participation.
 - 3. The appropriate number of hours required during the 15 calendar days are 76 hours for a case with a 35-hour weekly participation requirement

and 120 hours for a case with a 55-hour weekly participation requirement.

4. If one or both parents have been participating in an activity for the required number of hours per week lasting at least 15 calendar days prior to the application date, continues to participate, and the participation is verified, the case can be approved if all other eligibility factors are met.
 5. If one or both parents have not participated for the total number of the required hours in an activity prior to the application, the 15 calendar days begins the day the individual starts participating in a KWP activity.
 6. After approval of the KTAP case, if the parent(s) use WEP/COM to meet the participation requirement, use the FLSA calculator to determine the continuing WEP/COM participation hours.
 7. If the participation is not verified within 30 days of application, deny the case for noncooperation with KWP.
- K. If at any point after reapproval, the two-parent household fails to cooperate, do the following:
1. Issue form KW-204 to both parents and follow the conciliation process, found in Volume IIIA, MS 4700, to discuss participation and the reason for not meeting the requirements.
 2. If the individual agrees to participate, refer to an appropriate activity; or
 3. If there is no response from the two-parent household 10 days after form KW-204 is issued or the individual does not agree to participate, enter "No" for question "Are the parents willing to accept full-time employment?" on the "Two Parent Determination" screen to discontinue the case and impose the ineligibility period.

MS 2250

[TEEN PARENTS

(1)

The following situations involve a family which includes a teen parent.

- A. If a teen parent under age 18, who is not the head of household, lives with a parent/caretaker relative who is applying for or receiving KTAP for siblings of this teen parent, establish one EDG which includes:
 - 1. The parent/caretaker relative, if appropriate, and the case is in the parent/caretaker relative's name;
 - 2. All siblings, including the teen parent, who are technically eligible;
 - 3. The child of the teen parent if the teen parent chooses to include the child;
 - 4. A married teen parent, spouse, and their child can receive KTAP in a separate case, if all other eligibility factors are met. If the married teen parent is living with their parent, the parent's income is excluded because the married teen parent is considered an adult.
- B. If the parent of the teen parent in the same household has not applied for KTAP assistance or is not receiving KTAP assistance, the teen parent can receive KTAP for themselves and their child on a separate case.
- C. If after approval, the teen parent under age 18 leaves the household without the child, the parent/caretaker relative may receive for themselves, any siblings of the teen parent and the teen parent's child in one case or the teen parent's child may receive in a separate EDG with the caretaker relative as payee.
- D. Teen Parents who are head of household may receive for themselves and their child.】

Volume III - Kentucky Transitional Assistance Program
MS 2260 - R. 3/1/26 - OMTL- 688
Married Teens Under Age 18

When a teen under age 18 is married, it affects their eligibility for KTAP as a child in their parent's case. How the teen is considered in relation to their parent is not determined solely on the marital status, but also if the married teen and their spouse is living in the same household.

- A. For households with a married teen who is not a parent, and is living with a parent or caretaker relative without the spouse:
 - 1. The married teen is considered a child and will be included in the KTAP benefit group, if all other eligibility factors are met;
 - 2. **[A referral to the Department of Child Support Services (DCSS) is inappropriate for married teens unless they are divorced prior to age 18];**
- B. If a married teen and their spouse live with a parent or caretaker relative, the married teen is considered an adult and will not be included in the KTAP benefit group.

Note: For married teen parents, refer to [MS 2250](#).

MS 2275

[SUBSIDIZED ADOPTION

A child who receives subsidized adoption payments can be excluded from the KTAP benefit group, if excluding the child results in a higher KTAP benefit amount for the family. If the child is included, any income and/or resources belonging to the child are also considered when determining financial eligibility for the family.

If it does not benefit the KTAP benefit group to include the child, the child should be included in the case as a household member, but the “Requesting Aid” checkbox on the Benefit Request screen should be left blank for the child receiving subsidized adoption payments.]

MS 2280

FOSTER CARE CHILD

[When advised by Protection and Permanency (P&P) that a foster care child is moving into the home of the child's parent or a caretaker relative, the P&P worker sometimes advises the individual to apply for KTAP for the child. Accept an application or supplemental request by the relative, but do not approve the KTAP case prior to the actual date the child begins living in the home.

Example: A child is in foster care until November 18. A KTAP application is made for the child on November 17 based on the child being returned to the parent's home. P&P staff verified foster care benefits were paid from November 1 through November 18 when they were discontinued. The approval date for the KTAP case is November 19.

If the only dependent child, who is living with a relative, receives Federal, State, or local foster care benefits, the relative may be eligible to receive KTAP if he or she meets the definition of a caretaker relative.]

[To be eligible for KTAP, an individual must be a citizen of the United States or a qualified immigrant as specified in [MS 2300](#). Individuals from Puerto Rico, U.S. Virgin Islands, American Samoa, or Swain's Island are equivalent to U.S. citizens. All individuals applying for KTAP are required to present proof of citizenship or immigration status. The individual's statement is accepted for proof of U.S. citizenship unless questionable.]

- A. If questionable, ask the household to provide verification of citizenship. Acceptable forms of verification include:
1. Birth certificate;
 2. School records;
 3. Voter registration card;
 4. U.S. passport;
 5. Certificates of citizenship or naturalization provided by the U.S. Citizenship and Immigration Services (USCIS), such as USCIS form I-179 or USCIS form I-197; and
 6. If the above forms of verification cannot be obtained and the household provides a reasonable explanation as to why it is not available, accept a signed and dated statement from someone who is a U.S. citizen which declares, under penalty of perjury, that the person in question is a U.S. citizen. For example: I, _____, swear under penalty of perjury that I do know that _____ is a U.S. citizen.
- B. [The documentation used as proof of immigration status is outlined in Volume I, MS 0560.]

MS 2290

VERIFICATION OF IDENTITY

[Adults and minor parents, who are head of household, must provide proof of identification. Acceptable documentation to verify identity consists of the following:

- A. United States passport;
- B. A state issued Driver's License or Identification Card with the individual's photograph;
- C. A military Identification Card with the individual's photograph;
- D. Immigration documents containing the individual's photograph;
- E. Certificate of Indian Blood, or other U.S. American Indian/Alaska Native tribal document;
- F. Employer Identification card with the individual's photograph;
- G. School Identification card or record with individual's photograph;
- H. The facility director or administrator may attest to the identity for disabled individuals in a residential care facility; or
- I. Documentation from other agencies can be used to meet the identification requirement. These include:
 - 1. Documentation that was used to determine eligibility for the Supplemental Nutrition Assistance Program (SNAP);
 - 2. Law enforcement;
 - 3. Correction agencies, including juvenile detention;

Expired documents can be used to verify identity as long as the document clearly establishes the individual's identity.]

MS 2300 CRITERIA FOR QUALIFIED IMMIGRANTS (1)

Individuals must be U.S. citizens or qualified legal immigrants to receive KTAP benefits. Nationals of Puerto Rico, U.S. Virgin Islands, American Samoa, Northern Mariana Islands, or Swain's Island are equivalent to U.S. citizens.

A. Qualified immigrants are:

1. Immigrants lawfully admitted for permanent residence;
2. Permanent resident immigrants who are veterans honorably discharged for reasons other than immigration status, their spouses or unmarried dependent children;
3. Permanent resident immigrants who are active duty, other than training, in the U.S. military, their spouses or unmarried dependent children;
4. Refugees who were admitted under Section 207 of the Immigration and Nationality Act (INA);
5. Asylees who were granted asylum under Section 208 of the INA;
6. Immigrants whose deportation is being withheld (political asylees) under Section 243(h) of the INA or after April 1, 1997, the renumbered Section 241(b) of the INA;
7. Immigrants admitted as an Amerasian immigrant under Section 584 of the Foreign Operations Export Financing and Related Programs Appropriation Act of 1988;
8. Immigrants paroled in the U.S. under Section 212(d)(5) of the INA for a period of at least one year: If the United States Citizenship and Immigration Naturalization Service (USCIS, formerly INS) document I-94 indicates the individual will be in U.S. for at least 1 year, eligibility may potentially start after parolee status is granted;
9. Immigrants who are granted conditional entry pursuant to Section 203(a)(7) of the INA as in effect prior to 4/1/80;
10. Immigrants granted status as a Cuban and Haitian entrant (as defined by Section 501(e) of the Refugee Assistance Act of 1980);

Section 501(e) defines Cuban and Haitian entrants as any individual:

- a. Granted parole status as a Cuban/Haitian entrant (status pending);
- b. Granted any other special status established under INA laws for these nationals;
- c. Being a national of Cuba or Haiti, paroled into the U.S. and has not acquired another status under INA;

- d. Subject to exclusion or deportation proceedings under INA; or
- e. Having an application for asylum pending with USCIS;
- f. Cuban/Haitian entrants that have been issued form I-220A, Order of Release on Recognizance, and have proof of Cuban/Haitian national origin.

If any of the individuals listed in item 10 have a final, nonappealable, legally enforceable order of deportation or exclusion entered against them, they are NOT eligible under this provision; or

- 11. Immigrants who are battered or subjected to extreme cruelty in the U.S. either as:
 - a. An adult by:
 - (1) A spouse or parent; or
 - (2) A member of the spouse or parent's family residing in the same household as the alien and the spouse or parent consented to the battery or cruelty; or
 - b. A child by:
 - (1) A spouse or a parent of the immigrant without the active participation of the immigrant in the battery or cruelty; or
 - (2) A member of the spouse or parent's family residing in the same household as the immigrant and the spouse or parent consented to the battery or cruelty; and
 - c. The immigrant no longer resides in the household with the individual responsible for the battery or cruelty;
 - d. There is a substantial connection between the battery or cruelty and the need for the benefit; and
 - e. The immigrant has been approved or has a petition pending for:
 - (1) Status as a spouse or child of the U.S. citizen;
 - (2) Status as a permanent resident immigrant;
 - (3) Suspension of deportation status pursuant to Section 244(a)(3) of the INA.

"Battered or subjected to extreme cruelty" means an individual who has been subjected to:

- Physical acts that resulted in, or threatened to result in, physical injury to the individual;
- Sexual abuse;
- Sexual activity involving a dependent child;
- Being forced as the caretaker relative of a dependent child to engage in nonconsensual sexual acts or activities;
- Threat of, or attempts at, physical or sexual abuse;
- Mental abuse; or
- Neglect or deprivation of medical care;

12. Immigrants who are victims of human trafficking, and eligible relatives. Refer to Volume I, MS 0562 for detailed policy and procedures;
 13. Under Section 8120 of the Department of Defense Appropriations Act (DDAA) of 2010, Afghan and Iraqi immigrants who are granted special immigration status are treated in the same manner as refugees admitted under Section 207 of the Immigrations and Nationality Act. These Iraqi and Afghan immigrants served as translators for the U.S. military. This special immigration status also applies to their spouses and unmarried dependent children. The law applies to Afghan and Iraqi immigrants who were already in the U.S. with special immigration status on the effective date of the law, December 19, 2009, and those who enter on or after that date;
 14. Native Americans born in Canada who enter the U.S. under Section 289 of the Immigration and Nationality Act for lawful permanent residence; or
 - [15. Under the Consolidated Appropriations Act of 2024, Public Law 118-42, citizens of the Federated States of Micronesia, the Republic of the Marshall Islands and the Republic of Palau who are lawfully residing in the United States are considered qualified immigrants for TANF purposes. They are not subject to the five-year ban.
- B. The following qualified immigrants cannot receive KTAP for 5 years from their date of entry:]
1. Immigrants lawfully admitted for permanent residence ON or AFTER August 22, 1996;
 2. Immigrants paroled in the U.S. under Section 212(d)(5) of the INA for a period of one year. EXCEPTION: Cuban/Haitians entering under Section 212 are considered in the same manner as those entering under Section 501; or
 3. Immigrants who (or whose child or parent) have been battered or subjected to extreme cruelty in the U.S.
- C. Obtaining permanent residency does not negate the qualified immigrant's original entry status for KTAP eligibility. For example, a refugee admitted under Section 207 of the INA becomes a permanent resident after one year. He/she would remain eligible for KTAP. The 5-year ban is not applied.
- D. [Immigrants designated as PRUCOL, permanently residing under color of law, are NOT eligible for KTAP.]
- E. The unqualified immigrants may receive for their children if the children are U.S. citizens or qualified immigrants.

MS 2306

CATEGORICAL LIMITATIONS

[An individual may not concurrently receive more than one category of assistance.

- A. Categories of assistance are:
 - 1. Kentucky Transitional Assistance Program (KTAP); and
 - 2. Supplemental Security Income (SSI).
- B. An individual receiving SSI may receive KTAP for his/her children, but is not considered a member of the benefit group, nor is any of his/her income countable in a KTAP case.
- C. As it is usually to the advantage of a disabled individual to receive SSI instead of KTAP, adults and children with physical or mental disabilities should be referred to the Social Security Administration (SSA) to apply for SSI by form PAFS-5.1, unless the individual does not wish to apply for SSI.
- D. When an individual receiving KTAP is approved for SSI, SSA contacts DCBS to determine:
 - 1. The date the client will no longer receive KTAP benefits; and
 - 2. The amount of KTAP benefits received for the individual.]

MS 2310 AGE REQUIREMENTS (1)

Individuals must have an age eligible child in the household to be determined eligible for KTAP benefits.

A. Eligible children are:

1. Age 17 or younger;
2. Age 18 and complying with school attendance requirements. Refer to [MS 2316](#);
3. A teen parent under age 18 that is not the head of household;] or
4. Under age 18 and a high school or GED graduate.

B. Verify the date of birth of each child for whom aid is requested. Acceptable primary sources of verification are:

1. State authorized, numbered, birth certificate;
2. KVETS for birth certificate inquiries for persons born in Kentucky;
3. Court/legal documents that include the child's name and date of birth;
4. Statement from attending physician/midwife;
5. Hospital record;
6. Adoption record;
7. USCIS records (e.g., passport, immigration papers that include the child's name and date of birth).
8. Social Security Administration (SSA) records.

C. If primary verification is unavailable, use a combination of any 2 or more secondary verification sources. The following secondary sources, if at least 5 years old, may be used for children 6 through 18 years of age:

1. School record;
2. Insurance policy;
3. Medical records, including immunization record;
4. Driver's license; or
5. Family Bible.

D. If birth verification for a child cannot be obtained within the normal processing timeframes, approve KTAP for all other members for which all other eligibility verification is provided. The child without birth verification is considered technically ineligible and is excluded from the KTAP benefit group. When birth verification is provided for the child, the child is added to the

KTAP benefit group from the date the verification is provided.

- E. If the individual REFUSES to cooperate or provide verification, DENY the KTAP application for the entire household.

MS 2316 SCHOOL ATTENDANCE REQUIREMENT (1)

[All children, including SSI children and teen parents who are not head of household, must be in regular school attendance. If it is verified that a child under 18 has completed high school, the child is included in the KTAP case until age 18. See Vol. IIIA, MS 4005, KWP Participation Requirements.]

- A. Regular attendance is enrollment and attendance in a program of study or training leading to a certificate, diploma or degree.

For purposes of the regular attendance requirement, full-time attendance is defined as a workload of:

1. The number of hours required by an individual in elementary, junior or high school/vocational school to fulfill the definition of full time;
2. Number of hours required by the individual program for GED or literacy program.

See Vol. IIIA, MS 4200, Educational Component for Teen Parents, for information on how to enter educational activity.

- B. An 18-year-old child may qualify for KTAP only if in regular full-time school attendance in elementary, middle, junior and high school. Homebound instruction provided by the school system is considered regular attendance as well as full-time attendance in a GED program. Discontinue the child's assistance when an 18-year-old child graduates or reaches age 19, whichever comes first.

Example: If the child is 19 years old on the first of May, the case is discontinued effective May. If the child turns 19 years old on the 2nd or any day after, the case is discontinued effective June.

[Note: If a child age 18 completes the regular full-time school course early, but has not yet graduated, the child remains eligible as the school considers the student enrolled until the graduation date.]

- C. Alternative types of school attendance may include:

1. Home schooling;
2. Homebound instruction which is provided by the school system;
3. Adult basic education classes; or

[4. A GED program. If a child under age 18 completes a GED program and is waiting to take the GED test, the child under age 18 remains eligible for KTAP while waiting to take the test. If the child is not registered to take the GED test, he or she must begin classes again to remain eligible for KTAP.]

Correspondence courses are not acceptable as an alternative type of school.

- D. The physically disabled homebound student receiving instructions from a homebound teacher is considered in regular attendance, if verification of homebound instruction is provided.
- E. A child enrolled in the Job Corps Program is considered to meet school attendance requirements. Temporary absence from the home due to being in the Job Corps is considered in the same manner as temporary absence for attending school.
- F. A child is considered in regular school attendance during the months of:
 - 1. Official school or training vacation;
 - 2. Illness;
 - 3. Convalescence;
 - 4. Family emergency; or
 - 5. School suspension of a short duration unless an intention not to re-enter school/training has been indicated. This does not include expulsion from school.
- G. If a child is not attending school, allow the parent the opportunity to enroll the child in school. If a parent indicates a child is not currently in school but the child will now go to school, the parent must provide verification from the school that the child will be or is enrolled. If the school will not allow enrollment after school has started or mid-year, a statement from the school must be provided indicating when the child will be allowed to enroll.

[Example 1: In April, a parent states her 18 year old child is not in school. Policy is explained and the parent states she will enroll her child in school. The parent provides a statement from the school indicating the child is enrolled, but cannot begin classes until August. The child is not removed from the KTAP case in April. Verify school attendance in August.

Example 2: In April, a parent states her 16 or 17 year old is not in school. Policy is explained and parent states she understands and will enroll the child. Worker Portal is updated with the school enrollment and use client statement as the verification source. A written statement is not required.
- H. If the non-SSI child, age 18, is not in school, the child is disqualified. The child's needs are removed from the active KTAP case. If the child, including an SSI child, is not in school and there are no other eligible children in the household, KTAP eligibility does not exist.]

MS 2318 SCHOOL ATTENDANCE VERIFICATION (1)

[The School Attendance Report, form PA-33D, Verification of School Enrollment/Attendance, or other documentation from the school is used to verify attendance for children and teen parents age 18-19. The School Attendance Report is a listing of children in school and is provided to each school in each county with a KTAP child in attendance.

Workers can access the School Attendance Report and the Home School Attendance Report on Worker Portal. These reports list KTAP children age 18 and teen parents who are required to attend school in order to receive benefits.]

- A. The school attendance report covers the previous quarter. Each school's listing includes the name of the school, the school address, the case name, case number, the child's name, date of birth, and social security number. The school annotates the listing and returns it to the Centralized Mail Center.
- B. The questions on the Education screens capture the information required to produce the School Attendance Reports. A child is added to the quarterly listing by answering these questions.
- C. On the school attendance report, the school staff will indicate a "Y" or "N" to whether the student is in regular attendance. The school will provide the number of unexcused absence and tardiness. If the school indicates the student is attending regularly, no further action is required. However, if the school indicates the student is NOT attending regularly or problems are identified in the "Comment" section of the report, contact the child's parent or the teen parent, who is head of household, to request verification of school attendance status.
 - 1. Advise the parent or teen parent of the necessity for the child/teen parent to remain in school and that the child/teen parent will be removed from the KTAP case if he/she does not remain in school.
 - 2. If the parent or teen parent indicates the child or teen parent is no longer attending school, enter this information on the Education screens to remove the child or teen parent from the KTAP case or discontinue the case, whichever is appropriate.
 - 3. If no school attendance report is received, send an RFI to ask the client to provide verification of school attendance.
- D. For a teen parent who is the head of household and age 19 and younger, participation is tracked automatically if the school information is entered on Worker Portal. The months between the quarterly listing or quarterly use of form PA-33D, when appropriate, are tracked automatically each month. If the teen parent stops attending school, the worker must update the Education screens.
- [E. A teen parent who is considered a child (not head of household) and attending high school, middle school or elementary schools is not considered a work eligible individual and is not considered in the KWP participation rate.

- F. If a child or teen parent is attending a home school, use form PA-33D or the individual's home school records/statement to verify school attendance for any child on the Home School Attendance Report. The home school record/statement must include the enrollment date and expected graduation date.
- G. Use form PA-33D or other documentation from the school to verify school attendance for a child at application, adding the child to the case, or when the child's name does not appear on any of the listings.
- H. For any teen parent in below post-secondary school or a child age 18 years old not found on one of the reports, review the Education screens on Worker Portal and update the information as needed. This will ensure the student appears on the next quarterly listing.】

MS 2321

WORK REGISTRATION

(1)

All adult KTAP applicants, ages 18 through 59, must agree to register for work with the Office of Employment and Training (OET), unless exempt.

- A. Individuals exempt from work registration are:
 - 1. Under age 18;
 - 2. Age 60 or older;
 - 3. Age 18 or 19 and in fulltime attendance at a secondary school or below;
 - 4. Receiving benefits based on 100% disability;
 - 5. A former recipient of benefits based on 100% disability within the past 12 months who lost benefits due to income or resources and not an improvement in the disability; or
 - 6. Employed 30 or more hours per week at minimum wage or higher.
 - 7. [Immigrants without work authorization documents.]
- B. Individuals, without a work registration exemption, must agree to work register every 12 months.
- C. At application, the worker must ask the individual if he/she will agree to work register. The individual's agreement meets the KTAP eligibility requirement without any further verification.
- D. At recertification, work registration is reviewed to see if there is a "pending/agree" record on the Work Registration screen. If no record exists or the record is beyond 12 months, add a "pending/agree" record if the individual agrees. If the individual does not agree to work register, choose the "decline" option.
- E. If the individual declines to work register, KTAP eligibility does not exist.

MS 2322 KWP WORK ELIGIBLE INDIVIDUALS (1)

A member or nonmember in a KTAP case who is a “work eligible individual” is required to participate in Kentucky Works Program (KWP) activities.

A. Work eligible individuals are:

1. An adult parent, second parent, caretaker relative who chose to be included in the KTAP benefit group, or a minor parent who is head of household;
2. A parent who lives with the KTAP child but is not included in the benefit group as an active member due to:
 - a. Disqualification due to a probation or parole violation; or
 - b. Disqualification because the individual is a fleeing felon.

B. Worker Portal determines if each individual in a KTAP case is considered work eligible and if so, if the individual is eligible for any KWP exemptions. If eligible for an exemption, the Member Status table on the EDG Summary screen will indicate the type of exemption next to the individual's name.

1. Individuals who are not exempt must participate in KWP. If the individual does not participate, he/she is subject to conciliation and sanction if he/she refuses or fails to participate without good cause. Refer to Volume IIIA, MS 4700 and MS 4750.
2. If an individual has a disability, participation should not be discouraged. Inform the individual about services through Vocational Rehabilitation. Additionally, inform the individual about potential eligibility for SSI or RSDI. Refer the individual to the Social Security Administration (SSA) to apply for disability benefits, if appropriate.

MS 2324

KWP EXEMPTION CRITERIA

(1)

[An individual who meets certain criteria can be granted an exemption from Kentucky Works Program (KWP) participation. Individuals who are exempt from KWP activities are not considered in the work participation rate calculation. Two-parent households may only use the disability exemption. Two-parent households are not eligible to use any other exemptions.]

Exemptions from KWP participation are:

- A. Disability – An adult who has been determined disabled and is currently receiving Social Security Disability benefits based on 100% disability. The exemption is automatically applied by completing and verifying the disability information on the Disability screen in Worker Portal.

[For two-parent households, if one parent uses this exemption, the other parent may be granted good cause if needed to care for the disabled parent.]

- B. Caring for a Child Under 12 Months – When a KTAP case contains a work eligible parent who is the only parent in the household, the system will automatically queue the Exemption Summary screen. If the single parent wishes to use the exemption, it must be indicated on this screen. This exemption:

1. Is not allowable for the work eligible parent when there is another parent or a stepparent in the household;
2. Is not allowable for minor parents under age 18 who have not obtained a high school diploma or GED;
3. Does not have to be used all at one time;
4. Is limited to 12 cumulative months in the single parent's lifetime;
5. Is not allowed if the youngest child's first birthday is in the month of application or in the anticipated change month;
6. Is automatically removed when there is no longer a child under 12 months of age;
7. Is automatically removed when the 12-month limit has been reached;
8. Must be removed by visiting the Exemption Summary screen and answering the question "No" when the individual indicates he/she no longer wishes to use the exemption.

- C. Teen Parent – Minor parents, under age 18, with a child under 12 weeks old, are not required to attend school for the first 12 weeks after the baby is born. This exemption is automatically applied based on the teen parent and child's date of birth, the pregnancy end date, and the teen parent's school attendance information in the Education screen.

- D. Caring for an Incapacitated Family Member Living in the Household – A parent who is needed to care for an incapacitated family member living in the household. This exemption is not allowed for a caretaker relative who chooses to be included in the KTAP benefit group.
1. At application, if a KTAP applicant is needed to care for an incapacitated family member who lives in the household, “Proof of Eligibility for Exemption” will be included on the Request for Information (RFI). The RFI and form PA-4, Statement of Required Caretaker Services, will be either locally printed or system-generated to the applicant.
 2. Form PA-4 must be completed by the disabled individual's health care provider to verify care is necessary and there is no alternative arrangement. A new form PA-4 must be completed when the care end date expires or at minimum, every 6 months.
 3. In the month prior to the care end date or in the 5th month of the exemption, whichever is first, an RFI and form PA-4 is automatically sent to verify continued eligibility for the exemption. If form PA-4 is not received by the last day of the month, the individual is no longer exempt and is required to comply with KWP activities. An RFI is sent requiring the individual to complete the KWP assessment.

Exemptions are reviewed at application, recertification, and when a change is reported.

To remove the exemption for the following month, the exemption must be removed by the last workday of the current month.

The KWP assessment must be completed when an exemption is no longer valid.

Exemptions are reported on the federal file for the month the exemption is entered on Worker Portal. The data for the federal report will not consider an individual exempt for the following month if the exemption is removed by the last workday of the month.

MS 2326

[TEEN PARENTS

(1)

An unmarried teen parent (under age 18), must meet the following requirements to be eligible for KTAP benefits:

- A. Unmarried teen parents who have not graduated from high school or earned a GED are required to attend school or alternative training unless caring for their child less than 12 weeks of age.
 1. If the teen parent is not in school and has not graduated or earned a GED, he/she is ineligible to receive KTAP benefits. The teen parent is also disqualified from the SNAP benefit group.
 2. Verification is required when a teen parent who is not attending school states he/she is a high school or GED graduate. If verification is not provided, the system will remove the teen parent from the KTAP benefit group or discontinue the case, as appropriate.
 3. School attendance for a teen parent who is head of household is reported directly from Worker Portal for KWP participation purposes. See Volume IIIA MS 4200.
- B. An unmarried teen parent must live with a parent, caretaker relative, legal guardian, or in another approved adult supervised setting. For situations when the teen parent is not living in an adult supervised setting, Protection and Permanency (P&P) staff has the responsibility of assessing the health and safety of the teen parent and child and assist with appropriate services, if needed.
 1. Contact P&P by phone if an appropriate relative or legal guardian is not available or domestic violence, child abuse, or neglect is alleged or suspected. Follow up with an email or form PAFS-628, Exchange of Information.
 2. DO NOT pend the application while waiting for information from P&P.
 3. The teen parent remains eligible for KTAP as long as he/she is cooperating with P&P staff in finding an appropriate adult supervised setting.
 4. If P&P staff determines health and safety issues will not exist if the teen parent continues to live independently, the requirement for an approved adult supervised setting is waived.
 5. Once a living arrangement is deemed appropriate, the teen parent and child are required to remain in that living arrangement or another eligible arrangement.
 6. If the teen parent refuses to accept an appropriate living arrangement, the teen is excluded from the KTAP benefit group as well as from the SNAP benefit group.

7. Teen parents age 18 and over are **not** required to live in an adult supervised setting.
- C. An unmarried teen parent who is head of household and has graduated from high school or earned a GED is required to participate in KWP activities. Teen parents are subject to KWP sanction if he/she is not complying.
 - D. Teen parents who have not graduated from high school or earned a GED are not eligible for the exemption for caring for a child under 12 months old.
 - E. A teen parent is a work eligible individual and required to complete the KWP Assessment if he/she is the head of household.
 - F. A teen parent who is married and living with their spouse is not required to live in an adult supervised setting.]

Volume III - Kentucky Transitional Assistance Program
MS 2328 - R. 3/1/26 - OMTL- 688
Relationship

To be eligible for KTAP, the child must be living in the household with a parent or caretaker relative, when a parent is not in the home.

A. The caretaker relative may be any of the following:

1. A blood relative of the child including a relative of a half-sibling;
2. A relative of the adoptive family after a child has been legally adopted;
3. Paternal relatives after paternity have been established; or
4. A relative by marriage of any persons listed in items 1-3. If the marriage has ended, relationship exists if the marriage ended after the child's birth.

B. A caretaker relative may provide a home for a dependent child without assuming obligation for support. The caretaker relative is entered as the head of household for the case but is not required to be included in the benefit group. A caretaker relative has the choice of requesting aid and being included in the benefit group or receiving benefits for the child only. If a caretaker relative requesting aid is married and the spouse lives in the household, only one of the caretaker relatives can be included in the benefit group.

C. Adoption terminates the legal responsibility of the biological parents to the child. However, adoption does not end the blood relationship between the adopted child and the biological parents and their relatives.

As a result, if the child returns to the home of his/her biological parent, the biological parent has the following options:

1. Exclude the child from his/her KTAP case because he/she IS NOT legally responsible for the child; or
2. Include the adopted child based on the biological relationship to the child as his/her parent.

[In this instance, a referral to the Department of Child Support Services (DCSS) is made on the adoptive parent, depending on the reason for the parent's absence.]

If the adopted child is in the home with both the adoptive parent and the biological parent, the child must be included with the adoptive parent in determining KTAP eligibility.

MS 2329

VERIFICATION OF RELATIONSHIP

(1)

The relationship of the relative applying for assistance for a child must be verified. A birth certificate is the primary source of verification for relationship of parent to child.

- A. Acceptable sources for verification of relationship may be one document or a combination of items/documents. Some of the items in the list below must be used in combination with another item in order to establish relationship of the parent or caretaker relative to the child. Acceptable verifications include:
1. State authorized/numbered birth certificate;
 2. KVETS for birth certificate inquiries for persons born in Kentucky;
 3. Court/legal documents that specify relationship;
 4. Statement from attending physician/midwife;
 5. Hospital record;
 6. Adoption record;
 7. Passport/immigration/naturalization papers;
 8. VS-8, Declaration of Paternity;
 9. VS-8B, Voluntary Acknowledgement of Paternity;
 10. VS-8C, Three-Way Paternity Affidavit;
 11. Verification of birth registration;
 12. Military records;
 13. Medical records, including immunization record;
 14. Marriage and/or divorce records;
 15. School record;
 16. Insurance policy;
 17. Driver's license;
 18. Baptismal certificate;
 19. Church documents, including a family bible;
 20. [Immigrants who left their homelands under emergency situations may not have all the required documentation for eligibility, such as verification or documentation of birth, marriage, divorce, or relationship. The

immigrant's statement may be accepted for verification of relationship in absence of other documentation; or]

21. If there is no other source of verification available, and ONLY AFTER the supervisor provides approval, obtain a notarized statement from an individual having specific knowledge about the relationship between the applicant/recipient and child. The statement must include:
 - a. Name of the child;
 - b. Date of birth;
 - c. Place of birth;
 - d. Individual's relationship to the child; and
 - e. Basis of the individual's knowledge.
- B. [The relationship of a relative, other than the parent, must be verified. For example: If the relative states she is an aunt, sister of child's mother, the documentation must verify the relative is a sister of the mother and verify the relationship of the mother to the child. Enter the relationship and how it was verified in Case Notes.]
- C. An alleged parent or relative of an alleged parent must provide proof of legal paternity or administratively established paternity. The relative of the alleged parent must also provide verification of relationship to the alleged parent.

When evidence is not provided or conflicting evidence (e.g. more than 1 affidavit, etc. is provided for the same child), deny the application since relationship to the child cannot be established.

MS 2330 ADMINISTRATIVE ESTABLISHMENT OF PATERNITY (1)

[Administrative establishment of relationship is determined when either the alleged parent or his relative is applying for KTAP, or the alleged parent is in the home.

In order to make this determination, one of the following types of evidence must be provided. If determining relationship of an alleged parent in the home, the evidence must be readily available to the worker.]

- A. A birth certificate listing the alleged parent; or
- B. Documents such as hospital records, juvenile court records, wills, and other court records which clearly indicate the relationship of the alleged parent or relative; or
- C. Receipt of statutory benefits as a result of the alleged parent's circumstances; or
- D. [Form VS-8, Declaration of Paternity, can be accepted to administratively establish relationship to determine KTAP eligibility. Form VS-8 is used by Vital Statistics to establish paternity outside a hospital. Form VS-8 must be signed by both parents and must be notarized to be valid verification of paternity. A correctly completed form VS-8 has the same authority as a paternity judgment.
- E. Form VS-8B, Voluntary Acknowledgement of Paternity, can be accepted to administratively establish relationship. Form VS-8B is used in the hospital based voluntary acknowledgement of paternity process. The form is used by hospital personnel to establish paternity either before or after the birth of a child. Form VS-8B must be signed by both parents and must be notarized to be valid verification of paternity. Accept form VS-8B completed through the hospital based process to administratively verify relationship to determine KTAP eligibility.
- F. A notarized form VS-8C, Three-Way Paternity Affidavit, can be accepted to administratively establish relationship to determine KTAP eligibility. This form is completed with the assistance of Vital Statistics staff when a child is born to a married woman and the child was fathered by a man other than her husband. Anyone seeking information about the three-way paternity process must contact Vital Statistics in Frankfort at (502) 564-4212. A correctly completed VS-8C has the same authority as a paternity judgment.]
- G. A notarized statement or affidavit of either parent acknowledging paternity PLUS one of the following:
 - 1. School records;
 - 2. Bible records;
 - 3. Immigration records;
 - 4. Naturalization records;

5. Church documents, such as baptismal certificates;
 6. Passport;
 7. Military records; or
 8. U.S. Census records; or
 9. Notarized statement or affidavit from an individual having specific knowledge about the relationship between the alleged parent and child. The statement must include:
 - a. Name of the child;
 - b. Date of birth;
 - c. Place of birth
 - d. Individual's relationship to the child; and
 - e. Basis of the individual's knowledge.
- H. In cases in which the parent or, in the absence of the parent, the caretaker relative states the individual listed in item A or B is not the actual mother/father of the child, the parent/caretaker relative may provide substantiating evidence that the information was erroneous (e.g. proof that the parent named on the birth certificate was incarcerated for the 12 month prior to child's birth, etc.) and identify the alleged parent by providing a notarized statement or affidavit containing the following:
1. The erroneous information originally provided; and
 2. The correct identity of the alleged parent.

When the case record contains the above notarized statement or affidavit and substantiating evidence to refute the original information, do not administratively establish relationship for the individual listed on the birth certificate or legal documents. If administrative establishment of relationship has previously been established for the alleged parent now cited as being erroneous, consider it no longer valid.

Once a notarized statement or affidavit is submitted to change the parent, the rebuttal process cannot be used again to refute it.

MS 2331

COMMON LAW MARRIAGES

[Kentucky does not recognize common law marriages unless a couple has been considered legally married by a state that does recognize common law marriage.

- A. Common law marriages are recognized in the following 8 states and the District of Columbia:
 - 1. Colorado – Common law marriages contracted on or after September 1, 2008 and the individuals were 18 or older at the time of the contract.
 - 2. Iowa – Common law marriages for purposes of the support of dependent children.
 - 3. Kansas – Common law marriages are recognized if the individuals are 18 or older.
 - 4. Montana – Common law marriage are not strictly prohibited or invalidated by the Marriage Chapter of Montana statutes.
 - 5. New Hampshire – Common law marriage is when individuals live together as husband and wife for 3 years, they are considered married until one of them dies.
 - 6. South Carolina – South Carolina allows marriages without valid licenses.
 - 7. Texas – Common law marriages are allowed in specific circumstances as found in the Texas Family Law.
 - 8. Utah – Common law marriages are allowed by Utah statute.
- B. The following states previously allowed common law marriages and will still recognize the common law marriages as valid:
 - 1. Florida – Common law marriages entered into on or before January 1, 1968.
 - 2. Georgia – Common law marriages entered into on or before January 1, 1997.
 - 3. Indiana – Common law marriages entered into on or before January 1, 1958.
 - 4. Ohio – Common law marriages entered into on or before October 1, 1991.
 - 5. Pennsylvania – Common law marriages entered on or before January 1, 2005.]

- C. The statement of the individual that he/she resided in a state which recognizes common law marriage and that he/she was considered married is accepted as verification.

MS 2332

ENUMERATION

(1)

Require each member of the benefit group to furnish a Social Security Number (SSN) or apply for an SSN as a technical eligibility requirement. Do NOT require the applicant to provide a SSN or apply for a SSN for an individual who will not be a member of the KTAP benefit group.

Example: If a grandmother is applying for a grandchild and is not going to be included in the case, she does not have to provide a SSN for herself.

- A. Obtain the SSN for each member in a KTAP case. Accept the individual's statement as verification of the SSN. No additional verification is required, unless questionable.

When a SSN is entered on Worker Portal, if the SSN does not match the database, a message appears on the screen.

- B. If the household member, based on religious grounds refuses to provide an SSN, the member has good cause for failing to comply. If the household member is unable to provide evidence such as out-of-state birth records which are necessary for completing form SS-5, the member has good cause for failing to comply as long as he is making a good faith effort to obtain the evidence.

As long as a good faith effort is being made to provide the SSN, good cause exists for failing to provide the number.

- C. Refusal without good cause to furnish a number or to make application for a number results in the removal of the individual's needs to whom the refusal is applicable. If the parent or caretaker relative refuses to cooperate with enumeration requirements for a child, exclude that child only from the case. If the unenumerated child is the only eligible child in the home, deny/discontinue the case.
- D. Include the individual in the case when the individual, who must be enumerated, does not yet have an SSN and is cooperating with the enumeration process. The individual is cooperating when he:
 - 1. Allows DCBS to mail original documentation to SSA with completed form SS-5; or
 - 2. Returns:
 - a. Form SS-10;
 - b. Form SSA-2853 signed by an authorized hospital official;
 - c. A signed system-generated receipt issued by SSA; or
 - d. Form SSA-5028 following a face-to-face interview with SSA.

- e. Form I-765 or letter from Office of Refugee Admissions, Bureau of Population, Refugees, and Migration, U.S. Department of State stating the individual has applied for an SSN.
- E. [When individuals report they are unable to obtain an SSN due to immigration status, review all documentation in the Electronic Case File (ECF) to determine if information from the SSA has previously been provided to verify this.

If verification from SSA has been provided stating the individual is not eligible for an SSN, the worker must select "Is not eligible to receive an SSN" in the "Reason for not having SSN" drop down. This will allow the immigrant to receive KTAP if all other eligibility factors are met.]
- F. During each application/recertification, review the case to determine if all KTAP individuals have been enumerated and that the SSNs are entered on Worker Portal. If an individual is not currently enumerated or the SSN is not available or a verified SSN application has not been completed in the past 75 days, complete form SS-5, Application for a Social Security Number Card. Access the current version of the form and instructions on how to apply for a SSN, from the website at <http://www.ssa.gov/ssnumber/>.
- G. KTAP applications may be approved, or eligibility continued, during the period pending issuance of a number by the SSA. Once the SSN is provided, enter it on Worker Portal.

MS 2334

RESIDENCY

(1)

To be eligible for KTAP, the child and parent or caretaker relative with whom the child lives must be residing in Kentucky.

- A. Temporary absence from Kentucky with subsequent returns, or intent to return when the reason for the absence is accomplished, does not interrupt continuity of residence. Refer to [MS 2338](#) for more information on temporary absence.
- B. Individuals are considered a resident of Kentucky if they meet either of the following definitions:
 - 1. Living in Kentucky voluntarily and not for a temporary purpose. A child is considered a resident of the state in which he/she is living other than on a temporary basis; or
 - 2. The individual is, at the time of application, living in Kentucky, is not receiving assistance from another state and entered Kentucky with a job commitment or seeking employment (whether or not currently employed). Under this definition, the child is a resident of the state in which the caretaker relative is a resident, and migrants are considered residents of Kentucky.
 - 3. If the individual is a student who lives in Kentucky while attending college but returns to his/her home state after each semester ends, the individual is not considered a resident of Kentucky.
- C. Client statement is acceptable as verification of the place of residence, unless there are indications of residence in another state. In these situations, request verification of residency, such as a landlord statement or written statement from someone familiar with the family.

MS 2338 TEMPORARY ABSENCE (1)

Temporary absence from Kentucky with subsequent returns, or intent to return when the purposes of the absence have been accomplished, does not interrupt continuity of residence.

A. Temporary absence from the home of the parent or caretaker relative for medical care, attendance at school, Job Corps, or short visits with friends or relatives does not interrupt the "living with" requirement when it is intended that the parent or caretaker relative will return to the home, AND the parent/caretaker relative maintains care and control of the child.

B. Temporary absence of a child from the home does **not** exist when the child is away from the home or expected to be away from home for more than 30 consecutive calendar days, unless there is a good cause reason for the absence.

1. Good cause reasons for being away from home for more than 30 days are:

a. [Medical care.

Exception: A newborn, who remains in the hospital after birth due to medical issues, is not considered temporarily absent from the home since the newborn has not physically resided in the home prior to the hospital stay. The newborn would be KTAP eligible once the newborn comes home from the hospital.]

b. Attendance at school including boarding school.

c. Attendance at college or vocational school including Job Corps.

d. Visiting with family or friends when it is intended that the child will return to the home and the parent/caretaker relative maintains parental control.

Example 1: The child lived with and is included in mom's KTAP case but stays with grandma in another county to attend school. The mother maintains parental control; therefore, the child is not considered absent.

Example 2: The child is visiting with her father for 2 months during the summer. Mom maintains parental control; therefore, the child is not considered absent.

2. For the parent/caretaker relative to remain eligible for KTAP, if the CHILD's absence does not meet one of the good cause reasons and other children reside in the home, the parent/caretaker relative must report the child's absence within 5 calendar days of becoming aware the absence will exceed 30 consecutive days.

- a. If the parent/caretaker relative does not report within 5 calendar days of the child's absence (expected to exceed 30 consecutive days), the parent/caretaker relative is ineligible to receive KTAP for the month the absence is unreported. Following the untimely report, the parent/caretaker relative remains ineligible until the month following the month the parent/caretaker relative reports the child's absence.
 - b. If the fifth day of becoming aware the child's absence will exceed 30 consecutive days falls on a weekend or holiday, allow the parent/caretaker relative until close of business of the next workday to report the child's absence.
 - c. At the point the agency becomes aware the child's absence exceeded 30 days or is expected to exceed 30 days without good cause, the child is removed from the case the first administratively feasible month. If this is the only child in the case, the case is discontinued.
- C. A KTAP parent or child who enters a long-term care facility may remain eligible for KTAP for up to 1 year as long as all other technical requirements are met. Immediately refer the nursing facility recipient to the Social Security Administration utilizing form PAFS-5.1, Report or Referral to the District Social Security Office, to apply for RSDI/SSI benefits if the recipient's medical condition appears to be disabling, e.g., head injury, quadriplegia, etc.
- D. Residence in a spouse abuse center does not affect eligibility; however, the children must be living with the parent unless temporary absence existed prior to entering the spouse abuse center.

MS 2340

JOINT CUSTODY

(1)

[Joint custody policy applies to court issued joint custody orders for the parents of the child regardless of their current or previous marital status. This includes parents who never married but have been established as the legal parent either administratively or by adjudication.]

A. In cases where there is a joint custody order signed and dated by judge or court official and:

1. The parents have a 50/50 joint custody order and are following the order, neither parent is eligible to receive KTAP.

Example: The child resides with each parent for a total of 3 ½ days a week. Neither parent may receive KTAP for the child as each parent is providing care for the child for an equal amount of time.

2. If the joint custody order is something other than 50/50 (60/40, 70/30) or is not being followed, the parent residing with the child the majority of the time may receive KTAP, if all other eligibility factors are met.]

Example 1: Mother and father share custody of their child. The child resides with the mother Monday through Thursday and with the father Friday through Sunday. The child resides with mother the majority of the time; therefore, the mother may receive KTAP for the child.

Example 2: According to the agreement, the child resides with the mother for 8 months and with the father for 4 months during the year. The mother may receive KTAP for the 8 months the child resides with her. The father may receive KTAP for the 4 months the child resides with him.

B. Joint custody must be verified by obtaining a copy of the joint custody order. If the parent states a child has a 50/50 joint custody order that is not being followed, it must be verified. Acceptable verifications include:

1. One or more written statements from individuals who know the family and can attest to the situation;
2. The child's school records;
3. A written statement from the other parent; or
4. Collateral contact.

Volume III - Kentucky Transitional Assistance Program
MS 2375 - R. 3/1/26 - OMTL- 688
Referral for Child Support Services

An individual who receives KTAP is required to assign his/her rights to child support to the Cabinet.

- A. If the individual refuses to assign rights at application or reapplication, the application is denied.
- B. If after the individual assigned rights, the individual refuses to cooperate, a 25% penalty is applied. For additional information, refer to [MS 3080](#).

[Complete a child support referral to the Department of Child Support Services (DCSS) for all cases where the one or both parents are absent from the home unless the individual claims good cause. Refer to the subchapter Child Support Program [MS 3000](#) through [MS 3080](#) for detailed information on child support requirements, referral process, and good cause criteria.]

When the absent parent is deceased, a child support referral is **not** required.

MS 2400 RESOURCES - GENERAL INFORMATION (1)

Only liquid resources are considered in determining eligibility. Consider liquid resources when available to the parent, child, and/or caretaker relative who is included in the benefit group. Excluded resources are not considered when determining eligibility.

A. Liquid resources are defined as:

1. Cash;
2. Checking accounts;
3. Savings accounts;
4. Stocks/bonds;
5. Money market accounts; and
6. Certificates of Deposit.

Excluded resources are not considered in determining eligibility.

B. [The resource limit is \$10,000 for a family.

1. When total countable liquid resources are \$10,000 or less at the time an application or recertification is processed, the case is resource eligible.
2. When total countable liquid resources exceed \$10,000 at the time an application or recertification is processed, the case is resource ineligible.
3. During the month of discontinuance or denial, if the individual verifies resources have reduced to \$10,000 or less without a transfer of resources, the household is resource eligible and the worker should take a reapplication at the time that the decrease in resources is reported.

C. Resources must be verified regardless of the amount. The individual's statement is acceptable for amounts up to \$9,500. For amounts above \$9,500, the individual must provide one of the following documents to verify his/her resources:]

1. Bank statement or printout;
2. Stock statement or statement regarding bonds or certificates of deposit (CDs);
3. Wills or trustee statements;
4. Legal document/court order; or
5. Other written statement from the financial institution.

MS 2410 EXCLUDED RESOURCES (1)

Excluded resources are available money, real property, personal property, or other assets not counted in determining eligibility.

- A. All resources that are not liquid assets.
- B. Gifts or inheritance legally not available until a later date.
- C. All resources of an SSI or State Supplementation recipient.
- D. Resources of a child excluded from the KTAP case.
- E. Resources of the stepparent who is not included in the KTAP benefit group, parent of a minor parent if the parent is not receiving KTAP for the minor parent, a caretaker relative if the caretaker relative is not included in the KTAP benefit group, or the spouse of a caretaker relative.
- F. Amount of KTAP and Kinship Care monthly benefits and back payments.
- G. Funds in an IRA, state retirement, deferred compensation, etc., during period of unavailability. When these funds become available, count as a resource.
- H. Excluded income is also an excluded resource, (e.g., money received from urban renewal assistance, VA benefits for natural children of women Vietnam veterans, WIOA, etc.).
- I. Principal and accrued interest of an irrevocable trust during periods of unavailability including irrevocable funeral trusts.
- J. Loans. Verify the loan by a commercial loan contract or form PAFS-73, Verification of Contributions - Loans - Roomer/Boarder Payments. When verification is received exclude the loan amount. If verification is not received, consider the amount as a contribution.
- K. Up to \$12,000 to Aleutians and \$20,000 to individuals of Japanese ancestry for payments made by the United States Government to compensate for hardship experienced during World War II (All recipients of these payments are provided with written verification by the U.S. Government.).
- L. Payments made from the Agent Orange Settlement Fund issued by Aetna Life and Casualty to veterans or their survivors in accordance with Public Law 101-201 which was retroactive to January 1, 1989.
- M. Federal tax refunds and earned income tax credit (EITC) payments received after December 31, 2009, for 12 months from the month of receipt.
- N. Any payments received from the Radiation Exposure Compensation Trust Fund.

- O. With Self-Employment/Farming annualized income, the balance of the yearly payment is excluded during each of the months the prorated amount is counted as self-employment income. Resources accumulated by a self-employed person, which are prorated as monthly income, are excluded.

Example: A tobacco farmer, after all expenses, receives \$6,000 for his crop in January and deposits this sum in his bank account until needed for the next year's crop. The \$6,000 is then prorated over a 12-month period and \$500 a self-employment income is considered in the case. The yearly payment (\$6,000) is excluded during the period the prorated amount is counted (12 months) as self-employment income.

- P. SSI back payments made to a KTAP recipient, who is not ongoing eligible for SSI, are not counted as resources for the month of receipt and the following month. See [MS 2420](#).
- Q. Up to \$5,000 in Individual Development Accounts. Refer to [MS 2425](#).
- R. 529 college savings plans such as the Kentucky Educational Savings Plan Trust (KESPT).
- S. **[Savings in an ABLE account, pursuant to KRS 205.200 (13).]**

MS 2420 COUNTABLE RESOURCES (1)

Countable resources are:

- A. All liquid resources, regardless of amount;
- B. Liquid resources are defined as:
 - 1. Cash;
 - 2. Checking accounts;
 - 3. Savings accounts;
 - 4. Stocks/bonds;
 - 5. Money market accounts; and
 - 6. Certificates of Deposit.
- C. All liquid resources of technically excluded parents, unless the parent receives SSI;
- D. All liquid resources of disqualified parents and children;
- E. State tax refunds;
- [F. Interest on an excluded resource, other than a trust fund, which is posted to the account and not paid to the individual on a periodic basis;]
- G. State Earned Income Tax Credit (EITC) payments beginning the second month after the month of receipt;
- H. An employee's retirement contribution once it is withdrawn;
- I. The remaining amount of SSI back payments received by a KTAP recipient who is not ongoing SSI eligible, beginning the second month after the month of receipt. This amount is the amount of the back payment remaining after being excluded for the month of receipt and the following month.

[EXAMPLE: A back payment of \$6,000 is received in January. The \$6,000 is excluded for January and February. In March, the individual had \$4,000 left. The \$4,000 is counted in March.

]
- J. For consideration of an immigrant's sponsor's resources, refer to Volume I, MS 2049.]

DO NOT count the current month's income as both income and a resource. If income for the current month is deposited in a bank account, deduct that amount from the account to determine the actual account balance.

MS 2425 INDIVIDUAL DEVELOPMENT ACCOUNTS (1)

An Individual Development Account (IDA) is a savings account established at an approved financial institution with the assistance of a non-profit organization. The purpose of the IDA is for a down payment on a house, college fund, or establishing a self-employment business.

Non-profit organizations use grant money to establish the IDA with a financial institution and matches the earned income contributions that the individual makes.

Non-profit organizations notify the communities they serve of the availability of an IDA for individuals who qualify. The non-profit organization may contact Central Office or the local DCBS office to request that KTAP recipients be informed about an opportunity to have an IDA.

The non-profit organization assists interested individuals in setting up the IDA. The IDA must be set up for a qualified purpose and verified by a copy of the IDA savings agreement. A verified IDA is considered an excluded resource, including interest accrued to the account, in determining eligibility for KTAP.

A. The following restrictions apply to an IDA:

1. [Contributions to an IDA can only come from money derived from earned income. Contributions made by the individual are matched by the non-profit organization.]
2. There is a \$5,000 limit per family.
3. The IDA must be separate from all other accounts, such as regular savings accounts.
4. An individual cannot transfer any existing money, such as money currently in a regular savings account, to an IDA.
5. Funds held in an IDA can only be withdrawn for one or more of the following reasons which meet the definition of a qualified purpose.
 - a. Post-secondary Education Expense - Post-secondary educational expenses paid from an IDA directly to an eligible education institution.
 - b. First Home Purchase - Cost of acquiring, construction or reconstruction of a home for a first time home buyer. This includes reconstruction of substandard housing, to repair things related to safety such as sanitary water, waste water facilities, energy efficiency, and structural improvements such as roof and floor repairs.

EXAMPLE: An individual already owns his/her first home, but the home does not have indoor plumbing. An IDA could be established to install plumbing and a bathroom.

- c. Business Capitalization - Amounts paid from an IDA directly to a business capitalization account which has been established in a federally insured financial institution and is restricted to use solely for qualified business capitalization expenses.
- B. The amount of the IDA must be verified at each recertification. If the individual's account is close to the \$5,000 limit at recertification, explain he/she is responsible for reporting when the IDA exceeds this limit.
- [C. Enter the total amount the individual has in an IDA on the Resource screens in Worker Portal and select the type of resources as IDA, which will exclude up to \$5000 from counting in the KTAP case.]

MS 2450 [JOINTLY OWNED LIQUID RESOURCES]

Jointly owned liquid resources are resources owned or held by more than one person.

- A. Enter all the information regarding the joint ownership for each account on the "Liquid Resource" screen.
- B. When more than one signature is required to withdraw funds from a joint checking or savings account, only the individual's share is available. Share is established by a signed statement from other parties as to the division of the resource.
- C. If liquid resources are jointly owned, other than a checking or savings account; determine the individual's share by dividing the value by the number of owners. The parent's share is available to the children for whom assistance is requested, regardless of whether the parent is included in the benefit group.
- D. If the individual states that he/she does not contribute to or withdraw from a jointly held resource (checking, savings, certificates of deposit, or savings bonds), allow the individual the opportunity to dispute the ownership. To dispute the ownership of the resource, the individual must provide:
 - 1. A written statement regarding ownership and showing who deposits and withdraws funds from the account; and
 - 2. A written statement from each of the other account holders which corroborates the individual's statement, unless the account holder is a minor or is physically or mentally unable to provide a statement; and
 - 3. Verification that the individual's name has been removed from the account.

Do not consider the resource available starting with the month the individual's name is removed from the account.

- E. Consider none available when the parties of the jointly held resource are not willing to release their portion of the resource or one party cannot be contacted for a release of their portion. It must be verified that litigation would be required or is pending (e.g., divorce settlement, probate of will, etc.) to determine to whom a resource belongs.]

MS 2460

SPONSOR RESOURCES

(1)

To determine KTAP eligibility for a sponsored immigrant, compute the liquid resources of the sponsor and his/her spouse, if living together, and consider in the case as follows:

- A. The total liquid resources of the sponsor, and sponsor's spouse if appropriate, are computed as if the sponsor was applying for KTAP.
- [B. The total liquid resources are subject to a \$9,500 disregard with the remainder considered as a liquid resource available to the immigrant. If the sponsor is not sponsoring all members of an immigrant assistance group, the liquid resources are considered available only to the members sponsored.]**
- C. In some situations, an individual serves as sponsor for 2 or more immigrant assistance groups. In such cases the resources are divided equally between or among the sponsored immigrants who receive or are applying for assistance.

If the sponsor has signed an agreement guaranteeing support for some, but not all members of an immigrant assistance group, the sponsor's resources are considered available only to the sponsored members.

- D. There are exceptions for deeming resources:
 - 1. The immigrant is determined indigent if:
 - a. The amount of the sponsor's income and resources given to the immigrant does not exceed the amount agreed to in the affidavit; and
 - b. Without the assistance from the Cabinet, the immigrant would be unable to obtain food and shelter. In determining if the immigrant is indigent, consider the immigrant's own income and resources, plus any cash, food, housing or other assistance provided by other individuals including the sponsor.

Count only the amount actually provided by the sponsor for a 12-month period. The 12-month period for the indigent exception starts with the month the determination is made.

- 2. If the immigrant or immigrant's child has been subjected to extreme cruelty or has been battered in the U.S. by:
 - a. A spouse or parent; or
 - b. A spouse or parent's family living with the immigrant or immigrant's child and the spouse or parent allows the cruelty or battery; or

3. If the immigrant is a child who lives with a parent who has been battered or subjected to extreme cruelty in the U.S. by:
 - a. A spouse; or
 - b. A member of the spouse's family living in the same household and the spouse allows the battery or cruelty.

In order to claim this exception the immigrant child and parent may not be the individual committing the battery or extreme cruelty. This exception lasts 12 months unless the child and parent move back into the abusive situation.

MS 2490 TRANSFERRED LIQUID RESOURCES (1)

KRS 205.210(3) mandates that the equity value of liquid assets voluntarily transferred by an individual receiving KTAP or Kinship Care benefits **solely for the purpose of establishing eligibility** be considered an available resource to the individual.

At application, determine whether liquid assets were transferred within the last 24 months. If liquid assets were transferred, enter all information regarding the transfer on the "Transfer/Sold Resource" screen.

At a recertification, determine whether liquid assets were transferred since the last recertification. If liquid assets were transferred, enter all information regarding the transfer on the "Transfer/Sold Resource" screen.

Transfer of a liquid resource does not affect eligibility if the individual presents convincing evidence the transfer was for a purpose other than to become eligible for benefits.

- A. Eligibility is determined by considering the uncompensated value (fair market value minus compensation received) of the liquid resource and combining with all other liquid resources:
 - 1. If total liquid resources do not exceed the resource limit, no further consideration is given to the transfer;
 - 2. If total liquid resources exceed the resource limit and the resource was transferred within the last 24 months at less than fair market value, consider that the transfer was for the purpose of meeting eligibility requirements. In this situation:
 - [a. \$10,000 is subtracted from the total amount of resources and divided by \$2,500 to determine the number of months the family is ineligible. The ineligibility period is not to exceed 24 months from date of transfer. Partial months are counted as a whole month.]
 - b. The case will be denied or discontinued for the number of months computed.
- B. For an individual whose eligibility is discontinued or denied, begin the period of ineligibility due to resources with the month of transfer. This period of ineligibility applies to the case in which the children are members, even if the parent/caretaker relative changes.

Volume III - Kentucky Transitional Assistance Program

MS 2500 - R. 3/1/26 - OMTL- 688

Income – General Information

Income is money received from statutory benefits, rental property, investments, business operations, child support, nonrecurring lump sums, wages for labor, or services performed, etc. Income may be unearned or earned.

- A. If the individual reports no income, verify the lack of income for the parent(s) or caretaker relative requesting aid by form PAFS-702, Proof of No Income, a written statement, or collateral contact. If the individual reports and verifies the loss of income in the past 30 days, it is not necessary to verify no income.
- B. Income is divided into 3 general types: continuing, non-continuing, and anticipated.
 - 1. Continuing income is income that is received on a regular basis, e.g., daily, weekly, biweekly, semi-monthly, monthly, quarterly, semiannually, or annually. This type of income includes, but is not limited to, wages, statutory benefits, pensions, etc.
 - 2. Non-continuing income is any type of income that has been terminated.
 - 3. Anticipated income is income expected to be received in the future; such as child support, wages, pensions, etc.
- C. The type and amount of income must be verified at each application and recertification and at the time of a reported change or anticipated change in income. When income terminates, verify the termination of the income **before** removing the income from the case. All income is verified by one of the sources listed below.
 - 1. Use the following types of verification for unearned income:
 - a. Award letters or verification from Social Security Administration;
 - b. Job service card;
 - c. Company pension statement;
 - d. Internal Revenue Service records;
 - e. Veterans' records;
 - f. Railroad Retirement records;
 - g. Court orders of support;
 - h. Union records;
 - i. [Inquiry of the DCSS External Search for potential payments collected by the Department of Child Support Services (DCSS)];

- j. Contract on the sale of property;
 - k. Bank statements;
 - l. Statement or copies of checks from the noncustodial parent making support payments; or
 - m. A statement from the person providing income to the individual.
 - n. System inquiries such as SDX and BENDEX.
2. Use the following types of documentation for earned income:
- a. Pay stubs;
 - b. Employer statement or contact;
 - c. Contract;
 - d. Records maintained by the individual for his/her self-employment income;
 - e. Income tax returns;
 - f. Form PAFS-700, Verification of Income;
 - g. Form PAFS-121, Irregular Work form; or
 - h. Electronic Income Verification. Refer to Volume I, MS 0131, for acceptable Electronic Income Verification (EIV).
 - i. System inquiries such as Eligibility Advisor.
- D. The actual verified income is entered in Worker Portal, and the system calculates the countable monthly income. Do not round income amounts before entering.
- E. For individuals recently entering Kentucky, inquire if assistance was received in another state. If he/she states TANF has been received in another state:
- 1. Explain to the individual that TANF months received in other states must be verified before the application can be approved;
 - 2. Contact the public assistance agency in the other state to verify the individual is no longer receiving benefits from the other state as well as each month TANF benefits were received;
 - 3. Ask the individual if he/she can provide any contact information for the other state, such as the worker's name, phone number, address, etc.; and

4. If the other state requires a written request, fax form PAFS-28, Out-of-State Inquiry, to obtain verification of assistance status.

MS 2505

SPONSOR INCOME

(1)

[For a sponsored immigrant, the total gross income of the sponsor and sponsor's spouse is deemed to the immigrant as unearned income.

- A. Income from KTAP or SSI is exempt from consideration when determining the sponsor's monthly income available to a sponsored immigrant.
- B. In some situations an individual serves as a sponsor for 2 or more immigrant assistance groups. In such cases the income is divided equally among the sponsored immigrants who receive or are applying for assistance.
- C. If the sponsor has signed an agreement guaranteeing support for some, but not all members of an immigrant assistance group, the sponsor's income is considered available only to the sponsored members.
- D. Income is not considered available to unsponsored immigrants in determining need unless the sponsored immigrants actually make the income available to the unsponsored members of the assistance group. Only the amount made available is considered and shown as unearned income.
- E. There are certain exceptions for deeming income:
 - 1. The immigrant is determined indigent if:
 - a. The amount of the sponsor's income and resources given to the immigrant does not exceed the amount agreed to in the affidavit; and
 - b. Without the assistance from the Cabinet, the immigrant would be unable to obtain food and shelter. In determining if the immigrant is indigent, take into account the immigrant's own income and resources, plus any cash, food, housing or other assistance provided by other individuals including the sponsor.

Count only the amount actually provided by the sponsor for a 12-month period. The 12-month period for the indigent exception starts with the month the determination is made.

- 2. If the immigrant or immigrant's child has been subjected to extreme cruelty or has been battered in the U.S. by:
 - a. A spouse or parent; or
 - b. A spouse or parent's family living with the immigrant or immigrant's child and the spouse or parent allows the cruelty or battery; or
- 3. If the immigrant is a child who lives with a parent who has been battered or subjected to extreme cruelty in the U.S. by:
 - a. A spouse; or

- b. A member of the spouse's family living in the same household and the spouse allows the battery or cruelty.

In order to claim this exception the immigrant child and parent may not be living with the individual committing the battery or extreme cruelty. This exception lasts 12 months unless the child and parent move back into the abusive situation.]

MS 2510 EXCLUDED INCOME (1)

Excluded Income is income received by the family but not considered in determining the benefit calculation.

Consider jointly held income unavailable when the parties are not willing to release their portion of the income or one party cannot be contacted for a release of its portion. It must be verified that litigation would be required or is pending to determine to whom the income belongs.

The following is a list of income which is excluded.

- A. Reimbursement for transportation in performance of employment duties, if identifiable;
- B. Kentucky Works supportive services payments including relocation assistance;
- C. All Workforce Innovation and Opportunity Act (WIOA) income. Refer to Vol. IIIA, MS 4250, to ensure WIOA employment hours are captured for Kentucky Works participation;
- D. Monies distributed to members of certain Indian tribes which are referred to in Section 5 of PL 94-114 that became effective October 17, 1975 or Section 9 of PL 96-420 that became effective October 10, 1980;
- E. Low Income Home Energy Assistance Program (LIHEAP) payments or other energy payments made to an energy provider or provided in-kind;
- F. Nonemergency medical transportation payments;
- G. Principal of loans; Verify the loan by a commercial loan contract, form PAFS-73, Verification of Contributions - Loans - Roomer/Boarder Payments. If not verified, consider the amount as a contribution;
- H. All educational grants, loans and scholarships regardless of the use or funding sources. Verification is not needed for educational grants, loans and scholarships;
- I. All student work study income. Refer to Vol. IIIA, MS 4250, Employment (B), to ensure work study participation is captured for Kentucky Works participation;
- J. Highway relocation assistance;
- K. Urban renewal assistance;
- L. Monies received from federal disaster and state disaster assistance;
- M. Home produce utilized for household consumption;

- N. Any funds distributed per capita to or held in trust for members of any Indian tribe under PL 92-524, PL 93-134, PL 94-540, PL 97-458, PL 98-64, PL 98-123, PL 98-124 or PL 100-241 (cash payment not exceeding \$2,000 per year);
- O. Any benefits received under Title VII and Title V, Nutrition Program for the Elderly, of the Older Americans Act of 1965, as amended;
- P. Payments for supportive services or reimbursement of out-of-pocket expenses made to individual volunteers serving as foster grandparents, senior health aides or senior companions, and to persons serving in Service Corps of Retired Executives (SCORE) and Active Corps of Executives (ACE) and any other programs under Titles II and III, pursuant to Section 418 of PL 93-113;
- Q. **[All AmeriCorps payments including: VISTA, educational awards, stipends and wages from participation in an AmeriCorps activity:**
 - 1. Income from AmeriCorps that is considered as earned income is excluded, but verification is required in order to count the hours in Kentucky Works Program (KWP) participation;
 - 2. AmeriCorps income that is paid directly to an institution and not paid to the individual is considered unearned income and is excluded;]
- R. Any payment made by the Division of Protection and Permanency for child foster care, or under certain circumstances subsidized adoptions (refer to [MS 2275](#)), adult foster care, or personal care assistance;
- S. SSI including any other income of SSI recipients, an essential person's portion of an SSI benefit and SSI back payments;
- T. Cost of producing income for self-employment;
- U. Any housing subsidies received from federal, state, or local governments even if paid directly to the individual;
- V. Vendor Payment - payments made DIRECTLY to a doctor, pharmacist, landlord, utility provider, etc. by another individual or organization. This includes Home Energy Assistance (HEA) from private or public organizations or individuals;
- W. In-Kind Income - any gain or benefit not in the form of money payable directly to the household;
- X. \$50 of child support. See [MS 2610](#);
- Y. The value of USDA donated foods, supplemental food assistance under the Child Nutrition Act of 1966, food assistance provided for children under the National School Lunch Act as amended, and the monthly SNAP allotment;
- Z. Income of a technically excluded child;

- AA. Small nonrecurring cash gifts (e.g., Christmas, birthdays and graduation), of \$30 or less but not totaling more than \$30 per month for each member of the assistance group. Refer to [MS 2618](#);
- BB. Income from complementary programs (e.g., education-related transportation and school supplies). See [MS 2513](#);
- CC. Up to \$12,000 to Aleutians and up to \$20,000 to individuals of Japanese ancestry for payments made by the United States Government to compensate for hardships experienced during World War II. (All recipients of this income are provided with written verification by the U.S. Government.);
- DD. Payments made from the Agent Orange Settlement Fund issued by Aetna Life and Casualty to veterans or their survivors in accordance to P.L. 101-201 retroactive to January 1, 1989 are not considered as income;
- EE. KTAP and Kinship Care payments and back payments;
- FF. Income of a legal guardian not included in the KTAP case, when determining eligibility for a minor parent and his or her child;
- GG. Federal tax refunds received after December 31, 2009 for 12 months from the month of receipt;
- HH. Earned Income Credit (EIC) payments;
- II. Any payments received from the Radiation Exposure Compensation Trust Fund;
- JJ. Payments made to individuals because of their status as victims of Nazi persecution;
- KK. Income received from temporary employment from the United States Department of Commerce, Bureau of the Census;
- LL. Payments made from Crime Victims Funds in accordance with Section 234 of the Antiterrorism and Effective Death Penalty Act of 1996;
- MM. Loan assistance through the Farm Service Agency (FSA EM) pursuant to Section 321(a) of the Consolidated Farm and Rural Development Act;
- NN. Section 401 of the Veterans Benefits and Health Care Improvement Act of 2000, Public Law 106-419, provided for certain benefits for individuals with covered birth defects who are the natural children of women veterans who served in Vietnam during the Vietnam era. There is no age limit for recipients of these benefits. These individuals receive the benefits until they die;
- OO. Section 421 of the Departments of Veterans Affairs and Housing and Urban Development, and Independent Agencies Appropriations Act 1997, Public Law 104-204, provides a monthly allowance to “any child of a

Vietnam veteran for any disability resulting from spina bifida suffered by such child”;

PP. Payments from the Tobacco Settlement;

QQ. Tax Rebate checks;

RR. Earnings of an individual under age 20 attending school;

SS. Earnings of a dependent child under age eighteen who is a high school graduate;

[TT. Interest and dividend income, unless derived from a corporate business such as an “S” corporation;]

UU. Discounts or subsidies provided to Medicare beneficiaries;

VV. The ORR differential payment from Refugee Cash Assistance (RCA) program for any refugee household receiving KTAP, who arrived in the US on or after October 1, 2015. The refugee household may continue to receive the payment for the first 8 months after arrival;

WW. Reimbursement payments for an individual participating in the Vocational Rehabilitation Preparing Adults for Competitive Employment program;

XX. State Supplementation payments and back payments;

YY. Payments received from the World War II Filipino Veterans Equity Compensation Fund; and

ZZ. Payments from the military’s Transitional Compensation for Abused Dependents program.

MS 2512 EXCLUDED STUDENT INCOME (1)

Earned income is excluded for the following individuals who are currently attending school.

- A. A child or teen parent who is meeting school requirements and included in the benefit group;
- B. [A child or teen parent (under age 18) who has graduated from high school or earned a GED;]
- C. Earned income of all teens (up to age 20), who are attending school, including post-secondary.
- D. Earned income received by a child from participation in a Workforce Innovation and Opportunity Act (WIOA) earned income activity, regardless of student status, is excluded.

MS 2513 COMPLEMENTARY PROGRAM INCOME (1)

[Certain assistance from complementary programs may be excluded. Assistance from complementary programs is money received from other public agencies and nonprofit organizations which does not duplicate items included in the KTAP standard of assistance. The KTAP standard of assistance includes shelter, food, clothing and utilities.]

Complementary program assistance which may be excluded includes but is not limited to assistance for education related transportation and school supplies from other public agencies or nonprofit organizations.

Volume 3 - Kentucky Transitional Assistance Program (KTAP)

MS 2520 - R. 5/1/26 - OMTL-692

Six-month Earned Income Exclusion

The 6-month earned income exclusion is an incentive for individuals to become employed (including self-employment) or to improve their employment situation.

- A. Improvements include a raise in pay, different job, moving from part-time to full-time, etc. For self-employment income, an improvement in the employment situation would be moving from one self-employment venture to another.

Example 1: Betty's self-employment is providing adult care services. She was providing services for one individual but stopped and started providing the same services for another individual. This would **not** be considered two different self-employment ventures.

Example 2: Betty's self-employment is providing adult care services. She ends this self-employment and starts a new one. She is now providing services as a personal shopper. This new venture would be considered a new job and potentially eligible for the 6-month exclusion.

- B. Each adult member has the option to use the earned income exclusion **twice** in a lifetime. Use of the earned income exclusion for any months ending prior to April 30, 2024 does not count toward the twice in a lifetime limit. If an individual is currently in an exclusion period in April 2024 and the 6-month timeframe continues, this will be considered the first instance.

A 6-month exclusion is applied to all earned income of each adult KTAP member who begins new employment or has an increase in earnings. The adult member has the option to choose to apply the exclusion to these earnings. The exclusion is not automatically applied.

Example: Sally starts a job at Dollar General. It is only part-time, and she remains eligible for KTAP without using the earned income exclusion. She wants to save the exclusion for future employment.

Sally later starts a second job, which is full-time, at Walmart. She elects to use the 6-month earned income exclusion for this new Walmart employment thus, both earned incomes will now be excluded for Sally for the 6-month timeframe.

- C. This exclusion does NOT apply to new applications with income from employment or new members added with earnings.
- D. The 6 months of earned income exclusion are consecutive, not cumulative and are tracked on the KTAP Timeclock.
1. If the individual quits for any reason (including accepting a better job) or is fired from his/her job after at least one month of the exclusion has elapsed, this still counts as one instance of using the 6-month exclusion and any

earnings during the original timeframe will be excluded without starting a new exclusion instance.

2. Once applied, the exclusion will cover **all earned income** (including self-employment) the individual has for the 6-month period, including earnings that were reported prior to the exclusion being allowed.

Example 1: Pam works at Kroger at application in April. She is not eligible for the exclusion. In June, Pam timely reports and verifies a second job at Amazon and chooses to use the exclusion. All of Pam's earned income from both jobs is excluded from July through December.

Example 2: Stacy is approved for KTAP in April while employed at Smith Co. She is not eligible for the income exclusion. Her job at Smith Co. ends.

In June, Stacy reports and verifies timely that she has started working at Jones Co. Stacy is now eligible for the 6-month income exclusion from July through December as she has new employment.

3. If the original job to which the exclusion was applied ends, and the individual reports new employment, the exclusion will still apply for the remainder of the original 6-month period.

Example: Jim starts a job at Menard's in July and chooses to use the 6-month earned income exclusion, which is applied from August through January. Jim quits that job and starts another job at Lowe's in October. This earned income is excluded until January (the end of the original 6-month exclusion period). A new instance is not started for the new job because it was reported within the original exclusion period.

4. If an individual applies the 6-month earned income exclusion to a job and starts an additional job, the income from both jobs will be excluded through the end of the 6-month period.

Example: Mason has new employment at TSC in June and uses the 6-month earned income exclusion from July through December. In July, he starts a 2nd job at Joe's Landscaping. The income from both jobs are excluded until the end of the original 6-month period, December.

5. If an individual reports an increase in hours or wages on an existing job record, the exclusion may be applied. If the first exclusion was used when a job is initially reported and then an increase in hours or wages is reported after the first instance is finished, a new question "Does the individual want to use the second 6 month exclusion?" is enabled to allow the second exclusion on the same job record.

Example 1: Jack is approved for KTAP in May and is not employed. In July, Jack starts employment as an assembly line worker with Ace

Manufacturing. The 6-month earned income exclusion is allowed from August through January.

In September, Jack is promoted to supervisor. The existing exclusion continues through the end of the 6th month, January, and is considered as being used once.

Example 2: Laura is actively receiving KTAP. In August, she timely reports and verifies she has started working at the library. Laura chooses to use the 6-month exclusion, which is applied from September through February. After her exclusion ends, she remains eligible for KTAP. In April, she receives an increase in hours and requests to use her second earned income exclusion instance. Since this is the same job in which she used her first exclusion, the new exclusion will be enabled when the increase in income is entered to allow the second earned income exclusion.

6. The KTAP Time Clock may contain gaps in the excluded months when an individual ends one job and starts another job within the 6-month timeframe. Only months where income was actually excluded will be displayed.

Example: Marty has KTAP and is not working. Marty starts work at CVS in June and chooses to use the 6-month earned income exclusion, from July through December. In July, Marty quits at CVS. In September, he gets another job at Amazon. His Amazon income is automatically excluded through December and is considered one instance of the 6-month earned income exclusion. The KTAP Time Clock will show the exclusion for July, October, November, and December as one instance.

- [E. Employment must be reported timely (has to be reported 10 days from the hire date) and must be verified timely (within 10 days of the report) in order to receive the 6-month earned income exclusion. If the 10th day falls on a weekend or holiday, the information may be considered timely if the report is received on the next workday or the verification is provided on the next workday.

Example 1: Amy is hired at Arby's on 10/23/25. She has until 11/3/25 to report timely since the 10th day falls on the weekend and Monday is the next workday.

Example 2: Juan reports timely that he got a job. An RFI is sent requesting verification of wages and hours to be returned on 11/27/25. As the 27th and 28th are holidays and the weekend follows, the next workday would be 12/1/25. If the verification is returned on 12/1/25, it would be considered timely.

- F. When the individual chooses to apply the exclusion, 6 full months of earnings from all jobs are excluded regardless of the amount of income, number of hours, or the type of employment. If the individual fails to verify the income, discontinue the KTAP case for failure to return verification. This does NOT count

as an instance of the 6-month earned income exclusion as the income is not verified or added to the KTAP case.

It is the responsibility of the case manager to ensure the individual meets the eligibility requirement of the 6-month earned income exclusion.

If the individual provides all the needed verification in the 10-day adverse action period, it is considered verified timely and the KTAP case is reinstated with the 6-month earned income exclusion allowed. If reinstatement is not an option, use Add/Reapply and send the case to FSSB to allow the exclusion.

1. Review the KTAP Time Clock to determine if the 6-month exclusion has previously been used. The first countable earned income exclusion will display as “1” on the time clock, and the second instance will display as “2”.
2. When entering the income information, it is important to correctly enter the reported and verified dates. This information is needed to determine if the change in income was reported and verified timely. If timely, the individual has the option to choose the earned income exclusion.

Example: Linda reported a new job timely and an RFI was sent requesting verification of wages and hours to be returned by 12/4/25. The verification was not returned by 12/4 and an adverse action notice was sent on 12/5. Linda returned the verification on 12/9 which was in the 10-day adverse action period. The 6-month exclusion can be allowed.】

- G. When the employment is reported, enter the information on Worker Portal. Do NOT delay entering the employment information for verification of wages.

Enter wages, self-employment, or farm income. If eligible and the individual chooses to use the exclusion, answer “Yes” to the 6-month earned income exclusion question and explain in Case Notes the individual's choice to use the exclusion. Also, specify the job for which the exclusion is being used and the first month for which it is being applied. The system automatically excludes the earned income from the KTAP case for the appropriate months and counts it in the SNAP case accordingly. If the individual chooses not to use the exclusion or is not eligible, answer “No” and document in Case Notes.

Example 1: Sandy began work June 10th at Walmart and reported/verified the employment timely. She chooses to use the 6-month earned income exclusion. If verification is received and entered before June cutoff, the 6-month exclusion begins July and ends December.

Example 2: Suzy began work at Kroger on July 27th and reported/verified the employment timely. She chooses to use the 6-month exclusion. The 6-month exclusion begins September and ends February.

- H. Each active adult member of the KTAP case is eligible for the 6-month earned income exclusion. This includes sanctioned or penalized adult members of the benefit group, if otherwise eligible for the 6-month earned income exclusion. In two-parent cases, each parent is eligible for two instances of the earned income exclusion.

- I. A teen parent (under age 18) is only eligible for the 6-month earned income exclusion from new employment if the teen parent is the head of household in the KTAP case and wages are not excluded due to school attendance. Otherwise, a teen parent or a teen child included in a KTAP case is NOT eligible for the 6-month earned income exclusion. A teen parent, age 18 or 19, is considered an adult and is eligible for the 6-month earned income exclusion if wages are not otherwise excluded due to school attendance. Refer to [MS 2512](#).
- J. If the individual's first instance of the 6-month earned income exclusion has ended and the individual obtains new employment, the individual is eligible to use the second instance of the 6-month earned income exclusion after at least a one-month gap between instances.

Example 1: Patty is receiving KTAP and starts a job at JoAnn's in June and chooses to use the 6-month earned income exclusion. The exclusion is applied from July through December. In January, Patty's employment at JoAnn's ends. In March, Patty gets a new job at Amazon and chooses to use the 6-month earned income exclusion again. Patty can receive the second earned income exclusion as there has been at least a one month break.

Example 2: George is receiving KTAP and starts new employment at Lowe's in May and chooses to use the 6-month earned income exclusion. The exclusion is applied from June through November. In October, He loses his job. At the end of November, he starts working at Home Depot (which is still within the first exclusion instance). He would not be eligible for the second 6-month earned income exclusion as there would not be a one-month break in instances, even though the income would not be countable until January.

Example 3: Josh is receiving KTAP and used his first instance of the 6-month earned income exclusion for a new job at First National Bank from July through December. He remains eligible for KTAP. In March, Josh reports an increase in wages at the bank. He is eligible to use the second instance of the 6-month earned income exclusion on the same employment record because there has been a gap of at least one month.

- K. If the 6-month earned income exclusion is used for the first time for one job and the individual is still eligible for KTAP after the exclusion ends, the 50% earned income deduction is applied. If the individual starts an additional job, the individual may choose the 6-month earned income exclusion for the second time for the new job. If chosen, the 6-month earned income exclusion is applied to all the individual's earned income including the income from the first job. The 50% deduction will end for the first job.

Example 1: Alice is employed at McDonald's and receiving the 6-month earned income exclusion from June through November. In December, Alice is still employed and is receiving the 50% income deduction. In January, Alice gets a 2nd job at Lowe's and she chooses to use the second instance of the 6-month earned income exclusion. The second instance of the 6-month earned income exclusion will apply

to all the earned income, including the first job at McDonald's. The 50% income deduction will stop.

Example 2: Sarah and Joe apply for KTAP in May. Joe is working part-time at Lowe's and is not eligible for the 6-month earned income exclusion. He is eligible for the 50% income deduction May through October. In June, Sarah starts working at Target. She reports and verifies her new employment timely. She is eligible for and chooses to use the 6-month earned income exclusion from July through December. Worker Portal excludes Sarah's income July through December and continues to apply the 50% income deduction for Joe's earnings through October.

*MS 2606 APPLYING FOR ENTITLED BENEFITS (1)

Entitled benefits, also known as statutory benefits, are paid due to law.

A. Entitled benefits include:

1. Social Security Retirement;
2. Survivor's, and Disability Insurance (RSDI);
3. Railroad Retirement;
4. Black Lung;
5. Veteran's pension or compensation;
6. Worker's Compensation;
7. Unemployment Insurance (UI); or
8. Other pensions.

SSI is NOT considered an entitled benefit.

B. All individuals are required to apply for or comply with the requirements to receive entitled benefits if potential entitlement exists.

1. If an individual refuses to apply for entitled benefits, the entire benefit group is ineligible.
2. Individuals who are applying for or receiving KTAP are only required to verify application for or compliance with potential entitlement for other benefits.
3. The KTAP case should NEVER be held pending for a decision of eligibility for other benefits.

C. Entitled benefits are counted as unearned income when determining the total income of the KTAP benefit group.

Volume III - Kentucky Transitional Assistance Program
MS 2610 - R. 3/1/26 - OMTL- 688
Child Support and/or Spousal Support

Child and/or spousal support income is the amount of legally established or voluntary child/spousal support regularly received by the parent/caretaker relative. Voluntary payments are those amounts made by a legal, alleged, or adjudicated parent when there is no court order for support. All child support is designated for a specific child. Any amount of a military allotment designated as child/spousal support is considered as child/spousal support.

When child and/or spousal support is court ordered, consider the court ordered support as non-continuing if terminated by a court order and verify any months of zero receipt.

- A. Individuals receiving KTAP are required to assign all support rights to the Cabinet for Health and Family Services. This includes support for the spouse and for the child. Spousal support is treated the same as child support. This requirement applies only if the child and spouse are living in the same household, and the state is collecting support ordered for the child. The child support and spousal support may be in two separate orders.
 - 1. [Advise the individual during the initial interview to forward all support he/she receives to the Department of Child Support Services (DCSS) by form PA-124.1, Transmittal of Child or Spousal Support, within 10 days of receipt, following receipt of the notice of KTAP approval.
 - 2. If the individual is not currently receiving support, explain during the initial interview to forward all support received in the future to DCSS.]
- B. At application, enter child support gross income received during the month. If the KTAP benefit group is below the gross income limit, Worker Portal will disregard the child support income when determining the benefit amount the family is eligible to receive.
- C. For recertification and case changes, when recomputing the KTAP benefit amount, enter any regular child support payments received by the individual in the prior 3 months in determining the family's gross income. Compare the gross income to the gross income amount for the family's size.
- D. [If the parent, who is the only member of the KTAP case due to the only eligible child receiving SSI, receives child support for that child, the child support is not forwarded to DCSS and is not considered in the KTAP budget. It is excluded income as the support is for the SSI child.

If the parent of the SSI child receives spousal support, the spousal support is not forwarded to DCSS. The spousal support is considered in the KTAP budget as a contribution. See [MS 2615.](#)]
- E. Escrow child support payments are not considered in the KTAP budget.

MS 2615

CONTRIBUTIONS

(1)

Contributions are cash received from any source, which is anticipated to recur, including:

- A. Money from a parent involuntarily absent from the home;
- B. [Child support received by or for a child who is a minor parent in a KTAP case;]
- C. Spousal support received by a parent who is the only member of the KTAP case due to the only eligible child receiving SSI;
- D. Any amount of a military allotment NOT designated by the noncustodial parent as child/spousal support;
- E. Any money received from a stepparent or a spouse of a caretaker relative included in the case who is absent due to military service; and
- F. Loans not documented by form PAFS-73, Verification of Contributions-Loans-Roomer/Boarder Payments, or other appropriate verification.

Average the amounts received in the prior 3 calendar months to determine the best estimate of the amount of contribution income to be counted monthly.

MS 2618

CASH GIFTS

(1)

Small nonrecurring cash gifts of \$30 or less, but not totaling more than \$30 may be excluded per month for each member of the assistance group.

Small nonrecurring cash gifts may include cash gifts for Christmas, birthdays, and graduations.

[When a KTAP recipient reports receipt of a cash gift, take the following action.]

- A. Determine the amount of the gift.
- B. If the amount of the gift exceeds \$30, the entire amount is considered as unearned income in the month of receipt.
- C. If the total amount of the gift and previous cash gifts received in the month for the individual exceeds \$30, consider the excess as unearned income in the month of receipt. Establish a claim, if appropriate.
- D. If the amount of the gift does not exceed \$30 and other cash gifts received by that individual in the month do not exceed \$30, exclude an amount not to exceed \$30 for the month.

MS 2625 TEST BUDGET INCOME (1)

When a stepparent or the spouse of a caretaker relative requesting aid, or parent of a minor parent is living in the home, his/her income is considered in determining the eligibility for the KTAP case.

EXCEPTION: If a stepparent or spouse of a caretaker relative requesting aid is absent due to active duty in a uniformed service, his/her income is NOT considered. However, if the stepparent or spouse of a caretaker relative gives money to the KTAP family, this is considered a contribution.

Income is first applied to the needs of the individual and his/her dependents. Do NOT include the minor parent, who is included in the KTAP case, as a dependent. However, if the minor parent is not included in the KTAP case, the minor parent can be included in the test budget family size. Any surplus is considered available to the KTAP case.

- A. If a minor parent is living in the home with his/her parent, income of the parent or stepparent is deemed to the minor parent. For the purpose of deeming income, a minor parent is considered any person under the age of 18.
- B. For a stepparent, exclude any income received prior to the date of marriage or, if common law marriage, the date the relationship was established. Do not consider a sanctioned individual in the stepparent family size.
 1. When a minor parent lives with a stepparent, the surplus of the stepparent's income is considered available to the KTAP case.
 2. When a minor parent lives with a parent AND a stepparent and both have income:
 - a. Determine the stepparent's surplus available to the parent;
 - b. Consider the stepparent surplus as income to the parent;
 - c. Consider the surplus from the parent available to the KTAP case of the minor parent.
 3. If only the stepparent or parent has income, determine the surplus by counting everyone, except members of the minor parent's KTAP benefit group, in the family size. Consider the surplus as available to the KTAP case of the minor parent.

If the stepparent, spouse of a caretaker relative included in the case, parent of a minor parent, or spouse of a dependent child REFUSES to provide income verification, deny, or discontinue the case.

- C. Consider a nonrecurring lump sum amount as income only in the month of receipt when received by the stepparent, parent of a minor parent, or spouse of a dependent child. Consider any amount remaining in subsequent months

as a resource to the stepparent or parent only. Resources of the stepparent or parent are not used to determine eligibility of the minor parent or KTAP benefit group. For allowable deductions see [MS 2630](#).

- D. Consider the gross income of the stepparent, spouse of a caretaker relative requesting aid, or parent of a minor parent and reduce by the following. For a step-parent, or spouse of a caretaker relative included in the case the following amounts must have been paid on or after date of marriage.
1. **[The work expense standard deduction of up to \$175 for full-time and part-time employment. If the earnings are less than \$175, the amount of the earnings is the amount deducted as the work expense standard];**
 2. Child support or alimony payments actually made to persons not in the home. This amount does not have to be court ordered and may include medical bills or medical insurance;
 3. Actual amount paid to an individual not in the home, other than children or an ex-spouse, who is or could be claimed by the stepparent, parent of a minor parent, or spouse of a dependent child as a dependent for federal income tax purposes; and
 4. KTAP Standard of Need for the family size of the stepparent, spouse of a caretaker relative included in the case, and/or parent of a minor parent.
 - a. If both the stepparent and the parent of a minor parent have income, complete two test budgets. The family size on each parent's test budget would include the stepparent or parent plus his/her dependents living in the home and not in the minor parent's KTAP case, who are or could be claimed for federal income tax purposes. If only the stepparent or parent has income, complete one test budget counting both parents plus all dependents living in the home not included in the minor parent's KTAP case.
 - b. DO NOT include a sanctioned individual in the family size.
 - c. An SSI recipient is included in the stepparent family size, although his/her income is not counted.

For self-employment income, refer to [MS 2770](#) and [MS 2773](#) to determine the profit or net income. After reducing the income of the stepparent, spouse of a caretaker relative requesting aid, or parent of a minor parent, apply any surplus to the KTAP case.

MS 2630 NONRECURRING LUMP SUM INCOME (1)

A nonrecurring lump sum is income that does not occur on a regular basis and does not represent accumulated monthly income received in a single sum. Examples of nonrecurring lump sum income include but are not limited to severance payments, money received from insurance settlements, gifts, inheritances, lottery winnings, noncontinuing proceeds from bankruptcy proceedings.

A. The following payments are not considered lump sum income:

1. [Back payments of accumulated monthly income from RSDI, UI, Worker's Compensation, child support, etc. Consider back payments from these sources as income in the month of receipt and any remaining amount as a resource in the following months;
2. A Federal or State Income Tax Refund;
3. If the lump sum is from accumulated annual leave, it is considered continuing earned income in the month received;
4. Income from the sale of property, including initial or down payment from a land contract sale. Refer to [MS 2640](#) for additional information; and]
5. A lump sum COLA payments received as a result of an error in calculations by the Social Security Administration is excluded from consideration.

B. Income is considered available both when actually available and when the individual has a legal interest in a nonrecurring lump sum and has the legal ability to make such sum available for support and maintenance.

Example 1: A KTAP individual is involved in an accident and receives a \$5,000 settlement. The individual tells her attorney she wants \$2,500 set up in a trust and the rest to purchase certificates of deposits. In this example, the individual has control over the settlement and therefore a legal interest and ability to make the money available for maintenance. This lump sum would be countable.

Example 2: An individual receives KTAP for her child who received a \$5,000 insurance settlement. A court orders that \$5,000 be set up in a trust for the child until she reaches her 18th birthday. In this example, the individual has no control of the money and no legal interest. This lump sum would be excluded until the child's 18th birthday.

C. If a child included in the KTAP family group receives the nonrecurring lump sum income, the income is available to the KTAP case, even if the child is excluded from the case AFTER receiving the money. If the child is removed from the KTAP case, and the effective date of the removal is BEFORE the nonrecurring lump sum income was received, the income is not available to the case.

- D. Determine if any of the lump sum is earmarked and used for the purposes for which it is paid (e.g., money paid for back medical bills resulting from accidents or injury, funeral and burial costs, replacement or repair of lost or damaged resources, designated attorney fees).

Verify how the money is spent by receipts, court or insurance records, bills, etc.

- E. If the nonrecurring lump sum is for KTAP and non KTAP individuals, prorate the amount between the individuals covered and count the prorated share of the KTAP individuals as a nonrecurring lump sum amount in the KTAP case.
- F. Consider the nonrecurring lump sum, minus any amount verified as earmarked and used for the purpose for which it was paid, as income in the month received to determine eligibility.
1. Compute countable income without including the nonrecurring lump sum amount.
 2. Add the nonrecurring lump sum amount to countable income to obtain total countable income.
 - a. When the total is less than the Standard of Need and gross income exceeds the Gross Income Scale only because of the nonrecurring lump sum, the case is ineligible for one month only.
 - b. When the total exceeds the Standard of Need, determine the ineligibility period.
- G. If ineligible, the case is discontinued and an ineligibility period is determined, unless the lump sum was received by a stepparent or caretaker relative who is not included in the case.

If a caretaker relative is included in the case and reports receipt of a lump sum and:

1. The report is timely, the caretaker relative may choose to be removed from the case.
 - a. If he/she chooses to be removed, recoup the entire KTAP benefit amount for the months he/she was included in the case. Begin with the month of receipt of the lump sum and end with the month he/she is removed from the case. Do not establish an ineligibility period.
 - b. If he/she chooses to remain in the case, establish an ineligibility period if appropriate; or
2. [The report is untimely, the caretaker relative does not have an option to be removed from the case. Establish an ineligibility period if appropriate.]
3. If the stepparent, spouse of a caretaker relative included in the case, parent of a minor parent, or spouse of a dependent child receives the

nonrecurring lump sum amount, determine the net amount countable as surplus income in the month of receipt.

Deduct back payments actually made from the nonrecurring lump sum amount:

- a. For support or alimony payments to individuals not in the home;
and/or
- b. To individuals out of the home who are or could be claimed as dependents for tax purposes;
 - 1) Deduct the Standard of Need for the stepparent OR parent of a minor parent family size only if not deducted from earned and other unearned income.
 - 2) The remainder is the net nonrecurring lump sum which is added to surplus income of the stepparent OR parent of a minor parent in the month of receipt.

MS 2635

INCOME SUPPLEMENTATION

Income supplementation is money received by the individual from the Office of Vocational Rehabilitation, an income protection plan or hospital confinement policy, etc.

Consider regular monthly income supplementation in determining initial and ongoing eligibility.

- [A.] If the income received monthly is stable, use the monthly amount of income.
- [B.] If the income received monthly fluctuates, average the amounts received in the 3 prior calendar months to determine the best estimate of the monthly income.

MS 2640 PROMISSORY NOTE/MORTGAGE/LAND CONTRACT SALE (1)

Promissory notes, mortgages, and land contracts are considered saleable unless specifically prohibited in the agreement. Verify the amount using the contract or written agreement.

[A. If the following are nonnegotiable/not saleable, continuing payments are considered unearned income to the holder:

1. Promissory notes;
2. Mortgages; and
3. Land contracts.]

B. Both principal and interest parts of the continuing payments on promissory notes, mortgages and land contracts are unearned income, subject to the following deductions:

1. Payments on mortgages, including interest; and
2. Actual payments for insurance and taxes.

MS 2650 OTHER UNEARNED INCOME (1)

Other sources of unearned income may be miner's benefits, pensions, insurance, annuities, oil leases, mineral rights, spousal maintenance due to one member of a couple being in a long term care (LTC) facility, etc.

Payment received when an employee's retirement contributions are withdrawn prior to retirement is considered a resource, not income. The retirement contribution was considered as income in the month earned and withheld by the employer. Therefore, when it is withdrawn, it is not counted as income again.

[Interest/dividend income is only considered unearned income if it is derived from a corporate business such as an "S" corporation. All other interest/dividend income is excluded.]

Gift cards may be considered income. To determine how to consider gift cards, evaluate the ways the gift card can be used. A general use gift card (e.g., VISA, Wal-Mart, Target), can be used to purchase a variety of items (food, clothing, gas, other miscellaneous items); therefore, the amount of the gift card is considered as income in the KTAP case. A specific use gift card, such as those issued by a restaurant, salon, clothing store or gas station, is limited in use and would not be considered as income in the KTAP case.

Determine the monthly amount of income to be considered in the case as follows.

- A. If the income is received on a MONTHLY basis and:
 - 1. The income is stable, use the monthly amount of income.
 - 2. The income fluctuates, average the amounts received in the 3 prior calendar months to determine the best estimate of the monthly amount.
- B. If the income is received MORE frequently (e.g., weekly, bi-weekly, semi-monthly), use the amounts received in the 3 prior calendar months, average, and multiple the average by $4 \frac{1}{3}$, $2 \frac{1}{6}$ or 2, whichever is appropriate, to determine the best estimate of the monthly amount of income.
- C. If the income is received LESS frequently (e.g., quarterly), prorate over the period intended to cover. Consider the prorated amount as the best estimate of the monthly amount.

MS 2700

INTRODUCTION TO EARNED INCOME

[Earned income is money derived from direct involvement in a work related activity.

- A. Consider sick pay received as earned income if the person is still considered an employee by the employer and the sick pay is received for time off, such as a short term illness. However, sick pay from an outside source, such as an insurance company, is considered unearned income whether or not the recipient is still considered an employee by the employer.
- B. Enter the paychecks that are representative of ongoing income as regular earned income on the Earned Income Details screen.
- C. The monthly countable income using the information entered on the Earned Income Details screen.
- D. To change or remove wages, enter the new information on Worker Portal through Report a Change.]

MS 2710

WAGES

(1)

Wages consist of salaries received from full-time or part-time employment where taxes are withheld prior to the individual receiving pay. Odd jobs, occasional, seasonal or contract employment are included when taxes are withheld prior to receipt of the income. Exclude from wages reimbursement for transportation in performance of duties, if identifiable.

A. Wages can be either subsidized or unsubsidized. Some examples of subsidized wages are:

1. Work study;
2. Wage subsidy;
3. Ready-to-Work; and
4. Work and Learn.

When entering the subsidized wages on the Earned Income Details screen, answer the question, "Is this income subsidized", as "Yes".

B. Accumulated annual leave is considered as wages in the month the money is received with appropriate deductions allowed. If income is received as back payment from employment or severance pay, see [MS 2630](#).

C. DO NOT deduct garnishments on salary.

D. Consider in the following manner:

1. To determine the estimated monthly income, verify and use income from all pay periods in the last two calendar months. If the last two calendar months do not represent the ongoing situation (e.g., sick leave, holiday plant closing, etc.), use information available which best indicates the KTAP benefit group's ongoing income.
2. If the income in the prior two months is NOT representative of the ongoing situation due to a change of circumstances which occurred or will occur, calculate the best estimate of the monthly income in the following manner:
 - a. If the change in circumstances results in change in the number of hours to be worked, multiply the number of estimated hours per pay period, using employer's statement, by the current pay rate for the period and convert.
 - b. If the change in circumstances results in a change in the pay rate, multiply the number of hours worked per pay period in the prior two months by the new pay rate. Divide the result by the number of pay periods in the prior two months and convert.

3. If the income has recently begun or the recipient changed jobs and the recipient has not received two calendar months of income, anticipate the monthly income by computing an amount based on:
 - a. The hourly rate multiplied by the estimated number of hours to be worked during the pay period and convert; or
 - b. The daily rate multiplied by the number of days to be worked in the pay period and convert.
4. If the individual reports that the income is ending:
 - a. Determine the last date the individual will receive the income.
 - b. Recalculate the case based on the income amount to be received and authorize a supplemental payment, as appropriate. Refer to [MS 2180](#).

EXAMPLE: Sally reported in November that her job is ending 11/29 and that she will receive one pay check in December. If the report is received before the November cutoff, adjust the December KTAP payment counting only the one paycheck anticipated for the December payment month and then remove the income for January.

If the report is received after the November cutoff, remove the income effective January and issue a supplement for December based on the actual amount of the paycheck received in December.

- E. Document the reason less than the last two calendar months of income was used in the calculation, method of verification, and how the monthly amount was calculated. If the estimated income DOES NOT accurately reflect the anticipated ongoing circumstances, review the case and recalculate the income utilizing verified income. However, if the estimated income accurately reflects the anticipated ongoing circumstances, recalculate the best estimate at recertification.

MS 2715

TIPS

(1)

[Countable tip income is money actually received in addition to wages for services performed by the employee. Countable tip income does not include the allocated or tip credit reported by the employer for tax purposes which may appear on the paycheck stub or through Electronic Income Verification (EIV).

- A. Verify tips by using the individual's daily tip log of actual tips received. A tip log is any daily record kept by the individual of tips received. Entries on the log must show date of receipt and amount. DO NOT use the allocated tip or tip credit amount shown on the paycheck stub or through EIV.]

For applications or new tip income when a daily tip log is not available, use the individual's statement of anticipated tips.

When tip income is reported, advise the individual of his/her responsibility of maintaining a daily tip log for verification purposes.

- B. Consider the tips in the following manner.

To best estimate the monthly amount of tips, use the same time period used in determining the monthly amount of wages (e.g., if the best estimate of income is determined by using the prior 2 calendar months' wages, then use the prior 2 calendar months' amount of tips shown on the daily tip log). Convert the daily tips to weekly, bi-weekly, semi-monthly, etc.

Example: Joni works at Jerry's Cafe and is paid each Friday. A daily tip log is kept by Joni.

For September, the pay periods ended 9/3, 9/10, 9/17 and 9/24. Add the tips for each day in the pay period to obtain the weekly amount: 8/30 - \$6.00; 8/31 - \$6.55; 9/1 - \$9.75; 9/2 - \$9.10; 9/3 - \$10.50. Added together, they equal \$41.90 (round to \$42.00) for the 9/3 pay period. Average the tips for this weekly pay period and the other weekly pay periods and convert to a monthly amount.

- C. If the tips are in conjunction with self employment, the tip income must be added to the self-employment income when calculating the hours of Kentucky Works participation.

MS 2730

CONTRACT EMPLOYMENT

Contract employment is income from jobs in which there is a contract/payment agreement, e.g., school teachers, bus drivers, house painters, etc.

Consider income from contract employment in the following manner.

- A. When the individual has a contract/payment agreement, compute gross monthly wages by dividing the contracted/agreed upon amount by 12, and round to the nearest dollar, unless the contract/payment agreement states income will be paid for fewer months.

1. If the contract/payment agreement states the income will be received in fewer than 12 months, divide the contracted agreed upon amount by the number of months in the contract/payment agreement and round to the nearest dollar.
2. If the contract/payment agreement states the income will be received monthly for 12 months and the individual requests the remainder of the pay in a lump sum prior to the end of the 12-month period, continue using the annualized figure for the remainder of the 12-month period.

Example: An individual receives Michelle P. Waiver income; he is budgeted to receive \$30,000 for a 12-month period. The individual has the option to receive a higher hourly wage and be paid for only 9 months out of the 12-month budget. The income would continue to be averaged over the 12-month period.

3. DO NOT re-compute based on monthly fluctuations in income. However, reported losses in income due to unpaid sick leave or snow days that are not made up and that lasted 30 days or more, are taken into account by reducing the annualized monthly income over the remaining months of the contract by the reported income loss due to unpaid leave.

Example: \$2400 was the original contract amount and the monthly income was \$200. \$200 was lost due to sick leave which lasted 34 days. There are 5 months left on the contract. Reduce the \$1000 ($\200×5) by \$200, leaving \$800. Divide \$800 by the remaining months, 5. \$160 is counted per month for the remainder of the contract.

- B. If contract employment is self-employment, consider as self-employment income (e.g., contract to paint house, install roof, etc.).
- [C. Worker Portal prorates contract income. On the Earned Income screen, enter the total amount of the contract income in the Contract Wage field. Enter the length of the contract in the "Contract Start Date" and "Contract End Date" fields. Income will be removed at the end of the contract period.]

MS 2770

SELF EMPLOYMENT INCOME

(1)

Self-employment income is income for which taxes are NOT withheld BEFORE the individual is paid. Self-employment income can be derived from farming, owning a business, rental property, roomer/boarders, babysitting, house cleaning, working for cash, etc.

If taxes are withheld before the individual is paid, the income is not self-employment; it is considered wages.

A. Self-employment can be:

1. Ongoing self-employment where the individual intends to work at the self-employment month after month;
2. Occasional self-employment that includes seasonal, temporary, sporadic or odd job income. Temporary or sporadic employment can include lawn mowing, house cleaning, babysitting, selling scrap metal, selling plasma, etc., which is not continuous in nature; or
3. Farming.

B. Verify by:

1. Quarterly estimated tax returns, if filed;
2. Most recent annual income tax return if quarterly return is not filed; or
3. [Personal records kept by the individual if self-employment income is new or the individual does not file a tax return. Personal records can be in the form of a written statement/hard copy earnings statement or can be any type of electronic record of earnings.]

C. Consider profit or net income from self-employment. To determine profit, deduct actual work expenses directly related to producing the goods or services from the gross self-employment income.

D. Farm or rental self-employment income may be either unearned or earned.

1. Earned:

- a. Farm income is earned self-employment income if the individual is physically working on or managing the farm.

Earnings deductions are allowed. Consider profit as income in the KTAP case. If the farming is done in part by a household member not included in the benefit group, deduct his/her prorated share from the profit.

- b. Rental income is earned self-employment if the individual personally collects the rent, authorizes, supervises, or does repairs,

manages the property, is responsible for renting property, or performs other services in relation to the rental property. Consider profit from rental property currently owned or being purchased by the individual.

2. Unearned:

- a. Profit from farm income is unearned income if there is no direct involvement in farming activities. In cases of divided ownership, divide total profit (net income) between the owners, unless by mutual consent the entire proceeds are available to the individual. If the Social Security Administration considers all farm income as available to the SSI parent, the income is not counted in the KTAP case.
- b. Profit from rental income is unearned if all activity is performed by someone other than the individual included in the KTAP benefit group.

E. The sale of plasma is earned self-employment income.

F. Computing Monthly Income:

1. When using the annual income tax return, if one is filed and representative of the current situation, or the individual's business records for the last 12 months:
 - a. Round the gross income to the nearest dollar.
 - b. Divide the rounded gross income by 12 and round to the nearest dollar to obtain the monthly gross income amount.
 - c. Round the allowable expenses to the nearest dollar.
 - d. Divide the rounded allowable expenses by 12 and round to the nearest dollar to obtain the monthly allowable expenses.
 - e. Subtract the rounded monthly allowable expenses from the rounded monthly gross income to obtain the monthly profit.
2. When ongoing nonfarm self-employment income has been in operation for less than 12 months:
 - a. Round the gross income for the number of months the activity has been in operation to the nearest dollar.
 - b. Divide the rounded gross income by the number of months of operation and round to the nearest dollar to obtain the monthly gross income amount.
 - c. Round the allowable expenses for the number of months of operation and round to the nearest dollar.

- d. Divide the rounded allowable expenses by the number of months of operation and round to the nearest dollar to obtain the monthly allowable expenses.
 - e. Subtract the rounded monthly allowable expenses from the rounded monthly gross income to obtain the monthly profit.
 - f. If the self-employment has not been in existence long enough to receive income, the individual must provide an estimate of anticipated gross income and expenses.
- 3. If this is a new farm or farming activity:
 - a. [If the farm or farming activity has been in existence for less than a year and the individual has received income from the farm or farming activity, prorate the income over the period-of-time the farm or farming activity has been in operation. Use the monthly amount as the anticipated income for the next year.]
 - b. If the farm or farming activity has not been in existence long enough to receive income, consider no income.
- 4. For occasional or seasonal self-employment:
 - a. Round the gross income for the 3 previous months to the nearest dollar.
 - b. Divide the rounded gross income by 3 and round to the nearest dollar to obtain the monthly gross income amount.
 - c. Round the allowable expenses for the 3 previous months to the nearest dollar.
 - d. Divide the rounded allowable expenses by 3 and round to the nearest dollar to obtain the monthly allowable expenses.
 - e. Subtract the rounded monthly allowable expenses from the rounded monthly gross income to obtain the monthly profit.
- 5. If income from self-employment fluctuates, use the averaged amount based on tax return.
- 6. If self-employment income changes from one type to another, the prior tax return is no longer used.
- 7. The self-employment income is recalculated at:
 - a. 6-month intervals if the activity has been in operation for 12 months or more;
 - b. The next KTAP or SNAP recertification or 6-month interval, whichever comes first, if the activity has been in operation for less than 12 months; or

- c. If the farming arrangement has changed, e.g., had grown corn, then switched to soy beans, do not consider the income of the past year.
- 8. When an individual reports he/she is no longer self-employed or farming, the income is removed.
- G. Weekly hours are entered on Worker Portal for self-employment. When computing self-employment hours to be considered for the federal participation rate, the system uses the following formula:

$$\text{Monthly hours} = \frac{\text{gross income} - \text{expenses}}{\text{federal minimum wage}}$$

The appropriate weekly hours to be entered are determined by taking the total monthly hours and dividing by 4.33. For more information concerning how hours of self-employment are considered in the participation rate, refer to Volume IIIA, MS 4250.

MS 2773

SELF-EMPLOYMENT INCOME DEDUCTIONS

[When calculating self-employment income, certain cost of doing business deductions can be allowed. Enter the actual expense amounts on Worker Portal Self-Employment Verification screen. Do not round the amounts. The screen consists of relevant fields found on IRS Schedule C 1040 form. The system determines expenses to be used.

- A. The following items are deducted from gross income to determine profit]:
1. Wages paid to employees;
 2. Rent when the enterprise is operated at a site other than where the individual lives;
 3. Interest on a mortgage and taxes, when the enterprise is operated at a site other than the home;
 4. Interest payments on the purchase of capital assets, equipment, etc.;
 5. Cost of stock offered for resale;
 6. Cost of supplies, including seed, feed, fertilizer, crop insurance, utilities required to carry on the enterprise;
 7. Travel expenses directly attributable to the operation of the business enterprise, a mileage deduction equivalent to the federal mileage rate if the person uses his/her own private vehicle, but not for transportation to get to the place of the self-employment. The federal mileage rates can be found at www.irs.gov. (Select "Forms and Publications" and select "Form 1040-instructions".);
 8. [Repair or maintenance of equipment and property used in business. Deductions for repairs to the home are not allowed; and]
 9. Other non-personal items directly related to producing the goods or services, e.g., fuel to operate equipment.
- B. [The following deductions are not used when determining profit:]
1. Personal work or business expenses, taxes, FICA, lunches, etc.;
 2. Amounts claimed for depreciation;
 3. Prior or current losses;
 4. Purchase of capital equipment;
 5. Payments on principal for the purchase of property, durable goods, capital assets, equipment, etc.;

6. Entertainment expenses;
7. Personal transportation;
8. Salary or commission paid to the individual by the self-employment business; and
9. Rent, when self-employment business is based in the individual's residence.

MS 2776 RENTAL/ROOMER/BOARDER INCOME (1)

Rental/roomer/boarder income is received from renting a home, a portion of a home, or providing food only to an individual.

- A. For rent from nonhome property, even from houses which are an excluded resource, deduct the following from gross income to determine profit if identifiable:
1. Property taxes;
 2. Interest on mortgages;
 3. House or building insurance (liability);
 4. Advertising; and
 5. Other valid expenses such as repairs.
- B. For rent from renting or sub renting a portion of the home, (or place of residence) determine deductions as follows:
1. Divide the square footage of the room or portion of the home being rented by the square footage of the home to obtain the rented percentage. The individual's statement is acceptable verification of square footage. For example, square footage of rented room = 500; square footage of home = 1500; 500 divided by 1500 = 1/3 or 33 1/3% (rented percentage).
 2. Annualize cost of the home's utilities, home insurance, property taxes, interest on mortgage, and (if appropriate) rent paid for home, if any. Divide by 12 to obtain the monthly expense. Multiply the monthly expense by the rented percentage to obtain the sub rental deductions. For example:

Interest on mortgage	\$1,200
Utilities	800
Home Insurance	300
Property Taxes	+100
	\$2,400 divided by 12=\$200 monthly costs
\$200 x 33 1/3% = \$66.67 monthly sub rental deductions	

- C. Roomer only, determine sub rental deduction as in item "B" of this section.
- [D. Boarder only, deduct an amount equal to the Supplemental Nutrition Assistance Program (SNAP) allotment for the number of boarders.

EXAMPLE: There are 3 boarders. The deduction equals the SNAP allotment of a 3 person household.]

E. Roomer/boarder:

1. Food Deductions:

- [a. Deduct an amount equal to SNAP allotment.
- b. If roomer/boarder is a member of the SNAP case, do not allow food deduction.]

2. Sub rental Deduction:

- a. Compute sub rental deduction as in item "B" of this section.
- [b. DO NOT compute the sub rental deduction if the roomer/boarder payment is the same as, or less than, the SNAP allotment.]

MS 2800 COMPUTATION OF COUNTABLE INCOME (1)

KTAP eligibility and the benefit amount are determined prospectively. A best estimate of income is used to anticipate the amount of income to be received by the KTAP assistance group in the payment month.

- [A. The best estimate is based on the agency's knowledge of past and current circumstances and accurately reflects the anticipated ongoing circumstances. Determination of the best estimate is dependent on the type of income (e.g., wages, self-employment, contributions, etc.).

The actual verified income is entered in Worker Portal and the system calculates the countable monthly income. Do not round income amounts before entering.

In general, the system will calculate the actual income for a specified time period and will average and/or convert by $4 \frac{1}{3}$, $2 \frac{1}{6}$, 2 or 1, as appropriate, based on the type of income. For procedures specific to the types of income, refer to [MS 2600-2650](#) and [MS 2700-2776](#).]

- B. The best estimate of earned income must be re-determined at recertification or every 6 months whichever comes first, or if there is a change in circumstances that will affect the ongoing KTAP benefits. For unearned income, the best estimate must be re-determined at renewal or if there is a change in circumstances that will affect the KTAP benefits.
1. A change in circumstances requires a re-computation of the best estimate. A change in circumstances is defined as a change in income and/or dependent care expenses which affect the ongoing KTAP payment. This includes:
 - a. Beginning or ending employment;
 - b. Change in employers or obtaining additional employment;
 - c. Increase or decrease in the number of work hours;
 - d. Increase or decrease in the rate of pay;
 - e. Increase or decrease in the dependent care expense due to a change in provider, number of hours of care, number of individuals for whom care is given, or amount charged; or
 - [f. Change in the type of self-employment activities or changes in the crop or livestock for farmers.]
 2. Normal fluctuations in the income amounts are not considered as a change in circumstances and do not require a re-computation of the best estimate. Normal fluctuations include:
 - a. A change in work hours which will not exceed 30 days;

- b. A 5th or periodic paycheck; or
 - c. Holidays, vacation days or sick leave not to exceed 30 days.
- C. Process the KTAP case in the following manner for an application, recertification, or case change:
 - 1. If the income is representative of the ongoing situation, use the income from all pay periods in the prior 2 calendar months.
Refer to the procedures found in [MS 2500](#) and [MS 2710](#).
 - 2. If the income is NOT representative of the ongoing situation, do the following:
 - a. For individuals recently employed who have not received 2 calendar months of earned income, enter the hourly rate and the estimated number of hours per day or week as indicated on the income verification on Worker Portal. The system determines the countable monthly income based on the entries.
 - b. For cases where the hours of employment or the rate of pay changes and the individual has not received 2 calendar months of earned income at the changed hours or rate, enter the amount of pay for the pay periods verified and indicate if it is representative on Worker Portal. The system determines the countable monthly income based on the entries.

The system will determine the monthly countable income by averaging and/or converting the weekly, bi-weekly, or semi-monthly amounts by $4 \frac{1}{3}$, $2 \frac{1}{6}$ or 2, 1 respectively].

Volume III - Kentucky Transitional Assistance Program
 MS 2810 - R. 3/1/26 - OMTL- 688
 Determination of Income Eligibility

The determination of income eligibility for KTAP is a two-step process.

A. Step One

The gross income test is completed at each application, every recertification, and at case changes which require recomputation of the assistance payment. Compare total gross income to the gross income scale.

1. Gross income is the sum of non-excluded unearned and earned income before deductions. This includes:
 - a. Total unearned income (including surplus income of a stepparent OR parent of a minor parent or spouse of a dependent child. Exclude SSI income);
 - b. Nonrecurring lump sum income;
 - c. [Non-excluded child support collected by the Department of Child Support Services (DCSS), child support forwarded to the individual by DCSS due to an escrow situation, or child support retained by the individual];
 - d. Unearned income of children included in the case (does NOT include earned income of a child in school);
 - e. Wages before deductions;
 - f. Profit from self-employment;
 - g. Income of non SSI technically excluded parents of a KTAP child; and
 - h. Income of a sanctioned/penalized individual.

Consider gross income of non SSI parents in the home even if the parent of a KTAP child is excluded from the benefit. The technically excluded member and the sanctioned individual are not counted in determining the number of eligible persons.

2. The Gross Income Scale is as follows:

1 person	\$ 890
2 persons	\$ 1,021
3 persons	\$ 1,169
4 persons	\$ 1,315
5 persons	\$ 1,462
6 persons	\$ 1,608

7 persons or more	\$ 1,754
-------------------	----------

3. If gross income EXCEEDS the appropriate amount on the Gross Income Scale at application, recertification, or case change, the case is ineligible. If a nonrecurring lump sum amount is included, refer to [MS 2886](#) and [MS 2892](#).

B. Step Two

The Standard of Need is an established dollar amount based on the number of eligible persons included in the KTAP family group. The Standard of Need amount is not the payment amount.

Standard of Need							
Number of Eligible Persons	1	2	3	4	5	6	7 or more
Standard	\$481	\$552	\$631	\$710	\$790	\$869	\$948

If the KTAP family's income is at or below the gross income limit, compare the KTAP family's income to the Standard of Need. If the KTAP family's income, after subtracting excluded income and applicable deductions, is equal to or exceeds the Standard of Need, the KTAP family group is ineligible.

Do not count technically excluded/sanctioned members in determining the number of eligible persons in the KTAP family group.

MS 2820 DETERMINATION OF BENEFIT AMOUNT (1)

The method of calculating the KTAP benefit amount is called "ratable reduction". With ratable reduction, the family's countable income is subtracted from the Standard of Need to arrive at the deficit amount. The "deficit" is multiplied by 55%. The KTAP benefit amount is either the reduced amount or the maximum payment amount, whichever is less. Families with no income receive the appropriate KTAP payment maximum.

NOTE: TANF benefits from another state are not ratably reduced as they are counted dollar for dollar.

The Maximum Payment Scale for each family size is:

Maximum Payment Scale							
Number of Eligible Persons	1	2	3	4	5	6	7 or more
Maximum	[\$242	\$293	\$341	\$426	\$498	\$562	\$627]

MS 2840 EARNED INCOME DEDUCTIONS (1)

[After the gross income test is passed, the following deductions, if appropriate, can be considered: work expense standard, KTAP dependent care, and 50% deduction from the earned income of each individual. The deductions are allowed for each individual, including sanctioned, penalized, or technically excluded individuals.

- A. The work expense standard is deducted from the earnings of each individual, if eligible to receive deductions. Deduct up to \$175 for either full-time or part-time employment including individuals whose income is deemed through a test budget. If the earnings are less than \$175, the amount of the earnings is the amount deducted as the work expense standard.]
- B. KTAP dependent care is a deduction for dependent care paid by the parent, second parent, or caretaker relative and **NOT** through the Child Care Assistance Program (CCAP), to retain employment.

1. To be eligible for the deduction:

- a. The dependent care is paid for a child or an incapacitated adult receiving care, living in the home, AND receiving KTAP benefits; and
- b. The KTAP case would be ineligible without the deduction; or
- c. CCAP will not pay for the dependent care if the provider is living with the KTAP family. CCAP must be used in lieu of a dependent care deduction if the KTAP case remains eligible without the dependent care deduction. Refer to Volume VIII, Child Care Assistance Program (CCAP), additional information.

2. To be allowed as a deduction, the dependent care must meet the following guidelines.

- a. Dependent care for a child 13 years of age or older must be documented as to the reason the care is requested by the individual, any verification supporting the reason, and the worker's decision.
- b. The dependent care can be a deduction if paid to a person living outside the household or a person who is living in the household and NOT:
 - 1) A member of the KTAP benefit group;
 - 2) A parent or legal guardian of the child or incapacitated adult; or
 - 3) A stepparent of the child.
- c. If both parents in a two-parent case are employed, a dependent care deduction may be given for only one parent's income.

- d. If one parent is participating in Kentucky Works while the other parent is employed, dependent care is allowed as a deduction from the employed parent's wages, not to exceed the maximum allowable deduction, unless paid by CCAP.
 - e. A dependent care deduction for a child may not be given for a month for which a CCAP payment is made for the same child.
 - f. A dependent care deduction is NOT given for any co-pay required by CCAP.
3. Verify the child or adult is being cared for by a provider and the actual amount the provider is paid by a statement from the provider.

If the individual fails to provide verification of dependent care expenses, the case is processed without the deduction.

4. Deduct the monthly amount paid for dependent care not to exceed per child:
- a. Age 2 years and over or incapacitated adult:
 - 1) \$150 for part-time employment, defined as less than 30 hours per week or 130 hours per month or the individual is not employed throughout the month; or
 - 2) \$175 for full-time employment, defined as 30 or more hours per week or 130 or more hours per month.
 - b. Under age 2 years, \$200 for full-time or part-time employment.
5. Determine the best estimate of the monthly amount, as follows:
- a. If the dependent care costs and provider has not or is not anticipated to change:
 - 1) Use the amount of the dependent care costs for the prior 2 months for situations where the individual receives wages; or
 - 2) Use the amount of the dependent care costs for 3 months or 12 months for annualized when an income tax return is used, for self-employment income.
 - b. If the dependent care costs in the prior months do not reflect the ongoing costs, estimate the new costs based on the provider's statement.
- C. **[The 50% deduction is time-limited. For detailed information, refer to [MS 2857](#), Time-limited Deductions.]**

MS 2843 EARNED INCOME DEDUCTION RESTRICTIONS AND GOOD CAUSE (1)

Do not allow any deductions from earned income for a month in which any of the following conditions exist:

- A. The income is earned from illegal activities (those prohibited and criminalized under Federal and State law).
- B. Employment is REFUSED, REDUCED, or TERMINATED without good cause within prior 30 days.

Good cause exists only if one of the following conditions is met:

- 1. A definite bona fide offer of employment was NOT made at a minimum wage customary for such work in the community.
- 2. The individual is unable to engage in such employment or training for mental or physical health reasons.
- 3. The individual has no way to get to and from the work site or the site is so far removed from the home that commuting time exceeds 3 hours daily.
- 4. Working conditions at such job or training are a risk to the individual's health or safety.
- 5. The child care arrangement is terminated through no fault of the individual.
- 6. The available child care does not meet the special needs of the child, e.g., physically or mentally disabled child.
- 7. The parent is temporarily absent from work on approved educational leave.
- 8. The individual is needed in the home to care for another household member who is ill or incapacitated, and there is no other household member available to provide the care.

[Only verify good cause if there is reason to doubt the individual's statement. A good cause determination is not required for an individual "fired" from a job. Document on Worker Portal the details of good cause.]

- C. The individual failed to report new or increased earnings without good cause within 10 calendar days of the day the change in circumstances becomes known to the individual. Changes are considered known to the individual at the earliest point the change can be verified.
 - 1. Good cause exists only if one of the following conditions is met within the 10 calendar days:

- a. The KTAP benefit group was the victim of a natural disaster, such as a flood, storm, tornado, earthquake or fire;
 - b. An immediate family member living in the home was institutionalized or died; or
 - c. The responsible relative and, if different, individual who is employed is out of town the entire timely reporting period.
2. If good cause EXISTS, allow the appropriate earnings disregards.
 3. If good cause does NOT EXIST:
 - a. Apply the deduction for the ongoing months.
 - b. DO NOT apply the deductions for the report month or prior months when determining if an overpayment exists.

EXAMPLE: The individual reports on April 15, that her wages increased effective March 1. She had no good cause as she just forgot to report the change. Re-compute the ongoing payment, allowing the appropriate deductions, effective the next administratively feasible month, May. Overpayment discrepancies are automatic in Worker Portal. The system automatically determines if benefits have been overpaid after eligibility is run

If the next administratively feasible month is June, allow the deductions for May.

Only verify good cause if there is reason to doubt the individual's statement.

MS 2857

TIME-LIMITED DEDUCTION

(1)

[A 50% earned income deduction can be allowed for each KTAP individual for earned income that is reported and verified timely. This deduction can be used twice in a lifetime. At the time the new employment is entered on Worker Portal, the system applies the deduction, as appropriate.

- A. A 50% earned income deduction month is any month where \$1 or more income remains after the work expense standard is deducted from the gross income. If no income remains after the work expense standard is deducted, the month is NOT a 50% month. The system auto tracks the deduction and removes it appropriately.
- B. When the individual loses employment, the 6 months of the 50% deduction starts over again, up to twice in a lifetime, when the individual regains employment.
- C. If the individual has received the 50% deduction for the 6-month timeframe, the system will remove the deduction. The deduction will not be allowed again unless the individual obtains new employment, or the case is correctly discontinued and reapproved after a break in KTAP benefits of at least one month. This is only allowed twice in a lifetime.]

MS 2880 DETERMINING A KTAP INELIGIBILITY PERIOD (1)

An ineligibility period is the period of time in which a KTAP benefit group is ineligible due to receipt of nonrecurring lump sum income, causing total countable income to exceed the Standard of Need. Refer to [MS 2630](#). An ineligibility period is calculated for a KTAP family group when a nonrecurring lump sum is received.

A. The ineligibility period is calculated as follows:

1. The total countable income is divided by the Standard of Need for the family size.
2. The result is the number of months the family is ineligible for KTAP benefits.
3. The ineligibility period begins with the month the nonrecurring lump sum was received.
4. Any remainder of the lump sum income is counted in the first month following the ineligibility period if an application is made.

Example: [A mother with her child received a \$20,000 lump sum payment from the lottery in March. \$20,000 is divided by the Standard of Need for the family size of two, \$552. This equals 36.23 months: 36 months of ineligibility and \$128 counted in the 37th month. The ineligibility period begins with March, the month the lottery winnings were received.]

- B. The ineligibility period applies to ALL individuals included in the KTAP family group in the month of ineligibility computation or anyone applying during this month.
- C. An ineligibility period, established in another state, does not affect the individual's receipt of assistance in Kentucky. Ineligibility periods are NOT transferable between states.
- D. Do NOT compute an ineligibility period on:
1. Continuing income only; or
 2. Anticipated income, e.g., the individual reports he/she may receive an insurance settlement. These amounts are only used to compute an ineligibility period if the case is still active in the month the money is received, or a reapplication is made in the month the money is actually received.
- E. When the nonrecurring lump sum income is received by an excluded parent, count the lump sum income in completing the gross income test. If the determination of an ineligibility period is required, increase the family size by one person to obtain the correct Standard of Need for the benefit group.
- F. Document circumstances of the lump sum in Worker Portal comments.

- G. Establish a claim for any months KTAP was received in error due to the receipt of a nonrecurring lump sum.

MS 2892 APPLICATIONS DURING AN INELIGIBILITY PERIOD

- A. [A separate KTAP case is NOT established for an individual who is added to the KTAP household AFTER the month of receipt of the nonrecurring lump sum income, but during the ineligibility period. If an individual, who is required to be included in the KTAP case, joins a KTAP benefit group which is serving an ineligibility period, the ineligibility period is recalculated, including the new individual in the family size. See [MS 2895](#).
- B. For a reapplication during the period of ineligibility, determine if the criteria for determining the ineligible months is still policy. When policy has changed to exclude the criteria used previously, the ineligibility period is recomputed using new policy. If continuing the ineligibility period is inappropriate, determine eligibility based on current case circumstances.]

MS 2895 INELIGIBILITY PERIOD SHORTENED (1)

A. The ineligibility period may be shortened when:

1. Circumstances change which if the case was active would increase the payment AND the Standard of Need;
2. The nonrecurring lump sum income causing the ineligibility period has been spent for necessary medical treatment, medical equipment, or medical transportation costs incurred during the ineligibility period, less any amount reimbursable by a third party, for any individual considered ineligible due to receipt of the lump sum income;
3. Income, which caused the calculation of the ineligibility period, has become unavailable for reasons that were beyond the control of the benefit group; or
4. An individual, who is required to be included in the KTAP EDG, that is serving a KTAP ineligibility period.

B. "Unavailability" and "reasons considered beyond the control" are defined as follows:

1. The definition of "unavailability" is not accessible to the KTAP benefit group for use toward basic food, clothing, shelter, and utilities.
2. The "reasons considered beyond the control" of the family are:
 - a. Loss or theft of the money;
 - b. The individual to whom the lump sum was designated no longer lives in the household, making the lump sum income inaccessible;
 - c. Expenditure of the lump sum income to meet extraordinary expenses, that are not included in the Standard of Need, described as:
 - (1) Payments made for attorney's fees which were associated with the settlement and not specifically designated by the settlement;
 - (2) Unreimbursed funeral or burial expenses for the caretaker relative, the caretaker relative's spouse, any member of the KTAP benefit group, or any sibling, child, parent or grandparent of a KTAP child including travel costs associated with the death;
 - (3) Payments made during the ineligibility period on medical bills incurred prior to the beginning of the ineligibility period which were medically necessary to the health of an assistance group member and not covered by the Kentucky Medicaid Program (KMAP) or other third party;
 - (4) Such necessary expenses as food, shelter, or transportation which are not reimbursable by a third party, and are associated with

overnight travel of more than 35 miles in order to obtain necessary medical treatment because of an accident, illness, or medical condition of an assistance group member;

- (5) Costs for repair or replacement of primary vehicle, clothing, housing, and essential household furnishings, including costs associated with temporary arrangements, that are damaged or destroyed by theft, civil disorder, vandalism, accident, fire, flood, storm, earthquake, or other natural disaster, less the amount of third-party reimbursement. Examples of essential household furnishings are beds, stove, refrigerator, table and chairs;
- (6) That portion of costs not reimbursable by a third party that are necessary to rectify or prevent a serious hazard to the health or economic viability of the assistance group, such as, but not limited to: cost to purchase or otherwise secure minimum adequate housing if present housing does not meet the basic needs of the family, is nonexistent, or cannot be repaired; cost of weatherization or necessary repairs to owner occupied housing; payment of back rent, back mortgage, or back utility bills if under threat of eviction, foreclosure, or cut-off; payment of back due taxes; payment of court judgments that have been entered against the individual, except if the judgment involves the payment of erroneously received benefits from any government programs; cost of repairs to or replacement of inoperable essential appliances; cost of repairs to or replacement of an inoperable or unsafe motor vehicle that is essential for employment, education/training or obtaining medical treatment. Examples of essential appliances are stoves, refrigerators, phones, or if needed due to a medical condition, air conditioners. Economic viability means the ability to produce income necessary to meet basic food, clothing, shelter and utility expenses.

C. To SHORTEN the ineligibility period after the initial number of months have been determined:

1. Obtain third party verification:

- a. Of the amount of the lump sum income that was spent on approved expenses, e.g., receipt or statement from repairman, or store;
- b. That the amounts spent are not reimbursable by a third party or paid by Medicaid, if eligible at that time; and
- c. That the nature of the request that the ineligibility period be shortened meets all the required criteria, e.g., its necessity, health hazard, relationship to the deceased, etc.

Accept the individual's signed statement ONLY if third party verification is unobtainable and there is no reason to doubt the statement. If an individual's statement is used, the case record must be documented as to the efforts made to obtain third party verification.

2. Deduct the allowable amounts from the original amount of the lump sum income.
3. Add the remaining amount to the original total countable income from all sources excluding the lump sum.
4. Divide this new amount by the Total Standard of Need for the family size in the first month of the original ineligibility period. The result of the division is the adjusted number of ineligible months, with any remainder of the income applied to the next month if reapplication is made. The ineligible months begin with the month in which the lump sum was received.

[Example: In March 2023, a KTAP mother and her dependent child win \$10,000 nonrecurring lump sum income in the lottery and receive \$150 other countable income, after the disregards and deductions are applied. The Standard of Need for two is \$552. The family has been living in a shelter after having been evicted from their apartment for nonpayment of rent.

The KTAP benefit group, therefore, is determined ineligible for 18 months beginning with March 2023, the month of receipt of the nonrecurring lump sum. The ineligibility period ends in August 2024, and \$64 is left to count in the prospective budget for September 2024, if the individual reapplies. The case is closed effective April 2023, and a claim is established for the March 2023 KTAP payment.

On April 15, 2023, the family reapplies for assistance because \$9,000 was spent as down payment on a home, \$500 went to closing costs, and a total of \$300 was paid for utility hook-ups. Since the family spent the money on approved expenses, the ineligibility period is recomputed. The first step is to subtract from the \$10,000 received in March, the amount spent for obtaining adequate housing (\$9,800). Add the remainder (\$200) to the \$150 other countable income and divide by the current Total Standard of Need for the family size (\$552) in the month in which the lump sum was received. Since the sum (\$350) is less than \$552, there is no ineligibility period. No claim is established for the March 2023 payment, and the case is reapproved effective April 15, 2023.]

- D. If an individual, who is required to be included in the KTAP case, joins a KTAP benefit group which is serving an ineligibility period, the ineligibility period is recalculated, including the new individual in the family size. A new individual may be a newborn child or a child or parent returning to the home, who is required by standard filing unit rules to be included. A separate KTAP case is NOT approved for the individual.

1. Shorten the ineligibility period in the following manner.
 - a. Multiply the Standard of Need for the original family size by the number of months that standard was applied. Include the month the individual entered the household in this computation.

- b. Subtract the result from the sum of the countable net income and the amount of the lump sum (less appropriate deductions).
- c. Subtract the prorated amount of the individual's share of the Standard of Need for the month the individual entered the KTAP household. This is calculated by taking the difference between the new Standard of Need (Standard for the original family size plus the new individual) and the original Standard of Need and prorating the difference from the date the new member entered the household using the KTAP Grant Proration Table.
- d. Divide the remaining amount of the lump sum by the new Standard of Need to determine the adjusted length of the ineligibility period.

[Example: A KTAP benefit group of 3 members with \$0 countable net income receives \$15,000 from an accident settlement in March. \$2,000 is used for medical expenses specified in the settlement. An ineligibility period of 20 months is established. In June a sibling is reported to have moved back to the home on June 15th. The ineligibility is recalculated using a family size of 4. The prorated Standard for June is calculated by taking the new Standard of Need for 4 persons and subtracting the original Standard of Need for 3 persons (\$710 minus \$631, equals \$79). The balance (\$79) prorated from June 15th.

ORIGINAL CALCULATION:		
Lump Sum + Net Countable Income		\$15,000
Specified Expenses	minus	\$ 2,000
Balance	equals	\$13,000
Standard of Need for 3 Persons	divided by	\$ 631
Months of Ineligibility with \$380 Counted in the 21st Month	equals	20
RECALCULATION:		
Standard of Need for 3 Persons		\$ 631
Number of Months Applied	multiply by	4
Total Amount Applied	equals	\$ 2,524
Lump Sum (less appropriate deductions)		\$ 13,000
Total Amount Applied	minus	\$ 2,524
Balance	equals	\$ 10,476
Prorated Standard for June	minus	\$ 42
Balance		\$ 10,434
Standard of Need for 4 Persons	divided by	\$ 710
Adjusted Months of Ineligibility with \$494 Counted in the 15th Month	equals	14]

2. DO NOT issue supplements for any months prior to the report month if the recalculation results in the period of ineligibility ending before the report month.

Example: A KTAP case of 3 members is serving an ineligibility period. In May, the household reports a child was born in March. In recalculating the ineligibility period, the ineligibility period should have ended in April. No retroactive benefits are paid for April. Payments would begin prospectively based on the date the KTAP benefit group reapplied for assistance and met all conditions of eligibility.

3. If the individual, who caused the ineligibility period to be recalculated, subsequently leaves the home, ineligibility DOES NOT follow that individual. Therefore, that individual could be included in another KTAP case, if otherwise eligible.

Example: A son moves to his mother's home. She and another sibling are currently serving an ineligibility period. The ineligibility is recalculated including the son. The son moves to his aunt's home because of emotional problems. The aunt may apply for and receive KTAP for the boy.

4. The ineligibility period is NOT recalculated again if the individual, who caused the period to be shortened, leaves home.

Accept the individual's signed statement ONLY if third party verification is unobtainable and there is no reason to doubt the statement. If an individual's statement is used, the case record must be documented as to the efforts made to obtain third party verification.

2. Deduct the allowable amounts from the original amount of the lump sum income.
3. Add the remaining amount to the original total countable income from all sources excluding the lump sum.
4. Divide this new amount by the Total Standard of Need for the family size in the first month of the original ineligibility period. The result of the division is the adjusted number of ineligible months, with any remainder of the income applied to the next month if reapplication is made. The ineligible months begin with the month in which the lump sum was received.

Example: In July 2013, a KTAP mother and her dependent child win \$10,000 nonrecurring lump sum income in the lottery and receive \$150 other countable income, after the disregards and deductions are applied. The Standard of Need for two is \$460. The family has been living in a shelter after having been evicted from their apartment for nonpayment of rent.

[The KTAP benefit group, therefore, is determined ineligible for 22 months beginning with July 2013, the month of receipt of the nonrecurring lump sum. The ineligibility period ends in April 2015, and \$30 is left to count in the prospective budget for May 2015, if the individual reapplies. The case is closed effective August 2013, and a claim is established for the July 2013 KTAP payment.]

On August 15, 2013, the family reapplies for assistance because \$9,000 was spent as down payment on a home, \$500 went to closing costs, and a total of \$300 was paid for utility hook-ups. Since the family spent the money on approved expenses, the ineligibility period is recomputed. The first step is to subtract from the \$10,000 received in July, the amount spent for obtaining adequate housing (\$9,800). Add the remainder (\$200) to the \$150 other countable income and divide by the current Total Standard of Need for the family size (\$460) in the month in which the lump sum was received. Since the sum (\$350) is less than \$460, there is no ineligibility period. No claim is established for the July 2013 payment, and the case is reapproved effective August 15, 2013.

- D. If an individual, who is required to be included in the KTAP case, joins a KTAP benefit group which is serving an ineligibility period, the ineligibility period is recalculated, including the new individual in the family size. A new individual may be a newborn child or a child or parent returning to the home, who is required by standard filing unit rules to be included. A separate KTAP case is NOT approved for the individual.

1. Shorten the ineligibility period in the following manner.
 - a. Multiply the Standard of Need for the original family size by the number of months that standard was applied. Include the month the individual entered the household in this computation.
 - b. Subtract the result from the sum of the countable net income and the amount of the lump sum (less appropriate deductions).
 - c. Subtract the prorated amount of the individual's share of the Standard of Need for the month the individual entered the KTAP household. This is calculated by taking the difference between the new Standard of Need (Standard for the original family size plus the new individual) and the original Standard of Need and prorating the difference from the date the new member entered the household using the KTAP Grant Proration Table.
 - d. Divide the remaining amount of the lump sum by the new Standard of Need to determine the adjusted length of the ineligibility period.

[Example: A KTAP benefit group of 3 members with \$0 countable net income receives \$15,000 from an accident settlement in January. \$2,000 is used for medical expenses specified in the settlement. An ineligibility period of 24 months is established. In April a sibling is reported to have moved back to the home on April 15th. The ineligibility is recalculated using a family size of 4. The prorated Standard for April is calculated by taking the new Standard of Need for 4 persons and subtracting the original Standard of Need for 3 persons (\$592 minus \$526, equals \$66). The balance (\$66) prorated from April 15th.]

ORIGINAL CALCULATION:		
Lump Sum + Net Countable Income		\$15,000
Specified Expenses	minus	\$ 2,000
Balance	equals	\$13,000
Standard of Need for 3 Persons	divided by	\$ 526
Months of Ineligibility with \$376 Counted in the 25th Month	equals	24
RECALCULATION:		
Standard of Need for 3 Persons		\$ 526
Number of Months Applied	multiply by	4
Total Amount Applied	equals	\$ 2,104
Lump Sum (less appropriate deductions)		\$13,000
Total Amount Applied	minus	\$ 2,104
Balance	equals	\$10,896
Prorated Standard for April	minus	\$ 35
Balance		\$10,861
Standard of Need for 4 Persons	divided by	\$ 592

Adjusted Months of Ineligibility with \$205 Counted in the 19th Month	equals	18
--	--------	----

2. DO NOT issue supplements for any months prior to the report month if the recalculation results in the period of ineligibility ending before the report month.

[Example: A KTAP case of 3 members is serving an ineligibility period. In May, the household reports a child was born in March. In recalculating the ineligibility period, the ineligibility period should have ended in April. No retroactive benefits are paid for April. Payments would begin prospectively based on the date the KTAP benefit group reapplied for assistance and met all conditions of eligibility.]

3. If the individual, who caused the ineligibility period to be recalculated, subsequently leaves the home, ineligibility DOES NOT follow that individual. Therefore, that individual could be included in another KTAP case, if otherwise eligible.

Example: A son moves to his mother's home. She and another sibling are currently serving an ineligibility period. The ineligibility is recalculated including the son. The son moves to his aunt's home because of emotional problems. The aunt may apply for and receive KTAP for the boy.

4. The ineligibility period is NOT recalculated again if the individual, who caused the period to be shortened, leaves home.

Volume III - Kentucky Transitional Assistance Program
MS 3000 - R. 3/1/26 - OMTL- 688
Requirements for Child Support Action

The Cabinet is required to make efforts to establish paternity and secure child support from noncustodial parents for children receiving KTAP or Kinship Care benefits. Child support collected on the behalf of individuals receiving KTAP or Kinship Care is paid to the Cabinet.

A. [At application and when a child is added to an existing benefit group, the parent or caretaker relative must:

1. Assign child support rights to the Cabinet;
2. Sign form KTAP-125 or KC-125, NCP Fact/Information Sheet and Assignment of Rights.

Refusal to assign child support rights to the Cabinet results in denial of the KTAP or Kinship Care application. For those not cooperating with the Department of Child Support Services (DCSS) due to verified good cause, completion of form KTAP-125 or KC-125 is not required. Refer to [MS 3030](#).

B. The parent, technically excluded parent, a caretaker relative, and a teen parent are required to cooperate with DCSS and law enforcement officials in all phases of support activity. This includes, but is not limited to:

1. Identifying and locating the alleged father or noncustodial parent, establishing paternity;
2. Obtaining child support payments; and
3. Forwarding child support payments to:

DCSS Centralized Collection Unit (CCU)
P.O. Box 14059
Lexington, Kentucky 40512.

C. If the parent is the only eligible member of the KTAP benefit group because the only child receives SSI, the parent is not required to assign child support rights to the Cabinet nor cooperate with child support activities. DCSS is responsible for all aspects of child support enforcement activities for children who receive SSI.]

D. Establishment of paternity and support from non-custodial parents is **not** pursued when:

1. The child receiving KTAP is married. However, if the married child is divorced before the age of 18, the requirement to establish paternity and/or child support resumes;

2. The parent is hospitalized or incarcerated and intends to return to the home upon release. If the parent does not return to the home, a child support referral is appropriate; or
3. The child is a result of single-parent adoption.

Volume III - Kentucky Transitional Assistance Program
MS 3010 - R. 3/1/26 - OMTL- 688
[Department of Child Support Services Activities

The Department of Child Support Services (DCSS) administers the child support program and is responsible for the following]:

- A. Reviews referrals and applications to determine appropriate action;
- B. Initiates location efforts for noncustodial parents;
- C. Initiates action to establish paternity;
- D. Establishes child support orders;
- E. Collects and distributes child support;
- F. Enforces support obligations by judicial or administrative means;
- G. Reviews support obligations for possible modification;
- H. Advises field staff of changes in the case or the need for additional information;
- I. Informs the individual of available services; and
- J. Informs the individual of the status of the child support case.

Volume III - Kentucky Transitional Assistance Program
MS 3020 - R. 3/1/26 - OMTL- 688
Family Support Responsibilities

It is the responsibility of the Family Support Worker to do the following:

- A. Explains the child support program to the individual including penalties for failure to cooperate, and the opportunity to claim good cause for not cooperating;
- B. Provides the individual with form CS-333, Facts about the Child Support Enforcement Program;
- C. Determines good cause for individuals requesting good cause;
- D. Secures information from the individual to complete the referral;
- E. Secures copies of court orders, as appropriate;
- F. Notifies the child support worker of subsequent changes, such as:
 - 1. **[Any change in information or status previously submitted. Changes are entered on Worker Portal, Absent Parent Referral screen];**
 - 2. Additional facts pertinent to case handling;
 - 3. Copies of court orders;
 - 4. The death of a parent for whom the referral has been submitted;
 - 5. Removal of one or more children from an active KTAP case; or
 - 6. **[When a parent, caretaker relative or minor parent refuses to cooperate with the Department of Child Support Services (DCSS).**
- G. Tells the individual of the requirement to forward support received to DCSS following receipt of the first KTAP benefits which is not reduced by child support income and if not currently receiving support to forward to DCSS when received];
- H. Cooperates in completion of the court action upon request including, if necessary, appearing to give testimony;
- I. **[Takes other action at the request of DCSS];**
- J. Refers non-assistance individuals for child support services to the child support office or contracting official for information and applications; and
- K. Requests a refund of excess child support collections. Refer to Volume I, MS 1230.

Volume III - Kentucky Transitional Assistance Program
MS 3030 - R. 3/1/26 - OMTL- 688
Child Support Referral Process

[A child support referral is completed on all children in the KTAP benefit group when a parent is voluntarily absent from the home. Worker Portal sends the referral information to the Department of Child Support Services (DCSS).]

A. Complete a referral, even when the absent parent is unknown:

1. At application;
2. At reapplication if the case information has been moved to offline history;
or
3. Any time a child is added to the KTAP case if there is not an existing referral.

If there is an existing referral, review all the referral information and make changes as needed.

B. When a child support referral is required, the worker should:

1. Explain the child support requirements and good cause, and provide form CS-333, Facts about the Child Support Enforcement Program.
2. If the individual refuses to cooperate with the referral process, determine if good cause exists. Refer to [MS 3050](#) for the good cause criteria and process. Good cause does not apply to the assignment of rights. If the individual refuses to agree to the assignment of rights, the application is denied. Refer to [MS 3000](#).
 - a. If verified good cause exists, do NOT apply a penalty for noncooperation. In these instances, completion of form KTAP-125 or KC-125, NCP Fact/Information Sheet and Assignment of Rights, is not required.
 - b. If good cause is determined not to exist and the individual will not cooperate, apply the penalty for noncooperation. Refer to [MS 3080](#).
3. After the referral is completed, form KTAP-125 or KC-125 prints out with the application. Have the individual read and sign the form.

Information is updated at renewals or case changes.

C. [In cases that contain a parent and a teen parent under age 18, either the parent or the teen parent may sign form KTAP-125 for the teen's children. If the parent signs form KTAP-125 for the teen's children, the teen parent is required to cooperate with DCSS and law enforcement officials in all phases of child support activities to avoid reduction of KTAP benefits.]

For two-parent households, that contain child support referrals, only the custodial parent of the child listed on the referral may sign form KTAP-125. The custodial parent is still required to cooperate with DCSS to avoid reduction of KTAP benefits.

- D. When DCSS determines that an alleged father is not the parent of a child, do the following]:
1. Contact the custodial parent for another possible father and complete a referral on that person;
 2. Delete the incorrect referral; and
 3. Document the action in Case Notes.

Volume III - Kentucky Transitional Assistance Program

MS 3040 - R. 3/1/26 - OMTL- 688

Noncooperation with Child Support Activities

- A. The following are considered noncooperation or refusal to cooperate which results in the penalty of 25% reduction of the KTAP benefits.
1. Refusal to provide information, including what is required for completion of the referral if it is available to the parent, caretaker relative, or teen parent under age 18 years, and required for child support activities or law enforcement officials to provide child support services;
 2. Refusal to sign the child support referral;
 3. [Failure to appear as a witness in judicial or other hearings. This includes failure to sign complaints or keep appointments scheduled with the Department of Child Support Services (DCSS) or contracting officials];
 4. Refusal, under penalty of perjury, to provide correct information or attest to the lack of information;
 5. Dismissal of a pending court action or initiation of a dismissal after signing form KTAP-125/KC-125; or
 6. Initiation or completion of action to terminate or lower an existing support order after signing form KTAP-125/KC-125.

When an individual refuses to cooperate and does NOT file a good cause claim, apply the penalty.

- B. [Refusal to forward support payments is another form of noncooperation. If notified by the child support caseworker or discovered by other means that the individual is receiving voluntary or court ordered support for a KTAP child and is not forwarding these payments to DCSS, immediately contact the individual and collaterals, as necessary, to determine if support was received.
1. If support was not received or was received and forwarded, notify the child support caseworker.]
 2. If court ordered or voluntary support was received but is not forwarded, consider the individual not cooperating and:
 - a. Consider all support money as income in the case, minus the \$50 disregard to the child(ren) for whom payments were made;
 - b. A good cause claim is not appropriate because the individual was notified in writing by the application/recertification forms and by form CS-333 that all support rights are assigned to the Cabinet; and
 - c. Establish a claim, if appropriate.

C. If the individual later states a willingness to cooperate, the cooperation must be verified.

1. Issue a RFI to request verification of cooperation be provided within 10 calendar days. Verification of cooperation consists of proof that the individual met with the contracting official, completed a child support referral, etc.

EXCEPTION: If the contracting official cannot reschedule the individual's appointment within 30 calendar days, accept verification of the rescheduled appointment as verification of cooperation.

2. If verification is provided timely, the worker removes the penalty effective with the next administratively feasible month. Supplements are not issued for the time-period in which the individual did not cooperate or the month of cure.

[Example 1: An individual is disqualified for noncooperation with DCSS effective 7/1/16. The individual verified cooperation with DCSS on 7/10/16. The disqualification is removed, and full benefits are authorized for the next administratively feasible month, which, in this situation, is August. Do not issue a supplement for July.]

Example 2: An individual is disqualified for noncooperation with DCSS effective 5/1/16. The individual verified cooperation with DCSS on 5/28/16. The disqualification is removed, and full benefits are authorized for July, the next administratively feasible month. Do not issue a supplement for May. In this situation, a supplement for June is appropriate as verification of cooperation was received after system cut-off for KTAP.]

D. A supplement is not issued for the month of the cure. However, a supplement may be made the next month if verification of cooperation is received after cut-off. If verification of cooperation is not provided by the end of 10 calendar days, send notification of the denial of the request.

MS 3050 GOOD CAUSE FOR NONCOOPERATION (1)

- A. Good cause for failing to cooperate with child support activities exists only when:
1. Cooperation in support activities could result in physical or emotional harm of a serious nature to the child and/or custodial parent;
 2. Support action is not in the child's best interest due to incest;
 3. Support action is not in the child's best interest because the child was conceived as a result of rape;
 4. Support action is not in the best interest of the child because legal proceedings for adoption of the child are pending; or
 5. Support action is not in the best interest of the child because the custodial parent is being assisted by a public or licensed private social agency to resolve whether to keep the child or release him/her for adoption AND discussion has not gone on for more than 3 months.
- B. [When an individual, including a teen parent under age 18, refuses to cooperate in child support activities, and claims to have a good reason for not co-operating:
1. Enter good cause information in the Cooperation with CSE/MSE section of the Absent Parent Information screen when an individual requests a good cause claim. Complete the child support referral on Worker Portal indicating the individual has good cause. For verification of a good cause claim refer to [MS 3060](#).
 2. Review good cause claims with the individual at recertification to decide if good cause still exists. The good cause decision may be reviewed more frequently if circumstances in the case indicate it is necessary.
 - a. If good cause continues to exist, document the case.
 - b. If good cause no longer exists, update the appropriate child support referral and change the good cause indicator.
 - c. If an individual requests a hearing on a denial of good cause and the agency is upheld, no further action is necessary. If the agency is reversed, inform the child support caseworker or contracting official that the individual has good cause and to cease child support activity. Change the good cause indicator on Worker Portal.]

MS 3060

VERIFICATION OF GOOD CAUSE

[Evidence must be provided by the individual within 20 calendar days from the date good cause is entered on Worker Portal, unless an extension is given.]

- A. Evidence which supports a determination of good cause includes, but is not limited to, the following:
 - 1. Birth certificates, medical, or law enforcement records indicating that the child was conceived as a result of incest or forcible rape;
 - 2. Court documents or other records indicating legal proceedings for adoption of the child by a specific family are pending before a court of competent jurisdiction;
 - 3. Records (court, medical, criminal, child protective services, social services, psychological, or law enforcement) indicating the noncustodial parent or alleged father might inflict physical or emotional harm on the child or caretaker relative;
 - 4. A written statement from a public or licensed private social agency that assistance is being given to the custodial parent to resolve the issue of whether to keep the child or relinquish the child for adoption and the issue has not been pending more than 3 months; and
 - 5. Notarized statements from individuals, other than the custodial parent with knowledge of the circumstances which provide the basis for the good cause claim.
- B. In each good cause determination based upon anticipation of serious emotional harm to the child, the mother, or caretaker relative, consider the following:
 - 1. The present emotional state of the individual subject to emotional harm;
 - 2. The emotional health history of the individual;
 - 3. The extent of the emotional impairment and how long it might last; and
 - 4. The extent of the involvement required of the individual in the child support activities.

If medical information documenting the above is not available, accept collateral contacts or the statement, unless questionable.
- C. When the good cause claim is based on the anticipation of physical harm to the child and/or parent/caretaker relative, and supporting evidence is not available, accept the individual's statement unless questionable.

Volume III - Kentucky Transitional Assistance Program
MS 3080 - R. 3/1/26 - OMTL- 688
Penalty for Noncooperation

The penalty for failure to cooperate with child support activities without good cause is a 25% reduction of the maximum KTAP/Kinship Care benefit amount for the household size. This includes failure to cooperate by a caretaker relative or technically excluded parent.

Example: The maximum benefit amount for a two-member KTAP benefit group is \$450. The 25% reduction is \$112.

- A. [The KTAP/Kinship Care benefits can only be reduced by 25% of the maximum KTAP/Kinship Care benefit amount regardless of the number of members penalized in the case for not cooperating with the Department of Child Support Services (DCSS).]
- B. If an individual is penalized for reasons other than noncooperation with child support activities and fails to cooperate with child support, the 25% reduction of the maximum benefit amount is applied for the remaining active members.
- C. When the individual fails to cooperate without good cause:
 - 1. Answer "N" to the question "Cooperation with CSE/MSE?" on the Absent Parent Information Screen, which will apply the 25% penalty.
 - 2. A disqualification is applied to the SNAP case as appropriate.

Volume 3 - Kentucky Transitional Assistance Program (KTAP)
MS 3700 - R. 5/1/26 - OMTL-692
Educational Bonus

Individuals receiving Kentucky Transitional Assistance Program (KTAP) or Kinship Care (KC) can receive a \$500 Educational Bonus for completing certain educational programs.

Individuals who received an Educational Bonus payment of \$250 prior to 3/1/2023 will not receive an additional \$250 payment.

A. An educational bonus can be issued when one of the following is earned:

1. A High School diploma;
2. A GED certificate;
3. [A home school certificate which is issued after the student completes the home school curriculum equivalent to 12th grade;]
4. English as a Second Language (ESL) certificate. Only one bonus is paid for ESL regardless of the number of levels the individual completes; or
5. A post-secondary program degree or certificate. Only one bonus is paid for a post-secondary program.

Example 1: If the individual obtains an associate degree and a bonus is paid for that degree, another bonus cannot be paid if the individual subsequently obtains a bachelor's degree.

Example 2: If the individual obtains a certificate that is earned within the bachelor program, only one educational bonus can be issued for the post-secondary program.

6. Short-term trainings do **not** qualify for an educational bonus.
- B. There is no time frame for requesting an educational bonus; however, the individual must have been an active KTAP/KC recipient when the educational program was completed.
- C. [The individual must verify the completion of the program and receipt of a diploma, certificate, or degree. Verification can be in the form of a diploma, certificate, or written documentation from the educational institution or parent who conducted the home schooling.]
- D. Educational bonuses are issued through Manual Issuance Request in Benefit Management. Educational bonuses are **not** issued by special circumstance.
- E. The payment is issued to the adult **or** child **who earned** the diploma or certificate.

Volume 3 - Kentucky Transitional Assistance Program (KTAP)
MS 3750 - R. 5/1/26 – OMTL-692
Relocation Assistance Program (RAP)

The Relocation Assistance Program (RAP) assists families receiving KTAP who need to relocate for employment, to prevent a housing crisis, or to escape a domestic violence situation.

A. RAP can assist the family with moving expenses to:

1. Accept an offer of full-time employment;
2. Maintain employment obtained within 90 days of the date of request, provided the employment was reported and verified timely;
3. Escape a domestic violence situation; or
4. Prevent a housing crisis, for example:
 - a. To prevent eviction from current residence, as verified by the landlord.
 - b. To help move into a new place if currently homeless, as verified by a lease or statement from the landlord.

Employment is not a requirement for relocation assistance to escape a domestic violence situation or prevent a housing crisis.

B. RAP can pay up to \$1500 of verified moving expenses which may include, but are not limited to:

1. First and last month rent and security deposit;
2. Utility hook-up;
3. Payment for moving service;
4. Rental expense for a vehicle needed to move.

C. Starting March 1, 2023, to relocate for employment, or prevent a housing crisis, families may receive assistance from RAP once in a 12-month period and again in subsequent 12-month periods. Receipt of RAP prior to March 1, 2023 does not count toward the 12-month limit.

[OTIS does not consider RAP payments for domestic violence situations when determining the prior receipt of RAP within 12 months. The only limitation for domestic violence RAP is RAP payments cannot exceed \$1500 for each occurrence.]

D. A family cannot use more than one category or reason for RAP in a 12-month period. If this situation arises, forward to the FSSB inbox.

Example: If the family receives RAP due to a housing crisis and later becomes employed and requests to move closer to accept this new employment, forward this request to the FSSB inbox.

- E. There is no limit for receipt of RAP if needed to escape a domestic violence situation. However, if another request for RAP falls within 12 months of the first request, forward to the FSSB inbox.
- F. To qualify for RAP, the individual must meet the following criteria:
 - 1. Currently receiving KTAP. A sanctioned or otherwise ineligible individual does not qualify for RAP unless the individual is in the process of curing the sanction.
 - 2. Relocation assistance will assist the family with achieving self-sufficiency.
 - 3. When RAP is requested to accept or maintain full-time employment, the individual must meet the following criteria:
 - a. The individual must have a verified offer of employment or be recently employed, within 90 days of the request. The employment, including self-employment, must pay a wage equal to or greater than minimum wage multiplied by 30 hours per week. The offer of new employment, or the hire date, the amount of wages, and location of the new residence can be verified by written statement, wage stub, form PAFS-700, Verification of Income, PAFS-76, Information Request, etc.
 - b. The current residence must be 10 miles or more from the location of the employment. The new residence must be closer to the location of the employment than the current residence. The location of the new residence and proximity to the employment site must be verified.
 - 4. When RAP is requested to escape a domestic violence situation, verification of domestic violence can include, but is not limited to the following:
 - a. A protective order;
 - b. A police report;
 - c. Residence in a spouse abuse center; or
 - d. Involvement of an agency or individual, such as a victim's advocate, social worker, TAP worker, etc.
 - [5. When RAP is requested to prevent a housing crisis, the individual must meet the following criteria:
 - a. Eviction notice or a notice that states the lease will not be renewed from current landlord;
 - b. Lease or statement from landlord verifying new place if currently homeless;

- c. Verified employment or written statement on how rent will be paid monthly; and
- d. Indication from individual with a plan to pay rent monthly.

Example 1: Molly's lease is not being renewed, and she has found a new place at \$650 a month. She is working and will be getting a raise starting the next month that will cover her ongoing rent.

Example 2: George is being evicted from his home as the landlord is selling the property. The new place is more expensive, and George's parents will help with the rent until George can be approved for housing assistance.

If the individual cannot pay the ongoing expenses for the new residence, RAP payments cannot be approved. The case manager should explain that the individual will need to find an affordable place.

Example 3: Linda needs to move as her apartment building was destroyed by fire. The expenses for the new place exceed her income, and she has no alternatives to pay them. RAP cannot be approved in this situation. Linda will need to find a place where she can pay the monthly expenses.】

- G. If the family moved prior to the request for RAP, the family is not eligible. Issue form KW-105, Notice of Ineligibility, to deny the request.
- H. A teen parent is NOT eligible to receive RAP to move from their parent's home. Exception: if the teen parent is the head-of-household, the teen parent can request RAP to escape a verified domestic violence situation.

Volume 3 Kentucky Transitional Assistance Program (KTAP)

MS 3770 - R. 5/1/26 - OMTL-692

Relocation Assistance Program (RAP) Application and Payment Process

Use form RA-1, Application for Relocation Assistance, to determine eligibility for the Relocation Assistance Program (RAP). RAP Payments are issued from the Online Tracking and Information System (OTIS).

- A. Complete form RA-1 during the interview with the individual to determine if the family meets the criteria for RAP.
1. If the individual requests RAP, allow the applicant 10 calendar days to return verification of the moving expenses. Use a manual correspondence to request verification of the offer of employment, wages, domestic violence situation, new residence, and moving expenses.
 2. Process the application immediately upon return of the required verification. If the locations of the residence and/or employment are not known, use internet programs, such as www.mapquest.com, to determine if the new residence is closer to the new worksite than the current residence.
 3. If it is determined the household is ineligible for a RAP payment, send form KW-105, Notice of Ineligibility, to notify the individual of the denial for RAP.
 4. Provide follow-up case management to assist families in the transition. This includes referrals to other agencies and charitable organizations that may offer assistance to recipients who are moving.
 5. If a family is not currently receiving KTAP assistance and requests assistance with relocation, explore eligibility for the Family Assistance Short-Term Program (FAST). If FAST eligible, relocation expenses may be paid through FAST.
- B. After the request for RAP is approved by the worker and concurred by the supervisor, the payment can be issued to the family. If the individual has verified \$1500 or more of moving related expenses, issue one payment for \$1500.

RAP payments:

1. Are issued from OTIS under the "Payments" tab.
2. Are always issued to the individual.
3. Are tracked by OTIS to ensure RAP is not allowed more than once in a 12-month period per family for employment purposes and to prevent a housing crisis. If another request for RAP falls within 12 months of the first request, forward to the FSSB inbox.

[OTIS does not consider RAP payments for domestic violence situations when determining the prior receipt of RAP within 12 months.]

Volume 3 - Kentucky Transitional Assistance Program
 MS 3850 - R. 4/1/26 - OMTL- 691
 Work Incentive (WIN) Eligibility

Employed adults of a KTAP case discontinued with earnings may be eligible for Work Incentive (WIN) reimbursement payments of \$200 per month for up to 12 cumulative months. Receipt of WIN reimbursements is limited to 12 cumulative months and cannot be waived or postponed.

WIN payments are only issued to the individual's Electronic Benefit Transfer (EBT) card. WIN payments cannot be issued by check or direct deposit.

If eligible, WIN payments begin the month after KTAP benefits stop. If a KTAP application is taken for a month which WIN has been received, the KTAP or Family Assistance Short Term (FAST) will be denied due to receipt of WIN. Individuals cannot receive more than one TANF benefit (KTAP, FAST, or WIN) for the same month.

A. To qualify for WIN reimbursements, an adult member of the KTAP benefit group must:

1. Report employment within 10 calendar days of obtaining employment;
2. Provide verification of employment within 10 calendar days of the report;
3. Be discontinued from KTAP with countable earned income. Earned income that is excluded cannot be used to establish WIN eligibility;
4. Have an age eligible child as defined in Volume 3, [MS 2210A](#);
5. Expect to be employed on an ongoing basis;
6. Have a work expense (the individual's statement is accepted);
7. Be a resident of Kentucky; and
8. Have a total gross earned and unearned income that is equal to or below 200% of the Federal Poverty level.

[2026 200% of Federal Poverty Level

Family Size	Income Before Taxes	Family Size	Income Before Taxes
1	\$2660	5	\$6447
2	\$3,607	6	\$7,393
3	\$4,553	7	\$8,340
4	\$5,500	8	\$9,287

*For each additional member, add \$947.]

B. An individual with a Kentucky Works Program (KWP) sanction can be eligible for WIN reimbursement payments.

1. When verification of employment is received, review the start date and hours of employment. If the hours of employment meet the individual's work requirements and 15 days have passed from the start date, cure the sanction on the Online Tracking Information System (OTIS) before discontinuing the KTAP case on Worker Portal. This will allow the hours to be counted toward the federal participation rate.
2. If the hours do not meet the work requirements, the sanction is not cured.

C. Failure to report changes timely, other than changes in employment that occurred after WIN eligibility was established, do not affect WIN eligibility.

Example: The individual obtained employment in July which was reported and verified timely. In August, the individual was approved for RSDI, which was not reported until the individual's recertification in November. The RSDI income made the case income ineligible. The case is WIN eligible in this situation because the individual was employed before the unreported change occurred.

D. An adult member is not eligible for WIN reimbursement payments if:

1. Employment is obtained after the KTAP case is discontinued;
2. The individual has previously received a total of 12 months of WIN reimbursement payments unless receipt was in error and the payment was returned and deleted from OTIS. OTIS comments must be thoroughly documented to reflect the erroneous receipt of WIN.
 - a. If an individual has received a full 9 months WIN prior to 3/1/23, the individual is not eligible to receive WIN again.
 - b. If the individual received less than 9 months, WIN can be received for additional months up to 12 months if KTAP is approved again and discontinues with wages.
3. The employment was not reported and verified timely;
4. The earned income (work study, WIOA, etc.) was excluded.

E. WIN payments can be received for a total of 12 months, and the months do not have to be consecutive.

Example: Betty was working while receiving KTAP. Her KTAP was discontinued effective February, and she was eligible for WIN. She received WIN for 2 months and then lost her job and reapplied for KTAP for April. In July, Betty got a new job. In August, her KTAP benefits were discontinued effective September. She is eligible to receive the remaining 10 months of WIN.

- F. If a KTAP case with wages discontinues in error, update the “WIN Eligible” option to “No” on the Payments, WIN screen on OTIS. A reinstatement action may be entered on Worker Portal prior to the 10th calendar day of the following month to prevent issuance of a WIN reimbursement.
- G. At KTAP discontinuance, Worker Portal will send the discontinuance information to OTIS. OTIS will generate a message to check the case for WIN eligibility.
- H. At a KTAP reapplication, the worker should check OTIS for potential WIN payments prior to the KTAP approval.
- I. A claim is established if a WIN reimbursement is received and retained due to agency or household errors.

MS 3860

WIN REIMBURSEMENT PROCESS

(1)

WIN reimbursement payments are deposited to an Electronic Benefit Transfer (EBT) account for individuals eligible for WIN. If there are two WIN eligible individuals in the case, each must have a separate EBT card/account. If the household was receiving KTAP benefits via EBT, the individual who was head of household for the KTAP case will receive his/her WIN payments on the same EBT card. The second parent must have a separate EBT card/account, if a separate account is not already established. A message will display on the WIN Payment screen in OTIS to alert the case manager that the individual does not have an established EBT account, so the WIN payment cannot be issued.

An EBT card for the second parent can be issued on the "Card Maintenance" screen in the "Benefit Management" section of Worker Portal.

The first WIN reimbursement is automatically issued to the EBT card on the 10th workday of the month after the KTAP discontinuance. Workers should **NOT** manually issue form WIN-1 prior to the 10th day of the month of the first WIN payment. All other monthly WIN payments are issued by a case manager in OTIS.

- A. Ensure all dates are entered accurately in the system when entering the income information.
- B. To issue ongoing WIN payments:
 - 1. Form WIN-1, Work Incentive (WIN) Report, is generated to the individual by OTIS. The individual has until the 10th calendar day of the report month to return form WIN-1 and verification of employment. If the 10th day is a holiday or weekend, the due date is the next workday.
 - 2. If the WIN payment has not been issued by the 10th calendar day of the report month, form WIN-2, Second Notice for Work Incentive (WIN) Report is generated by OTIS on the 12th day of the month. Form WIN-2 reminds the individual to return the form by the last workday of the month or WIN reimbursements will stop.
 - 3. When a completed WIN-1/WIN-2 is received, determine if WIN eligibility exists. To remain eligible an individual must:
 - a. Be employed at some time during the month reimbursement is requested to cover;
 - b. Have an age eligible child;
 - c. Have a work expense;
 - d. Return a completed form WIN-1 or WIN-2 by the last workday of the month;
 - e. Be a resident of Kentucky; and

- f. Have total gross earned and unearned income of the KTAP family that is equal to or below 200% of the Federal poverty level.
 4. Once a completed form WIN-1/WIN-2 is received and continued eligibility is determined, go to the Payments Screen - WIN to issue the WIN reimbursement payment.
 5. If an individual fails to return either form WIN-1 or WIN-2 or verification by the last workday of the report month, WIN reimbursements stop and the individual is not eligible for WIN again.
 6. Workers can access the WIN Report on OTIS for a list of active WIN cases.
- C. If form WIN-1 or WIN-2 is returned and additional information or verification is needed, contact the individual or send form KW-105, Notice of Ineligibility, to inform the individual that employment verification was not received. **Do not use the "Deny WIN" button on the OTIS WIN Payments screen.** If the response is not clarified or the verification is not received by the last workday of the report month, OTIS automatically ends the WIN eligibility.
- D. If an individual is on leave from a job for the majority of the month he/she may still be eligible for WIN. An individual who is employed, but on temporary leave, may incur a work expense even though he/she did not work any hours during the month.
- Example: The individual is receiving WIN and is on temporary leave from employment. The individual must pay union dues and child care expenses to keep a slot open for his/her child. As the individual remains employed and has incurred a work expense for the month, he/she is eligible for WIN.
- E. Once WIN reimbursements begin, individuals who lose employment are not eligible for future WIN reimbursements **unless the individual obtains another job within 30 days and provides written verification within 10 calendar days of obtaining the job.**
- Example: An individual reports she lost her job on July 3rd. The individual finds another job August 1st. She reports and verifies the new employment timely. She would continue to be eligible for WIN for July.
- F. If an individual fails to provide verification of new employment within 10 calendar days, issue form KW-105, Notice of Ineligibility, from the WIN Payment screen on OTIS denying the payment and informing the individual that WIN eligibility has ended.
- [G. If WIN stops and the individual has not received a total of 12 months, the individual can receive WIN again until a total of 12 months are received.

Example 1: John was employed when his KTAP was discontinued effective April, and he was WIN eligible. He received 3 months of WIN

reimbursement payments. John lost his job at the end of June and was reapproved for KTAP for July.

Example 2: In November, John got a new job. His KTAP was discontinued effective January and he was WIN eligible again. He can receive up to the remaining 9 months of WIN.

In May, the business closed, and KTAP was reapproved for John. In June, John became employed again, and the KTAP discontinued effective August, and he was WIN eligible again. As he already received a total of 8 months, John can receive up to 4 more months of WIN to make a total of 12 months.】

Volume 3 - Family Assistance Short-term (FAST) Program
MS 4000 - R. 5/1/26 - OMTL-692
Family Assistance Short-term (FAST) Program

Family Assistance Short-term (FAST) is a cash assistance program for individuals who do not want KTAP benefits. The individuals can apply for FAST if they have a short-term need caused by a change in employment circumstances.

[There is an initial screening process for Cash Assistance applications used to determine potential eligibility for FAST. Policy and procedures for the screening process can be found in [MS 2105](#).]

If FAST eligibility criteria are met, FAST benefits can be used to resolve short-term needs that help the individual to become or continue to be self-sufficient. FAST has a 3-month eligibility period with a total benefit amount of \$2600 which is issued directly to vendors to pay for eligible expenses. FAST can be received again after a 12-month period which starts with the day of the last FAST payment. Individuals cannot apply for FAST through the Self-Service Portal.

A. The household must meet the following criteria to be eligible for FAST:

1. Not currently receiving KTAP benefits or Work Incentive (WIN) payments. These benefits cannot be returned or reimbursed to be eligible for FAST.
2. The applicant must verify anticipated and/or ongoing self-sufficiency by providing verification that they will be beginning or returning to employment, or that there will be a change in current employment circumstance within 3 months from the date of application.
3. The household must have a verified short-term need that resulted from a change in employment circumstance. A change of circumstances includes but is not limited to maternity leave, temporary lay-off, off from work due to injury or illness, loss of job and starting a new job, etc. The applicant must be expected to return to work or start work within 3 months from the application date. If this cannot be expected, then FAST is not an option.

Example 1: Sally applied for FAST on June 7th. She reports she will have new employment within the next 3 months. The 3-month eligibility period would start June 7th as that is the application date; therefore, Sally will need to start her new job on or before September 6th.

Example 2: Raegan applied for FAST on May 5th. She states she is on maternity leave until July 30th. She needs assistance with her rent and utility bills until she returns to work. She is potentially FAST eligible based on her work circumstances and short-term needs.

4. Be determined to be self-supporting if the short-term need is met. Self-supporting is defined as an individual who can verify they are employed or will be employed and paid wages equal to or greater than 30 hours per

week times the federal minimum wage by the end of the 3-month eligibility period.

B. Households not eligible for FAST are individuals who:

1. Are currently serving a KTAP ineligibility period.
2. Have received FAST within the last 12 months. The 12-month period starts with the day of the last FAST payment.
3. Were previously discontinued due to reaching the KTAP 60-month lifetime limit.
4. Are adults who voluntarily quit a job without good cause.
5. Have only unearned income, such as child support, Unemployment Insurance (UI), RSDI, or SSI. If an individual has started a new job but will not receive pay in the application month, the screening question "Are you currently not employed, but will start employment in the next three months?" must be answered "Yes" to capture future employment income.
6. Were last discontinued for full family sanction (FFS). An individual, who meets the eligibility requirements for FAST but has a KWP sanction (not FFS), may receive FAST.

Example 1: John and his child apply for FAST due to a temporary lack of income. His KTAP benefits were last discontinued due to FFS. John would not be FAST eligible.

Example 2: Jane and her two children want to apply for FAST as Jane is laid off from her job for 2 months due to a company shutdown. Jane has an uncured KWP sanction (not FFS). Jane may apply for FAST.

Example 3: Gladys and her child apply for FAST due to her being on maternity leave. She is due to return to work in the next 6 weeks. Gladys' KTAP benefits were last discontinued for being over income. Gladys may apply for FAST.

Example 4: Bill applied for FAST due to a company closure. He has another job that will start the next month. He has an FFS, but his KTAP was last discontinued due to not returning verification. He is potentially eligible for FAST.

- C. A FAST EDG cannot be disposed without Supervisor approval. After eligibility is run for the FAST EDG, the case manager will select "Ready to Dispose" on the Disposition screen to create a FAST review task.
- D. Receipt of FAST excludes the benefit group from receiving KTAP for 12 months unless nonreceipt of KTAP would result in:

1. Abuse or neglect of a child, as determined by the Cabinet (Protection and Permanency); or
2. The parent's inability to provide adequate care or supervision for the children due to the loss of employment and the loss of employment was through no fault of the parent, as determined by the Cabinet. Workers may make this determination with verification from the employer.

Volume 3 - Kentucky Transitional Assistance Program
 MS 4010 - R. 4/1/26 – OMTL-691
 Eligibility for Family Assistance Short-term Program (FAST)

While eligibility for Family Assistance Short-Term Program (FAST) follows many of the KTAP rules, there are several exceptions.

A. Technical factors that differ are:

1. Age – Children up to age 19 can be included in a FAST Eligibility Determination Group (EDG) regardless of school attendance. Verification of school enrollment and attendance is not required for FAST.
2. Child Support – There is no requirement for cooperation with Child Support Enforcement and referrals are not made.
3. Employment – Employment or the promise of employment that will be equal to or greater than 30 hours times the federal minimum wage.

B. Financial factors that differ are:

1. Resources – All resources are excluded. No verification is needed.
2. Income – The actual income received in the month of application is the only income that is considered in determining FAST eligibility.
3. Income eligibility for FAST is based on 100% of the Federal Poverty Level. The gross income must be less than the income limit for the household size.

[100% Federal Poverty Level for 2026

FAST Family Size	Gross Income Limit
1	\$1330
2	\$1803
3	\$2277
4	\$2750
5	\$3223
6	\$3697
7	\$4170
8 or more	Add \$473 for each additional family member]

- C. Relative income budgeting is applied to FAST households by counting all the income of the stepparent, spouse of the caretaker relative, and parent of a

minor parent living in the home. No earned income deductions are applicable. The children of relative income individuals are not considered as part of relative income budgeting, and their income is not counted. The relative income individuals are shown as "Relative Income Adult" on the Eligibility Summary screen and their income is displayed as "Relative Income Budget Surplus."

Example 1: A mother applies for FAST for herself and her child. She has a spouse also living in the home, who is a stepparent to the child. She does not request aid for him. However, his income is budgeted against the family, like test budgeting, but no earned income deductions are applied.

Example 2: An aunt applies for FAST for herself and her niece. She has a spouse also living in the home, who is an uncle to the child. She does not request aid for him. His income is budgeted against the family with no earned income deductions.

MS 4020

FAST SHORT-TERM NEEDS

Identifying any short-term needs of a cash assistance applicant is one of the criteria used to determine eligibility for FAST.

A. Some allowable short-term needs include:

1. Rent or Mortgage payments;
2. Household Utilities – electric, gas, water, sewer, garbage, basic phone service, basic internet service, etc.;
3. Employment related expenses;
4. Unsubsidized child care expenses;
5. [Transportation Expenses – monthly car payment, car insurance, car repairs, etc. For repairs, the vehicle must be owned by a member of the FAST benefit group. Ownership must be verified by the vehicle title, a current Certificate of Registration, Program 68, or DCBS External Search.]

B. The following items **cannot** be paid with FAST funds:

1. Medical expenses or services;
2. Cable TV or satellite bills;
3. Phone expenses in excess of basic service, including data packages for multiple phone lines/cellphones, or tablets;
4. CCAP child care co-payments; and
5. Reimbursement to an individual who has made payments on the FAST family's behalf.

C. Total payments will be the amounts necessary to resolve the short-term needs of the household during a 3-month period, not to exceed \$2,600 regardless of family size. The 3-month period begins with approval date of the case.

D. Form FAST-4, Information Request for FAST Payment, can be utilized to request verification if verification of the expense, amount, vendor contact information, and SSN or TIN is needed. Bills, invoices, and vendor statements can also be used.

*MS 4030

FAST PAYMENT PROCEDURES

(1)

FAST payments are issued directly to the vendor. In some instances, it may be necessary to issue a two-party check to the vendor and the individual so funds can be properly credited. If a vendor payment or a two-party cannot be accepted, a payment may be issued to the individual.

FAST payments may **NOT** be issued to reimburse expenses already paid by the individual.

- A. Payments are issued through Benefit Management, Benefit Issuance.
- B. The individual must provide documentation of the expense and the information necessary to issue the payment (vendor's name and address, amount, etc.). If verification of the expenses is not readily available, issue form FAST-4 to request this verification.
- C. Most payments will be issued to the vendors directly or by a two-party check; however, there are some situations where the payment may need to be made to the individual such as:
 1. Car insurance or renter/homeowner insurance to ensure the payment is applied to the correct account;
 2. Testing fee or other fees; or
 3. In instances when the only vendors available to the individual will not accept the payment from the Cabinet, payment can be issued to the individual.
- D. Payments for services provided that require the Social Security Number (SSN) or Tax Identification Number (TIN) for the vendor receiving payment:
 1. Rent
 2. Vehicle Repairs
 - a. Payments for vehicle repairs may be made only to reputable vendors or vocational schools.
 - b. FAST funds cannot be used to pay a private individual for vehicle repair services.
 - c. If only buying new or used automotive parts from the vendor, but the vendor is not making the repair, the SSN or TIN is not needed.
 3. Child Care
 - a. Child care payments can be made for unsubsidized child care only.
 - b. CCAP child care copayments cannot be paid with FAST.

- c. Child care payments are made to the vendor or individual providing the service.

4. Other Services

This payment need type is to be used for payment of a service-related need that may be identified for a particular individual and should be rarely used. Examples of an appropriate use of this payment might include repair costs to a home (furnace repair or replacement, plumbing, roof, etc.). Document case notes thoroughly to explain the need for payments issued.

- E. Items or goods purchased without service being provided that do **NOT** require the vendor's SSN or TIN are:

1. Utilities

- a. Allowable expenses are utilities that cover basic needs. Some examples are electric, gas, water, sewer, etc.
- b. Cable, satellite, and other television providers are not considered basic needs.
- c. Only the base rate is paid for a phone. If the individual does not have a home phone, the base rate for a cell phone service may be paid.
- d. Only basic internet services can be paid. Data packages for multiple phone lines/cellphones, tablets, etc. are **NOT** considered basic services.

2. Mortgage payments

Mortgage payments are only made for the individual's primary residence.

3. Insurance

- a. Insurance premiums for a primary residence or automobile owned by a member of the benefit group.
- b. Premiums for liability insurance to maintain a profession or business.

4. Vehicle Payments

- a. Monthly vehicle payments can be made for an automobile owned by a member of the benefit group.
- b. When possible, vehicle payments are to be made directly to the vendor. In some instances, it may be necessary to issue a two-party check to the vendor and individual.

5. Relocation Expenses

- a. Deposits for utilities are paid to the vendor.
- b. Deposits for rent are paid directly to the vendor.
- c. Moving expenses may be paid for renting a truck or other expenses expected to be incurred. Payments are made directly to the vendor or company. A two-party payment may be issued if necessary.
- d. If the individual is using a moving company who is charging for labor, the payment should be issued under "Services".

6. Taxes/Licenses

- a. Property taxes for homes and automobiles can be paid if the individual owns or is purchasing a property or vehicle for which taxes are owed. When paying property taxes for a home, the home must be the individual's primary residence.
- b. License fees may be paid for a FAST eligible individual needing a business license to obtain or maintain employment.
- c. Driver's license fees may be paid if obtaining a driver's license will increase the individual's likelihood of maintaining employment.
- d. Issue payments directly to the vendor. In some instances, it may be necessary to issue a two-party check to the individual and the vendor so funds can be properly credited.

7. Other Goods

- a. Only used for items not covered by another FAST need type.
- b. Examples of an appropriate use of this need type might include:
 - 1) Purchase of new or used auto parts (do not include cost of labor);
 - 2) Materials and supplies purchased for home repair by an individual;
 - 3) Household furnishings in the event of a catastrophe;
 - 4) Uniforms, including shoes;
 - 5) Criminal records checks; or
 - 6) Drug testing fees.

F. The following notices will be issued for actions taken on payment requests:

1. FAST-4, Information Request for FAST Payment, is issued by the case manager when information is needed for a short-term payment request;
2. FAST-104, FAST Payment Issued, is system-generated when a FAST payment is issued. The individual may refer to this notice when dealing with a vendor; and
3. FAST-107, FAST Payment Denial, is system-generated when a FAST payment request is denied.

MS 5000

KINSHIP CARE OVERVIEW

(1)

The Kinship Care Program provides cash benefits for care of a child who has been removed by Protection and Permanency (P&P) staff from his/her home due to abuse, neglect, or the death of both parents and placed with an approved caretaker relative. The eligibility determination is a two-part process that is initiated by P&P. No new Kinship Care applications were accepted after 3/31/13. For reapplications, refer to [MS 5100](#). Any caretaker relative caring for a child may apply for KTAP, Medicaid, and/or SNAP benefits.

A. The responsibilities of P&P staff are:

1. Assigning a designated worker to oversee the placement of the child in a safe home with a Kinship Care caretaker relative;
2. Determining the suitability of the caretaker relative's home;
3. Completing all necessary background checks;
4. Developing and monitoring the plan to facilitate the caretaker relative obtaining permanent legal custody of the child if the child cannot return to his/her parents;
5. Completing form KC-01, Kinship Care Program Statement of Rights and Responsibilities, and routing a copy to Family Support staff;
6. Completing, approving and routing form KIM-78KC, Kinship Care Financial Assistance Application, to Family Support staff for a financial eligibility determination. All paperwork for applications must have been received by the local Family Support office by 3/31/13;
7. Determining the need for and issuing payment to cover a child's immediate need for clothing, school supplies, furniture, or shelter;
8. Issuing payments for attorney fees relating to the caretaker relative's obtaining permanent custody of the child; and
9. Providing ongoing support and case management services to the caretaker relative for at least six-months or until permanent custody is attained, whichever occurs later.

B. The responsibilities of Family Support staff are:

1. Returning incomplete forms to the P&P individual designated by the Service Region;
2. [Entering information from the P&P approval via form KIM-78KC on Worker Portal;]
3. Completing an interview with the caretaker relative or an authorized representative to determine the child's financial and KTAP related

technical eligibility, obtaining the assignment of rights to child support, and completing referrals to Child Support Enforcement;

4. Completing an annual recertification to review financial and technical eligibility;
 5. [Monitoring the caretaker relative's pursuit of permanent custody;
 6. Entering verification of permanent custody;]
 7. Accepting and processing reported changes for the household; and
 8. Authorizing educational bonuses for eligible children receiving Kinship Care.
- C. A caretaker relative who is dissatisfied with an action or inaction on the part of the Cabinet has the right to a fair hearing or service appeal. Those actions occurring due to the performance of staff carrying out P&P responsibilities are handled by the service appeal process. Actions that are the responsibility of Family Support staff are addressed by the fair hearing process. Refer to Volume I, [MS 0440-0545](#), for fair hearing procedures.

MS 5020 ADDITIONAL SERVICES FOR KINSHIP CARE

Some additional services may be provided by Protection and Permanency (P&P) staff to assist the family in caring for the child.

- A. Some services that can be provided to the family by P&P are:
 - 1. Family counseling;
 - 2. Parenting training;
 - 3. Referrals to an available support group or other community services; and
 - 4. Case management services for at least 6 months, beginning with the date of placement of the child with the KC caregiver or until the KC caregiver has obtained permanent custody of the child, whichever is later.
- B. **[Educational bonus – a child receiving KC can receive an educational bonus of \$500 for earning a diploma or certificate. For more information on Educational Bonus, refer to [MS 3700](#).]**
- C. Receipt of Kinship Care **does not** establish automatic eligibility for the Child Care Assistance Program (CCAP).

MS 5030 KINSHIP CARE CARETAKER RELATIVE RESPONSIBILITIES (1)

The Kinship Care caretaker relative shall agree to:

- A. Take temporary custody of the child;
- [B. Pursue permanent custody.
 - 1. The caretaker should accept permanent custody of the child if it is recommended by Protection and Permanency (P&P) staff and the court.
 - 2. If P&P staff or the court does not approve the caretaker's petition for permanent custody, the caretaker is considered meeting his/her responsibility for pursuing permanent custody;]
- C. Report, within 10 days, any change in circumstance which may impact eligibility or the amount of payment;
- D. Assign child support rights to the State and cooperate with child support activities; and
- E. Cooperate with the recertification process every 12 months. The recertification may be completed by a telephone interview or by a face-to-face interview.

MS 5040 CHILDREN NOT ELIGIBLE FOR KINSHIP CARE

The following children are not eligible for Kinship Care payments:

- A. A child for whom form KIM-78KC, Kinship Care Financial Assistance Application, with entries indicating the date of placement, KC-01 completion date, caretaker relative's home evaluation approval date, referral date to Family Support, and signature of the Protection and Permanency (P&P) worker designated to monitor a child's protective service case is **not** provided by P&P staff. If P&P does not provide all the paperwork by **3/31/13** to the local Family Support office, the child is not eligible for Kinship Care; however, an application for KTAP, MA and/or SNAP may be taken.
- B. The child does not have a designated P&P worker and the Kinship Care caretaker relative is not willing to pursue and assume permanent custody per [MS 5030](#).
- C. The caretaker relative has declined the initial offer of Kinship Care on form KC-01, Kinship Care Program Statement of Rights and Responsibilities.
- D. The child or caretaker relative lives in or relocates to another state.
- E. **[A child age 18 who is not attending school.]**
- F. Either parent of the child resides in the child's home.
- G. The child's removal from his/her home was based on a Cabinet determination of dependency, with the exception of dependency based on the death of both parents.
- H. A child who receives Supplemental Security Income (SSI). A child who loses Kinship Care benefits due to receipt of SSI may be re-approved for Kinship Care if he/she subsequently becomes ineligible for SSI.
- I. A child who is included in an active KTAP or Foster Care case. If eligible for Kinship Care payments:
 - 1. A child must be removed from the KTAP case prior to approving Kinship Care. Any retroactive benefits are authorized by a special circumstance payment.
 - 2. Foster care payments must cease. Kinship Care eligibility starts the day after foster care payments end.
- J. A judicial order awards custody or joint custody of the child to a parent.
- K. The child of a minor parent if the minor parent is included in a Kinship Care case.

MS 5050 KINSHIP CARE TECHNICAL REQUIREMENTS (1)

For a determination of eligibility for Kinship Care (KC), the Family Support worker must first receive from Protection and Permanency (P&P) forms KIM-78KC, KC-01 and P&P Central Office approval letter for the child. These forms and approval letter must have been received by **3/31/13** in the local Family Support office. After 3/31/13, no new applications were accepted unless it involved a transfer of custody by P&P from one caregiver to another.

If the child is placed by P&P with another caretaker relative due to the death, illness, or active duty military services of the initial caregiver, the child remains eligible for Kinship Care. An application may be approved for a new caregiver. Forms KIM-78KC and KC-01 must be completed and the approval e-mail from P&P Central Office provided for the new caregiver prior to approval of the application.

The child must also meet the following KTAP technical eligibility requirements:

- A. Age is established per KTAP policy, refer to [MS 2310](#).
- B. The KC caregiver must be a relative, refer to [MS 2328](#).
- C. Residence with the KC caregiver in Kentucky.
- D. A child may remain KC eligible if temporarily absent from the home and the absence reason meets the criteria in [MS 2338](#) with the exception of situations cited in item I of this section.
- E. Children age 18 and older must attend school or an equivalent secondary program, refer to [MS 2316](#).
- F. [Rights to child support must be assigned to the State during the application process. Refusal to assign support rights by signing form KC-125, NCP Fact/Information Sheet and Assignment of Rights, generated by Worker Portal results in denial of a Kinship Care application.]
- G. Both parents must be absent from the KC caregiver's home. Referrals to Child Support Enforcement are completed unless a good cause reason exists, refer to [MS 3050](#).
- H. KTAP standard filing unit policy applies with an exception. A child eligible for the Kinship Care program, due to abuse, neglect or the death of both parents, living in the home of a relative with a sibling receiving KTAP (living with the relative, but not due to abuse or neglect or death of both parents) is not required to be in the same case.

Example: Grandmother receives KTAP for one grandchild. This child is in her home for a reason other than abuse, neglect or the death of both parents. Grandmother is approved as a KC caregiver for a sibling of the KTAP child placed with her due to abuse. The KC child is not added to the KTAP case. A separate Kinship Care case is approved for the child placed with grandmother due to abuse.

- I. Payments for Kinship Care are discontinued if the child is in foster care, a residential treatment facility, a psychiatric residential treatment facility, or a detention center.
- J. If the child is returned to a parent's home prior to permanent custody being established for reunification purposes on a trial basis, the Kinship Care case is discontinued. The reunification trial period can last up to 60 days.
 1. If the child is returned to the KC caretaker relative's home within the 60-day trial period, the Kinship Care case can be reapproved after receipt of verification from P&P and if all other eligibility factors are met. The effective date of the reapproval is the date the child is returned to the KC caretaker relative's home.
 2. If the child returns to the KC caretaker relative's home any time after the 60-day trial period lapses, the Kinship Care case cannot be reapproved. The caretaker relative may apply for KTAP.

MS 5055 PERMANENCY REQUIREMENTS (1)

To be eligible for a Kinship Care payment, the Kinship Care caretaker relative must agree to pursue permanent custody of the children placed in his/her care if reunification efforts with the parents are not successful. Protection and Permanency (P&P) staff make a recommendation regarding custody; however, the final decision and terms of the custody order is the decision of the court's presiding judge. In most instances, the involvement of the P&P worker with the caretaker relative and child ends when the caretaker relative obtains permanent custody.

- A. [The requirement to pursue permanent custody begins when the case is approved for Kinship Care benefits on Worker Portal. The review date is 12 months from the date of approval.]

Entries on Worker Portal are used to track completion of the permanent custody requirement.

1. [At application, if the caretaker relative does not have permanent custody but is willing to pursue, choose "Pursuing Custody" from the dropdown menu for Permanent Custody Status on the Program Request Screen. This will set the review date for 12 months from the date of approval.]
2. At recertification, the case is reviewed for permanent custody. If permanent custody has not been granted or the caretaker relative has not pursued custody, generate an RFI to request verification. Proof the caretaker relative has hired an attorney or filed a petition with the court to pursue permanent custody is acceptable verification. If verification is not received or entered, the system takes action to discontinue the case.
3. If the caretaker relative has taken action to pursue permanent custody but has been denied by the courts, the Kinship Care case remains active. Choose "Denied Custody" for the Permanent Custody Status in the Program Request screen. Documentation, such as the court order, is required. P&P can also be contacted to confirm. The caretaker relative is not required to take further action if permanent custody request is denied.
4. If permanent custody has been obtained, choose "Obtained Custody" for the Permanent Custody Status in the Program Request screen. Documentation, such as the court order, is required. P&P can also be contacted to confirm.
5. If the caretaker relative refuses to pursue permanent custody, choose "Refused to Pursue" for the Permanent Custody Status. The Kinship Care case will be denied.

The system will not automatically establish ongoing KTAP eligibility for a child who loses Kinship Care due to the caretaker relative not pursuing permanency. If continued assistance is requested, take an application for KTAP.

B. The P&P worker is responsible for:

1. Explaining permanency requirements to the caretaker relative at application.
2. Developing a case permanency plan and conducting monthly visits with the caretaker relative and child.
3. Reviewing the permanency plan and determining if the placement is in the best interest of the child prior to the twelfth month of the child being placed in the home of the caretaker relative.
4. Preparing a court report recommendation that permanent custody be granted if the placement is determined appropriate.
5. Removing the child from the home of the caretaker relative if the placement is not appropriate and notifying Family Support staff.
6. Notifying Family Support staff when the caretaker relative refuses to pursue permanent custody per a court report recommendation.
7. Notifying Family Support when a permanent custody order is obtained.
8. Developing an aftercare plan, if needed, with the caretaker relative after permanent custody has been granted and closing the child protective services case.

C. The caretaker relative is responsible for pursuing permanent custody when P&P determines permanent placement of the child in the caretaker relative's home is appropriate. The case remains eligible for Kinship Care for as long as the child remains in the home and the caretaker relative cooperates in pursuing a permanent custody order. Pursuing permanent custody includes:

1. Cooperating with P&P staff on issues relating to preparation of a court recommendation.
2. Meeting with legal representation, as needed, to prepare and file a petition to the court.
3. Appearing in court and testifying, as needed.

D. Family Support staff is responsible for:

1. Requesting verification from the caretaker relative that he/she is pursuing permanent custody of the child. This verification can include proof the caretaker relative has hired an attorney for this purpose or filed a petition with the court.
 2. Verifying that the caretaker relative is pursuing and/or has obtained permanent custody.
 3. Discontinuing a child's Kinship Care benefits when the caretaker relative does not pursue permanent custody.
- E. If a caretaker relative provides verification that permanent custody is denied by the court, obtain documentation from the caretaker relative or P&P and update Worker Portal comments. The Kinship Care case remains active if otherwise eligible. No further action is required by the caretaker relative.
- F. In situations where the court orders joint custody granted to:
1. The caretaker relative and a parent of the child, eligibility for Kinship Care payments ends. If the caretaker relative has physical custody of the child and the parents are absent from the home, explore eligibility for KTAP.
 2. The caretaker relative and another person, other than a parent, who resides in the home, eligibility for Kinship Care payments continues.
 3. The caretaker relative and another person, other than a parent, who resides outside the home, continued eligibility for Kinship Care payments is determined on a case-by-case basis. Contact the Family Self Sufficiency Branch for guidance.

Volume III - Kentucky Transitional Assistance Program
MS 5060 - R. 3/1/26 - OMTL- 688
Child Support Requirements for Kinship Care

At the time of application, if the caretaker relative refuses to assign child support rights to the Cabinet, the Kinship Care case is denied.

If the Kinship Care caretaker relative refuses to cooperate with child support activities without good cause, a penalty is applied which reduces the benefit amount by 25%.

When the caretaker relative fails to cooperate without good cause:

- A. Answer "No" to the question "Cooperation with CSE/MSE?" on the "Absent Parent Information" screen, which will apply the 25% penalty.
- B. If the individual is currently receiving SNAP benefits, Worker Portal applies the SNAP penalty automatically.

Any child support collected for a child receiving Kinship Care is to be forwarded to Department of Child Support Services (DCSS) at:

[DCSS Centralized Collection Unit (CCU)]
P.O. Box 14059
Lexington, KY 40512-4059

For more information on Child Support, refer to [MS 3000](#) – [MS 3080](#).

MS 5070 KINSHIP CARE INCOME AND RESOURCE DETERMINATION (1)

[The resource limit for the Kinship Care case is \$10,000 and the countable resources for the child are the same as used for KTAP children. See [MS 2420](#). The resources of the Kinship Care caretaker relative are not considered.]

Countable income for the Kinship Care child is determined using the same criteria as KTAP. See [MS 2500](#)- [MS 2776](#). The income of the caretaker relative is not considered. The gross income of all Kinship Care children in the case is compared to the income limit:

Number of Eligible Children	Monthly Income Limit
1	\$ 300
2	\$ 600
3	\$ 900
4	\$1,200
5	\$1,500
6 or more children	\$1,800

If countable gross income is equal to or less than the monthly income limit, the case is financially eligible for the full benefit amount.

*MS 5080

KINSHIP CARE BENEFIT PAYMENTS

(1)

The monthly payment scale and income limit are as follows. If financial eligibility is met, the child's income does not reduce the monthly benefit payment.

Number of Eligible Children	Monthly Payment and Child's Income Limit
1	\$ 300
2	\$ 600
3	\$ 900
4	\$1,200
5	\$1,500
6 or more children	\$1,800

- A. If a Kinship Care benefit group consists of two children whose combined income does not exceed the income limit scale for 2 children, both children are financially eligible.

Example: One child receives \$340 RSDI monthly benefit and the sibling has zero income. The combined income for both children is under the \$600 income limit; therefore, both siblings are financially eligible. The benefit authorized in the Kinship Care case is \$600.

- B. When a child receives KTAP and is then approved for Kinship Care, the total KTAP benefit amount received by the family is divided by the members of the case and rounded to the nearest dollar amount to determine the child's share. Calculate the amount of Kinship Care owed to the caretaker relative for each month KTAP was received.

Example: A parent has a KTAP case for herself and her child and receives \$225. The child is removed from her home due to abuse and placed with the aunt August 14. The parent has already received KTAP for the child for the month of August and the child is removed from her KTAP case effective 9/1. The Kinship Care benefit for August (\$300) is prorated from August 14 (\$170). The child's share of the KTAP benefit, \$112.50, is rounded up to \$113 then deducted from the prorated Kinship Care amount. The result, \$57 (\$170-\$113=\$57), is paid as a special circumstance payment and the full KC amount of \$300 is issued 9/1 and ongoing.

Example: A parent has a KTAP case for herself and her two children and receives \$262. The children are removed from her home due to abuse and placed with the aunt August 10. The parent received KTAP for the children for the months of August, September, and October and the children are removed from the KTAP case effective 11/1. The Kinship Care benefit for August (\$600) is prorated from August 10 (\$420). The children's share of the KTAP benefit, \$175 (\$87.33x2=\$174.67, rounded to \$175), is deducted from the prorated Kinship Care amount. The result, \$245 (\$420-\$175=\$245), is paid as a special circumstance payment for

August. For September and October, deduct \$175 from the full KC amount of \$600 and issue as a special circumstance in the amount of \$425 for each month. The full KC amount of \$600 is issued 11/1 and is ongoing.

- C. When the KC caretaker relative receives KTAP prior to approval of Kinship Care, the KTAP amount received is deducted from the Kinship Care amount to determine the amount that is owed.

Example: A grandmother is a payee in a KTAP case and received \$186 in June for her grandchild. She is approved for Kinship Care for the child effective June 1. To calculate the amount of Kinship Care for that month, the KTAP amount is subtracted from the Kinship Care amount. The Kinship Care owed to the grandmother is \$114 (\$300-186).

Example: A grandmother applied for KTAP and requested to be included in the case. She received \$225 for herself and the child. The grandmother is then approved for Kinship Care for the child. To calculate the amount of Kinship Care owed, the KTAP amount is subtracted from the Kinship Care amount. The Kinship Care owed to the grandmother is \$75 (\$300-225).

Example: An aunt is a payee in a KTAP case and received \$262 for 3 children. She is approved for Kinship Care for only 2 of the children. The countable amount of KTAP for the 2 children approved is \$225, the KTAP benefit amount for a 2 member household. To calculate the amount of Kinship Care owed, the KTAP amount is subtracted from the Kinship Care amount. The Kinship Care owed to the aunt is \$375 (\$600-225).

MS 5090 KINSHIP CARE RECERTIFICATIONS AND CHANGES (1)

Kinship Care (KC) cases are recertified every 12 months. A report is generated to notify the local office case managers of all KC cases due recertification in the next month. Each county has a case manager who is designated to reach out to the KC household listed on the report.

- A. Within 10 days prior to the recertification month, the designated case manager contacts the household and:
 - 1. Reminds the caretaker relative of the upcoming recertification;
 - 2. Answers questions concerning the recertification process; and
 - 3. [If requested and it is the 25th of the month or later, initiate the recertification. A recertification cannot be entered prior to the 25th of the month before the recertification month.]
- B. To be considered timely, recertifications are initiated by the 15th of the recertification month. Untimely recertifications are entered after the 15th of the recertification month.
 - 1. If the recertification is initiated on or before the 15th of the month, act on the recertification by the end of the month. As such, the caretaker relative has until the end of the month to return mandatory verification.
 - 2. If a recertification has not been initiated by the 15th of the recertification month, the caretaker relative is notified it must contact DCBS by the last workday of the month to initiate the recertification process.
 - 3. If the recertification is initiated after the 15th of the month, have verification returned and act on the recertification no later than 30 days from the date the recertification was initiated in Worker Portal. The caretaker relative has 30 days from the date the recertification is initiated or until the end of the following month, whichever comes first.
- C. **[For recertifications]**, there is a 10-day grace period from the effective date of the discontinuance of KC benefits. If the KC caretaker relative returns all mandatory documentation within the grace period:
 - 1. The KC benefits can be reapproved by the case manager by using the add/reapply option in Worker Portal. Use the 1st day of the month of the effective date of discontinuance as the application date.
 - 2. It is appropriate to use the same verifications and forms provided with the initial recertification interview, but a new application must be signed.

Note: The reinstate option **cannot** be used for reapproving a KC recertification.

- D. **For changes**, refer to [MS 2175](#) for procedures concerning processing when a report of change is received. The same 10-day grace period that is allowed for

recertification is also allowed for KC case changes. The KC benefits may be reapproved using the process in item C.1. and 2.】

All other KC discontinuances are required to be forwarded through the Regional Office to the FSSB inbox for review.

MS 5100

REAPPLICATION FOR KINSHIP CARE

Kinship Care benefits may be authorized upon reapplication by the Kinship Care caretaker relative, with whom the child was placed by Protection and Permanency (P&P) staff prior to 4/1/13, in the following instances:

- A. [The child is returned to the home of the caretaker relative by P&P staff when reunification efforts with the child's parent are not successful. The Kinship Care case is discontinued when the child resides in the parent's home as part of a P&P reunification effort for a trial period of up to 60 days. If P&P returns the child to the home of the KC caretaker relative within the 60-day period, the Kinship Care case may be reapproved if all other eligibility factors are met. The effective date of benefits is the date the child is returned to the home of the caretaker relative. This must be verified by P&P staff.]
- B. A child who was discontinued or denied Kinship Care benefits due to receipt of SSI no longer receives SSI benefits. The effective date is the first day of the month following receipt of the last SSI check.
- C. A child is returned to the home of the caretaker relative by P&P staff after a temporary absence due to placement in:
 - 1. Foster Care;
 - 2. A residential treatment facility;
 - 3. A psychiatric residential treatment facility; or
 - 4. Detention.

If approved for benefits, the benefits are authorized from the date the child returns to the home.

Reapplication for Kinship Care is not appropriate for any reason other than items A, B, or C. The caretaker relative may apply for KTAP, Medicaid, and/or SNAP.

If a caretaker relative does not complete a recertification for Kinship Care, the caretaker relative cannot reapply for Kinship Care.